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What's News

Business & Finance

◆ **U.S. markets plunged** in their steepest declines since 2020, as investors grappled with the threat that Trump's tariffs will invite global retaliation and hurt the economy. The S&P 500, Nasdaq and Dow shed 4.8%, 6% and 4%, respectively, and dozens of household-name stocks fell by double digits. **A1, A4, A6**

◆ **OPEC and its allies** agreed to make a larger oil output increase in May in a move that further weighed on tariff-hit crude prices. **B9**

◆ **The 10 biggest U.S.** consulting firms to the federal government offered to cut billions of dollars from their contracts with agencies. **A2**

◆ **A Guatemalan conglomerate** agreed to acquire SunnyD and other beverage brands in a roughly \$1.5 billion deal and said it would seek to expand the products' consumer base. **B1**

◆ **A small shareholder** launched a proxy fight at WeightWatchers' parent company, seeking board seats and hundreds of millions of dollars in cost cuts. **B1**

◆ **Verizon said it would** freeze rates for a broad spectrum of its customers in an effort to retain cellphone users annoyed by years of price increases. **B1**

◆ **Hershey agreed to a** roughly \$750 million deal for the popcorn brand LesserEvil, confirming an earlier report from The Wall Street Journal. **B3**

◆ **Puma said** Chief Executive Arne Freundt would leave the company because of differences with the board and named former Adidas executive Arthur Hoeld as his successor. **B3**

World-Wide

◆ **Economists said that** Trump's approach to trade, if not rolled back, could rival President Richard Nixon's 1971 decision to overturn arrangements created by the U.S. and its allies during World War II. **A4**

◆ **The National Security Agency** chief, Gen. Tim Haugh, was fired on the direction of the White House, along with his civilian deputy, Wendy Noble. Several National Security Council staffers were dismissed earlier. **A3**

◆ **South Korea's Constitutional Court** ousted President Yoon Suk Yeol over his short-lived declaration of martial law, clearing the way for a snap vote to elect a new president. **A9**

◆ **The Trump administration** escalated its campaign against American universities by preparing to pull \$510 million in federal grants from Brown University. **A3**

◆ **The Office of the Inspector General** at the Pentagon said it began a review into Defense Secretary Pete Hegseth's sharing of military plans ahead of U.S. strikes on Yemen in a Signal chat group. **A3**

◆ **HHS Secretary Robert F. Kennedy Jr.** said he would reinstate some programs and federal workers cut earlier this week as part of his sweeping reorganization of the department. **A3**

◆ **Hungary said it would** withdraw from the International Criminal Court, a declaration that coincided with a visit to Budapest by Israeli Prime Minister Benjamin Netanyahu, the object of an ICC arrest warrant. **A16**

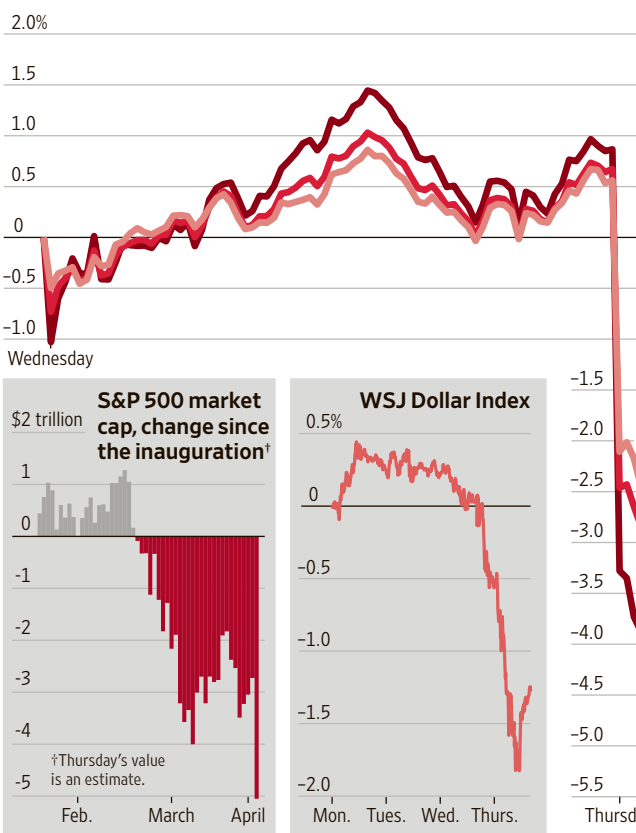
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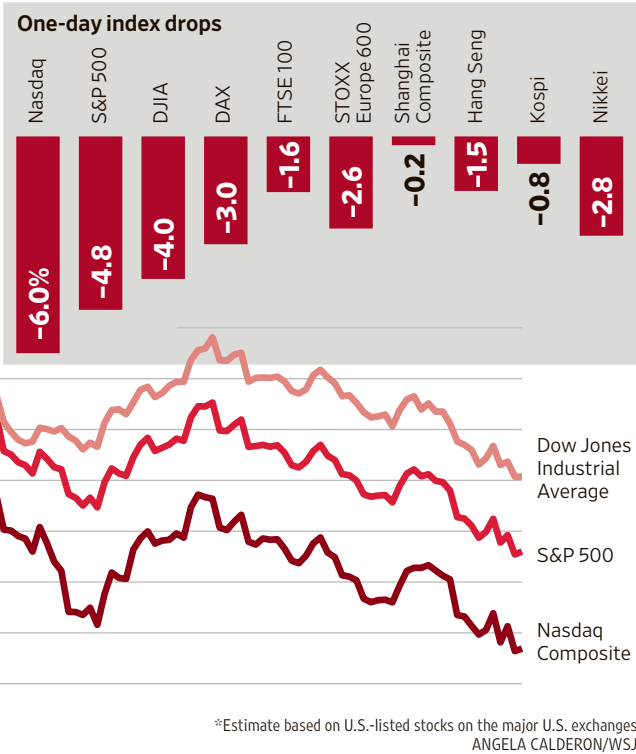
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Stocks Suffer Steepest Slide Since 2020

U.S. index two-day performance



Trump's tariff announcement rippled through world markets Thursday and led to the biggest U.S. market-cap drop—approximately \$3.1 trillion*—since March 2020.



Dow drops 1,679 points as tariffs are more severe than investors expected

U.S. markets plunged Thursday in their steepest declines since 2020, as investors grappled with the threat that President Trump's new tariff plan will trigger global retaliation and hurt the economy.

By Gregory Zuckerman, Krystal Hur and Gunjan Banerji

Stocks lost about \$3.1 trillion in market value Thursday, their largest decline since March 2020.

The Dow industrials dropped 1,679 points, or 4%. The tech-heavy Nasdaq, which powered the market higher for years, was down 6%, pulled lower by big declines in Nvidia, Apple and Amazon.com. The S&P 500, which fell 4.8%, and the other benchmarks, suffered their sharpest declines since the early days of the pandemic.

Asian stocks extended the losses in Friday morning trading. Japan's Nikkei Stock Average finished the morning session down 2.6%, following a 2.8% decline on Thursday. South Korea's Kospi pared earlier losses and was down 0.5%, while markets in Hong Kong and China were closed for a holiday.

Some of the U.S.'s allies came out swinging. President Emmanuel Macron of France said Europe is weighing retaliation against U.S. tech firms, while Prime Minister Mark Carney of Canada said his country will match Trump's auto tariffs with 25% tariffs of its own.

Dozens of household-name stocks posted double-digit declines, including HP, Nike and Target. Stellantis also fell sharply. The Jeep maker said it is temporarily halting production at its auto assembly factory.

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Trump's Tariffs Buffet Businesses As CEOs Rush to Deal With Fallout

Business leaders scrambled to assess how President Trump's latest tariffs would affect their companies, with

By Theo Francis, Inti Pacheco and Alistair MacDonald

many top CEOs staying silent as the president's new policies made the cost of doing business in the U.S. much steeper. Restoration Hardware Chief Executive Gary Friedman was on a call with analysts talking about the furni-

ture retailer's strategy and how the housing market could slow in this economic environment when the tariff news broke. He asked colleagues to get a "live read" of his business to check how the company's stock was doing.

"Oh, really? Oh, s—, OK," Friedman said in the moment. "Everybody can see in our 10-K where we're sourcing from, so it's not a secret."

More than 70% of the furniture company's products come from Asia, its annual report shows, including 35% from

Vietnam and 23% from China, where steep new duties were put in place.

The stocks of some big U.S. businesses fell on fears the new trade barriers would swallow their profits. Jeep-maker Stellantis, which owns the Chrysler and Dodge brands, said it would halt production at some Canadian and Mexican plants.

Wall Street bankers and business leaders have spent weeks trying to understand—and shape—Trump's ever-shifting tariff plans. Many also believed—as they were reas-

sured by some in Trump's inner circle—that the potential levies were negotiating tactics the businessman-turned-politician would use to extract concessions from trading partners and adversaries.

Instead, Trump unveiled 10% across-the-board tariffs, and even higher levies on Europe and countries including Japan, South Korea and Vietnam. The new levies will push up the cost of many goods from China—from toothbrushes to televisions—by

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President Looks to the Past to Remake the Economy

Trump dreams of new factories and towns revitalized by tariffs, but stocks plunged on fears of hit to growth

By BRIAN SCHWARTZ AND GREG IP

As investors and consumers fretted in recent weeks about the fallout if President Trump unleashed a massive trade war, Trump himself kept looking to the past.

The rest of the world has been ripping off the U.S. for 40 years, he told advisers who asked him to articulate his vision. It was, he and his advisers would note, an argument he has been

making on television since the 1980s. Before his second term ends, he said, he feels he has to right those wrongs.

If people complained about the tariffs, Trump told his inner circle to remind the public of his view of how the U.S. once was and could be again: a place with thriving Main Streets and hometowns, where American workers made American products sold to the American public.

Trump leaned into that vision with

his market-shaking tariff announcement Wednesday. "Empty, dead sites, factories that are falling down...will be knocked down, and they're going to have brand new factories built in their place," he said, to an audience that included members of the United Auto Workers union. "We're going to be an entirely different country."

The tariffs Trump announced would lift the average duty above the previous peak of 1930. It is by far the most

disruptive component of an agenda that may be one of the most disruptive of any new president since the 1930s, one that includes slashing immigration, government spending, taxes and regulations.

Perhaps the most striking aspect of Trump's dramatic move to reposition the American economy is the timing. The economy he inherited was the envy of the world with growth of 2.8%

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James Mackintosh: Market carnage could be just a start **A4**

Global economic order gets reshuffled **A4**

Breaking down the trade imbalance in charts **A6**

White House whirlwind that led to all-out tariff strategy **A7**

Heard on the Street: Why Trump's tariffs sank the dollar **B10**

Leader Ousted In South Korea

A ruling by the Constitutional Court of South Korea that removed impeached President Yoon Suk Yeol from office touched off celebrations Friday in Seoul. An election must be held within 60 days. **A9**



North Korean Hackers Steal Billions in Crypto To Keep Regime Afloat

At 11:49 a.m. on July 18, North Korean hackers pounced on a major cryptocurrency exchange handling hundreds of millions of dollars.

By Patricia Kowsmann in Singapore and Timothy W. Martin in Seoul

The hackers slipped into the exchange's virtual vault, took control and then started pilfering cryptocurrency tokens. Within a little more than an hour, the hackers had disappeared—and with them, more than \$200 million for the Kim Jong Un regime.

The shocking theft at WazirX, India's largest cryptocurrency exchange, along with several other major recent heists, has made it clear: North Korea is now the world's most dangerous crypto thief.

It has swiped more than \$6 billion in cryptocurrency over the past decade—a sum so large

that no one else compares.

The country's hackers are patient and brazen, investigators said. To get into companies' computers, they comb through employees' Facebook and Instagram pages and invent stories to trick them into clicking on links with viruses. Some North Korean hackers have even become employees, fooling U.S. companies into hiring them as remote IT workers and gaining access to their networks.

After grabbing their bounty, North Korean hackers are masters at escaping. At WazirX, investigators believe they used algorithms to spread funds through global crypto networks faster than any human could, making it almost impossible for authorities to catch up. Once the crypto is dispersed, North Koreans often lie low until investigators move on, waiting months or years to convert their haul into traditional money.

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Raising Chickens Isn't All It's Cracked Up to Be

Backyard egg-layers can be messy, costly; 'We put the kibosh on it.'

By TE-PING CHEN AND ROSHAN FERNANDEZ

Carol Lewis has no regrets about how she voted on the chicken issue.

As a longtime member of the St. Cloud, Minn., city council, she'd heard all the arguments. At a December meeting, locals

argued backyard chickens would offer a cheaper source of eggs. One resident said chickens would simply be "awesome."

Lewis, who left the council this year, was unmoved. "We can't even seem to get people to mow their lawns these days. I don't know how we're going

to keep chicken coops clean," she told the crowd before voting "nay" on the measure, which would have allowed backyard chickens at some homes.

Her grandmother, who raised chickens, always told her they were "dirty birds," she

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U.S. NEWS

California Backstop Insurer Falls Short

Some homeowners get poor service and inadequate payoffs in the wake of fires

By JEAN EAGLESHAM
AND NICOLE FRIEDMAN

LOS ANGELES—Susan Spira called her insurer days after wildfires destroyed her family's home—only to be told her policy had been canceled. The reason: In the chaotic days after the house burned to the ground, her monthly premium hadn't been paid.

"I nearly fell apart," she said. Spira, a real-estate lawyer, fought back and the insurer, California's Fair Plan, agreed her Pacific Palisades house was covered when the infernos sparked.

Then an upfront payment of \$562,500, half the \$1.125 million coverage for her four-bedroom home, was sent to her by check with no tracking. It got lost in the mail.

Spira's experience with Fair Plan wasn't unusual, according to homeowners and consumer advocates, who have reported problems including refusals to treat toxins from smoke, delayed payments and dire customer service.

Fair Plan, California's state-chartered insurer of last resort, has taken on an outsize role in the aftermath of the infernos. Originally set up as a backstop for hard-to-insure areas, it be-

came the only option for hundreds of thousands of homeowners.

It more than doubled its number of policyholders—and tripled its exposure to losses—in a little over three years. Fair Plan filled the gap as commercial insurers such as State Farm canceled policies, citing the threat of wildfires and regulated premiums that weren't keeping pace with the risk.

The plan at the end of September insured more than 50,000 homes in ZIP Codes affected by the fires.

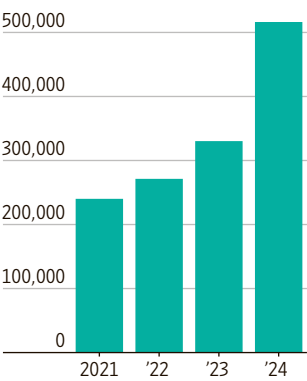
‘Overstretched’

"Insurers of last resort weren't built to serve this many people," said Amy Bach, executive director of United Policyholders. "The issues we're seeing in California with delays and poor service stem partly from the plan being badly overstretched."

A spokeswoman for the plan said it can't comment on individual claims, but is handling them in accordance with state law and "not experiencing delays in responding to policyholders." Most payments for claims are made electronically and it is rare for checks to go astray, she added.

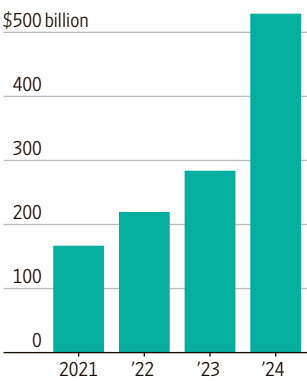
Most states have an insurer of last resort model like Fair Plan that offers a basic level of coverage for homeowners rejected by private insurers. Many plans are growing rapidly, as insurers pull back from

Total number of policies issued by California Fair Plan



Note: Data as of the end of September for all years except 2024, which is for end of December
Source: California Fair Plan Association

California Fair Plan's exposure to potential losses



disaster-prone areas.

In most cases, taxpayers aren't directly on the hook. Plans are often state-created, but funded and influenced by the insurance industry.

Insurers, who backstop the plan financially in return for the right to operate in the state, have the majority of seats on the California plan's governing committee, according to plan documents.

Fair Plan's approach is tougher than many other insurers', with claims paid for "permanent physical changes," such as melting or staining only, according to Dylan Schaffer, a lawyer for policyholders suing the insurer.

Eric Bollens's parents' home in the Palisades survived the fires, but testing after the fires revealed high levels of lead, arsenic, chromium and barium.

Bollens said Fair Plan told his parents that it wouldn't cover the cost of the testing or professional remediation services.

"You abate lead contamination—you don't clean it with a mop and a vacuum," Bollens said.

A spokeswoman for California Fair Plan said its claims adjusters are expected to abide by state laws. The plan will pay for recommended testing or treatment, if it is warranted, she added.

The state's insurance commissioner said insurers shouldn't deny smoke damage claims without an investigation, or require customers to pay heavily to investigate a claim.

Lost checks

The California plan pays homeowners up to \$3 million,

which has to cover rebuilding costs, personal possessions and temporary-accommodation costs. Thousands who lost their homes in L.A. lived in high-end neighborhoods, and are now in expensive rentals.

Jewlz Fahn is more than a million dollars worse off because State Farm axed her fire insurance in the fall. Weeks later, her five-bedroom Palisades home burned to the ground. "My family lost everything," Fahn said.

Her \$3 million Fair Plan coverage, the maximum allowed, has paid \$153,000 for destroyed personal possessions: a fraction of the \$1.4 million limit on her old State Farm policy. She has also been paid two-thirds of her living-expenses coverage of \$153,000, barely a quarter of the \$600,000 State Farm cap.

A State Farm spokesman said the insurer "made the difficult decision to non-renew a small number of...property insurance policies" in response to its Californian subsidiary's financial health.

A \$997,500 check sent in February to Fahn by regular mail, with no tracking, went missing. She has since received a replacement check.

Spira, whose \$562,000 check went AWOL, got through to a Fair Plan representative—only to be told she was "too upset" to help, and hung up on. It took more than two months from the fires before she received a replacement \$562,500 check.

Consulting Firms Offer Cost Cuts to Government

By CHIP CUTTER

The 10 biggest U.S. consulting firms to the federal government have offered to cut billions of dollars from their contracts with agencies but face pushback from the Trump administration to deliver even deeper savings.

Companies including Accenture, Booz Allen Hamilton, Deloitte, IBM and others met the General Services Administration deadline this week to justify their contracts and identify potential cost cuts to existing projects. Trump administration officials are expected to go back to some of the firms for further price concessions or other revisions, people familiar with the review process say.

Some companies missed the mark by submitting too little in savings or by sending voluminous pages of PowerPoint slides explaining their work, the people said, while other firms identified detailed potential cuts. At least one company outlined \$12 billion in potential savings to the government, according to a person familiar with the matter.

The chief executive of Booz Allen, which generates nearly all of its \$11 billion in annual revenue from contracts tied to the U.S. government, said his firm had proposed more than \$1 billion in savings related to its own projects. The firm identified Booz contracts that agencies could review or potentially cancel and proposed dozens of other ideas to

streamline the way the government functions.

Booz also suggested the government shift more contracts to performance-based pricing arrangements and earmarked some projects that could be done by the government itself, said Horacio Rozanski, Booz Allen's CEO.

"There is some work that in the spirit of efficiency, the government could choose to in-source," Rozanski said.

Leidos, another large contractor, provided the GSA with a "detailed set of options for meeting the administration's goal of making the U.S. government more efficient and cost-effective," a spokesman said. He declined to give a cost estimate of its proposals.

Accenture and IBM didn't

comment. Deloitte didn't respond to a request for comment.

The Trump administration this year asked the 10 biggest consulting firms to the government to "defend the spend." It said those firms alone are set to receive more than \$65 billion in fees in 2025 and future years.

The push has weighed on the firms' stocks and prompted meetings with Trump officials. Many executives have sought time with Josh Gruenbaum, a former director at private-equity firm KKR who was picked by President Trump as the GSA's procurement chief and is now leading the broad review of consulting spending.

The proposals will be reviewed by the federal agencies

overseeing the contracts.

"I have no doubt that you'll see some progress made because the companies are going to respond to what the government tells them to do," said Stan Soloway, the former head of the largest trade association of government-service contractors, who is now CEO of consulting firm Celero Strategies. Plenty of firms already are affected by the administration's focus on costs. Accenture CEO Julie Sweet said as the government works to streamline spending "many new procurement actions have slowed, which is negatively impacting our sales and revenue."

◆ How Booz Allen's CEO navigates budget cuts.... B3



Everyone's Raising Chickens

Continued from Page One said in an interview. Lewis had other concerns, including bird flu. "I hate to be a Debbie Downer," the 68-year old said. "But until we get that under control, it's just not even worth talking about."

The measure failed, 5-1. "We put the kibosh on it," she said.

A decade ago, backyard chickens were more a niche for part-time farmers and urban hipsters. But the Covid-19 pandemic—and more recently, a surge in egg prices—has sent Americans flocking for their own poultry.

There were 11 million households with backyard chickens in 2024, up from 5.8 million in 2018, according to the American Pet Products Association. Even U.S. Agriculture Secretary Brooke Rollins recently jumped in, saying she wants to help Americans save money by making it easier to

raise their own egg-layers.

Aspiring chicken-fanciers face plenty of hurdles. Local regulations often throw up red tape, or neighbors squawk. The birds can have steep startup costs and require diligent care. And good luck finding a pet sitter.

In Dallas, personal trainer Betina Gozo Shimonek said raising chickens on her half-acre of land is addicting. She started with four chickens last year to feed her family of five and will soon have over three dozen birds. She said her rooster crows at 6 a.m., but the neighbors don't mind, perhaps because she gives them eggs.

On a recent February day, her local farm store was scheduled to receive its first shipment of chicks this year between 10 a.m. and 2 p.m. Shimonek called at 12 p.m., but by then, they'd sold out.

"They were like, 'It's like Black Friday in here whenever the chicks come,'" she said.

On review site Yelp, searches for "live chickens for sale" and "chicken coops" were up 559% and 700% in the year between February 2024 and 2025. Kelly Null, a customer service representative at Cackle Hatchery said people start lining up at 6

a.m. outside their Lebanon, Mo., storefront to buy chicks, three hours before opening.

"Yesterday a woman had a lawn chair and a throw," she said. "Everyone wants baby chicks."

But when it comes to saving money, chickens aren't all they're cracked up to be. Setting up a coop and chicken run, then raising chicks until they're old enough to start laying is expensive. "Your first egg costs you about \$1,500," said Ryan Korbar, who runs a farm and teaches poultry-maintenance classes in Rostraver, Pa.

Nervous new chicken parents could shell out up to \$2,495 for a "Smart Coop," a poultry condo equipped with automatic doors and cameras that alert owners via an app when predators like raccoons are nearby. They can activate alarms to scare predators.

In Suffield, Conn., Kathy Shea Mormino—who successfully lobbied her town to change its rules to permit backyard chickens over a decade ago—said she's glad to see the hobby taking flight, but advises caution. Unlike pet owners with cats or dogs, finding veterinarians versed in chicken care is hard, she said. Many new poul-



Kathy Shea Mormino, left, said she's happy to see the rise of backyard chicken-raising, but urges caution for new owners. Jillian Willsey had to remove her hens, pictured as chicks, under government order earlier this year.

try enthusiasts also tend to underestimate how much care their birds will require.

"Chickens are not a vending machine that you park in your backyard," said Mormino, who has written guides to raising chickens.

The lure of a more pastoral life, including a brood of hens, encouraged Jillian Willsey to move with her husband and three daughters to central Michigan from a Phoenix suburb three years ago. There were no chickens allowed at her former home, but the family added six birds to their 2-acre Midwest plot.

In February, though, the local government ordered her to remove them, saying they weren't permitted on plots smaller than 5 acres, something she hadn't known. She sent the birds to stay with friends and is petitioning for a rule change.

"I honestly did not think it would take such an emotional toll on me," said Willsey, who said she values knowing where her food comes from.

More states have adopted regulations to make it easier to raise backyard chickens, including Arizona and Missouri. Others are considering the matter. "Feeding yourself is a basic

human right," said Jim DeSana, a Republican state representative in Michigan who has a farm and recently introduced legislation to allow more people to raise backyard chickens.

Debate over such regulations can get heated: In Tigard, Ore., a recent effort to update urban livestock regulations prompted an outpouring of comments on backyard birds. Many residents said they were delighted by the presence of such flocks, while others said they created rat problems and cited public health concerns.

One resident alleged chicken owners were bribing their neighbors with eggs to photofavor. Another circulated photos of dead rats on their property they said had been attracted by chicken feed.

Mayor Heidi Lueb said that the city's regulations, which don't limit the number of chickens locals can raise, also allow people to bring complaints over code violations that would cause noise, odor or pest issues. She said the town tries to strike a balance between unnecessarily restricting residents' freedoms and ensuring that they don't have "full-on farms."

"And no roosters," she said. "That's self-explanatory."

U.S. WATCH

WASHINGTON

Kirkland in Talks With White House

Kirkland & Ellis, the largest U.S. law firm by revenue, is in talks with the White House to avoid an executive order similar to those levied against several of its rivals, according to people familiar with the matter.

The firm, which has some 4,000 lawyers and brought in about \$9 billion last year, is one of the White House's next targets for sanctions, some of the people said.

Kirkland—a powerhouse in the worlds of private equity and mergers and acquisitions—has been eager to avoid a conflict with the White House and has hired a lobbyist as part of its efforts, the people said. It isn't clear what objections President Trump and his inner circle have to the firm's activities.

Three targeted firms, Perkins Coie, Jenner & Block and WilmerHale, filed lawsuits challenging the administration's actions.

—Erin Mulvaney

LOS ANGELES

Death Toll After Wildfires Hits 30

Nearly three months after two wildfires destroyed thousands of homes in the Los Angeles area, officials said the death toll from the blazes had reached 30.

The Medical Examiner's Office said human remains were found at a scorched property in Altadena, within the Eaton Fire burn zone, bringing the deaths from that blaze to 18. Twelve people died in the Palisades Fire.

The two blazes ignited during fierce winds on Jan. 7 and destroyed nearly 17,000 structures. The causes of the fires are still under investigation.

—Associated Press

FLORIDA

St. Petersburg to Replace Rays' Roof

The once and possibly future home of the Tampa Bay Rays will get a new roof to replace the one shredded by Hurricane Milton with the goal of having the ballpark ready for the 2026 season.

The St. Petersburg City Council voted 7-1 to approve \$22.5 million to begin the repairs at Tropicana Field. The damage forced the Rays to play home games at the spring training home of the Yankees.

—Associated Press

CORRECTIONS & AMPLIFICATIONS

The 30-year Treasury yield was at 4.551% Wednesday, up from 4.508% on April 2, 2024. In some editions Thursday, a Markets article about municipal-bond funds incorrectly said the 30-year Treasury yield was at 4.14% Wednesday, down from 4.35% in April 2024.

Readers can alert The Wall Street Journal to any errors in news articles by emailing wsjcontact@wsj.com or by calling 888-410-2667.

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U.S. NEWS

President Steps Up Fight vs. Colleges, Targeting Brown

The Trump administration escalated its campaign against American universities by preparing to pull \$510 million in federal grants from Brown University, while also laying out demands Harvard must meet to avoid losing billions in government dollars.

By Douglas Belkin, Natalie Andrews and Liz Essley Whyte

The administration is freezing National Institutes of Health grants to Brown while it investigates the Ivy League school's handling of antisemitism and diversity, equity and inclusion policies, according to two people.

Additionally, new developments emerged regarding Harvard University after the government opened a review of nearly \$9 billion in federal grants and contracts earlier this week.

Three members of a newly formed Trump administration task force on antisemitism wrote Harvard President Alan Garber on Thursday, asking for the school to take nine actions that "we regard as necessary for Harvard University's continued financial relationship with the United States government."

Most of the demands concern how the university operates. The government is asking for a comprehensive mask ban and changes to governance, leadership and admissions as well as an end to DEI programs.

The government is also seeking to reach into the classroom, demanding "necessary changes" be made "to address bias, improve viewpoint diversity, and end ideological capture," which fuel antisemitic harassment, the letter said.

A Harvard spokesperson said Thursday night the school received the letter and the recommended measures from the task force.

On Monday night, Garber said if the federal government removes its funding, it would halt lifesaving research. The money is spread among Harvard and its affiliates, which include Boston-area hospitals. "We fully embrace the important goal of combating antisemitism, one of the most insidious forms of bigotry," he wrote.

Brown, in Providence, R.I., became the fifth Ivy League institution to face a potential

loss of federal funding. Brown said the freeze was a rumor they couldn't confirm. "We are closely monitoring notifications related to grants, but have nothing more we can share as of now," said the provost, Frank Doyle.

Trump has vowed to crack down on campuses that his team views as liberal hotbeds that suppress conservative views. Some faculty and critics have described his actions as authoritarian overreach.

The White House push to change higher education started in March with Columbia University, where the government canceled \$400 million in grants and contracts over what it said are antisemitism concerns related to the school's handling of the pro-Palestinian protests that disrupted campuses nationwide last year. Columbia agreed to meet a series of demands as a precondition to negotiate for the return of the money. On Friday, Columbia's interim president stepped down after making comments in private meetings with faculty that played down changes the school agreed to with the Trump administration.

On Tuesday, following Harvard, Princeton University said the Trump administration was suspending "several dozen" research grants. Chris Eisgruber, Princeton's president, said in an email to students and staffers that "the full rationale for this action is not yet clear."

In a recent Atlantic magazine essay, Eisgruber described the Trump administration's "attack on Columbia University" as "the greatest threat to American universities since the Red Scare of the 1950s."

A White House official called the Princeton measure a pause in funding pending an investigation into alleged antisemitism. The administration has also paused about \$175 million in federal funding to the University of Pennsylvania for allowing a transgender athlete to compete on the women's swimming team.

Schools nationwide have watched Trump's fast-moving attack with alarm; many fear a demand for similar concessions. They have expressed concern that without freedom to follow their intellectual curiosity, the discoveries and innovations that fuel the U.S. economy will decline.

Tornadoes and Violent Winds Strike Central U.S.



AFTERMATH: A house was ripped off its foundation and thrown 75 feet away near Walnut, Miss., as powerful storms that struck the central U.S. killed at least seven people in Tennessee, Missouri and Indiana late Wednesday and early Thursday.

Trump Fires NSA Director, Purges Key Security Staff

WASHINGTON—Gen. Tim Haugh, the chief of the National Security Agency, was fired Thursday at the direction of the White House, according to people familiar with the matter.

By Dustin Volz, Alexander Ward and Meredith McGraw

Haugh, who jointly helms U.S. Cyber Command, the military's combatant command for offensive use of cyberattacks, was informed by the White House that his services were no longer required, the people said. His civilian deputy at the NSA, Wendy Noble, was also let go.

The reasons for the dismissals couldn't immediately be determined. They came in the midst of the firings by President Trump of several National Security Council officials following a meeting that the right-wing conspiracy theorist Laura Loomer had with

the president in which she alleged that some members of his administration weren't aligned with his priorities.

Haugh had been serving as the chief of the NSA and U.S. Cyber Command for about a year, taking over for Gen. Paul Nakasone.

Sen. Mark Warner, the top Democrat on the Senate Intelligence Committee, confirmed in a statement Haugh's firing.

"General Haugh has served our country in uniform, with honor and distinction, for more than 30 years," Warner said. "At a time when the United States is facing unprecedented cyber threats, as the Salt Typhoon cyberattack from China has so clearly underscored, how does firing him make Americans any safer?" Warner said, referring to the widespread compromise of U.S. telecommunications networks by Beijing-backed hackers.

The White House and NSA declined to comment. The Cipher Brief, a news outlet fo-

cused on national security, earlier reported the firings.

At the National Security Council, four aides were fired overnight, people familiar with the matter said. Two other NSC aides were let go on Sunday, others familiar with the matter said. The staffers worked on a series of portfolios, including intelligence, India, congressional affairs and the impact of technology security, the people said.

The exact reasons for the staffers' ouster couldn't immediately be determined.

Two people added that this was just the first round of firings. There will be at least 10 people ousted from the NSC by the end of the second round, the people said.

During a Wednesday meeting in the Oval Office, Loomer told the president that she had concerns about some of his staff, the people said.

Asked about Loomer on Thursday, Trump said, "She makes recommendations...and

sometimes I listen to those recommendations."

NSC spokesman Brian Hughes declined to comment.

In a statement, Loomer declined to discuss her meeting with the president. "It was an honor to meet with President Trump and present him with my findings, I will continue working hard to support his agenda, and I will continue reiterating the importance of strong vetting for the sake of protecting the President and our national security," she said.

The firings are the first since members of Trump's cabinet discussed sensitive information about a military operation in Yemen on a nongovernment messaging app, and mistakenly added a journalist. Democrats called for national security adviser Mike Waltz to resign, as he initiated the chat.

Two U.S. officials said there had long been an internal campaign to oust NSC officials deemed not sufficiently loyal to Trump's agenda.

Hegseth's Role in Chat Under Review

By Nancy A. Youssef

The Pentagon's inspector general said Thursday it had launched a review into Defense Secretary Pete Hegseth's sharing of military plans ahead of U.S. strikes on Yemen in a Signal chat group.

The decision by the inspector general to publicly share its move, and that it was focused on the defense chief, was unusual. The Office of the Inspector General is an independent watchdog group within the department.

"The objective of this evaluation is to determine the extent to which the Secretary of Defense and other DoD personnel complied with DoD policies and procedures for the use of a commercial messaging application for official business," the inspector general's office said.

The office launched its re-

view at the request of Sens. Roger Wicker (R., Miss.) and Jack Reed, (D., R.I.), the chairman and ranking member, respectively, of the Senate Armed Services Committee, who wrote a letter to the inspector general last week. The White House confirmed that members of its national security team had communicated on Signal, a nongovernmental app, about an upcoming strike in Yemen.

National Security Adviser Mike Waltz added Atlantic editor in chief Jeffery Goldberg, apparently inadvertently, to the text thread about the upcoming strikes, and the magazine subsequently published the chat details after the White House described its contents as unclassified.

Hegseth shared some of the most sensitive information in the chat, including specific times that F-18s, MQ-9 Reaper drones and Tomahawk cruise



Defense Secretary Hegseth

missiles would be used in the March 15 attack and mentions intelligence that an unnamed target of the strikes was at a "known location."

Hegseth said afterward that "the messages have no locations, no sources and methods, and no war plans. Foreign partners had already been notified strikes were imminent."

In the two-page memo Thursday, the IG said it "may revise the objective as the

evaluation proceeds." The Pentagon declined to comment.

In their letter asking for an investigation, Wicker and Reed asked for an assessment of Defense Department policies on sharing sensitive and classified information on nongovernmental networks and messaging services, and to examine whether any individuals transferred classified information to unclassified systems.

President Trump fired 17 inspector generals across government agencies within days of taking office, including at the Pentagon. The department's acting inspector general, Steven Stebbins, signed the memo announcing the review. While the memo called for the department to provide two points of contact to facilitate the review within five days, it does not provide a timeline for the assessment.



The Brown University campus in Providence, R.I.

New York Mayor Adams to Start Own Political Party for Re-Election

By James Fanelli and Ginger Adams Otis

New York City Mayor Eric Adams announced plans to start his own political party to run for a second term—an unorthodox strategy that he thinks is his best path to win re-election.

No longer encumbered by his bribery case, the mayor said he plans to focus on a run in the general election in the fall. He would still be a Democrat but campaign on a newly created party line that emphasizes public safety.

"I firmly believe that this city is better served by truly independent leadership, not leaders pulled at by the extremists on the far left or the far right but instead those

rooted in the common middle, the place where the vast majority of New Yorkers are firmly planted," Adams said in a video Thursday.

The mayor said he won't run in the Democratic primary in June, claiming that his criminal case had dragged on for months, making it impossible to mount a proper fight in that race. Instead he will pin his hopes on the November election, allowing him a longer runway to mount a campaign.

The mayor had been keeping his campaign plans under seal, holding off on an announcement until after a federal judge on Wednesday dismissed the charges against him.

The Justice Department had asked for the case to be

dropped, saying it distracted the mayor from running the city and helping President Trump in his push to crack down on illegal immigration and violent crime.

Adams's campaign decision means that the general election in November could be unusually competitive. Former Gov. Andrew Cuomo, a Democrat, is the current front-runner in the June primary. If he wins, he could square off against Adams in the fall.

Adams spent the past six months fighting for his political life and freedom after federal prosecutors charged him with bribery and campaign-finance violations. While he denied wrongdoing, Adams faced calls for his resignation.

RFK Jr. to Restore Some Programs, Workers

By Kristina Peterson and Liz Essley Whyte

Health and Human Services Secretary Robert F. Kennedy Jr. said he would reinstate some programs and federal workers cut this week as part of his sweeping reorganization of the department.

"Some programs that were cut, they're being reinstated," Kennedy said on Thursday. "Personnel that should not have been cut were cut. We're reinstating them."

Kennedy last week said 10,000 employees would lose their jobs in a broad reorganization of the health department and the agencies it oversees.

Layoff notices began Monday night and continued through Tuesday morning, with health-department employees scrambling to figure

out who had been cut and how to keep government functions going that had been delegated to those workers.

Kennedy said a program at the Centers for Disease Control and Prevention that monitors blood-lead levels for children would be reinstated. He said agency leaders approached the reorganization with a willingness to make dramatic cuts even if they made errors.

"That was always the plan," he said, referring to fixing mistakes and the Department of Government Efficiency's approach to making federal cuts. "Part of the DOGE—we talked about this from the beginning—is we're going to do 80% cuts, but 20% of those are going to have to be reinstated, because we'll make mistakes."

Entire divisions and offices

of the CDC, Food and Drug Administration, National Institutes of Health and other sections of the health department were eliminated on Tuesday, including groups focused on HIV prevention, violence prevention, injury prevention and Freedom of Information requests.

Some key leaders were offered reassignment to remote offices of the Indian Health Service.

Kennedy said last week the cuts would make HHS more efficient and effective. "We are going to do more with less," he said.

Some FDA employees who were let go on Tuesday have been asked to continue to help the agency with certain functions, but it is unclear if their layoffs have been rescinded, people familiar with the matter said.

TARIFF FALLOUT

Global Economic Order Gets Reshuffled

Trump’s tariff move risks pushing nations, including the U.S., to the brink of recession

By NICK TIMIRAO

The U.S. is moving to blow up the global trading order it built, ushering in an uncertain new era.

President Trump’s highly anticipated announcement represents a high-stakes gamble to transform a global economic relationship that Trump for decades has said ripped off the U.S.—even as the American economy had emerged from the pandemic as the envy of its rich-world peers.

The president’s moves raise the specter of a stagflationary shock that increases prices while putting more economies, including the U.S., at risk of recession.

Trump stunned markets by announcing a suite of tariff hikes on major trading partners, including 20% for the European Union and 34% on China. The tax on imported goods, which also includes at least a 10% across-the-board increase on all countries, will

raise overall weighted-average tariffs to 23%—the highest in over 100 years—from 10% before the announcement and 2.5% last year, according to JPMorgan Chase.

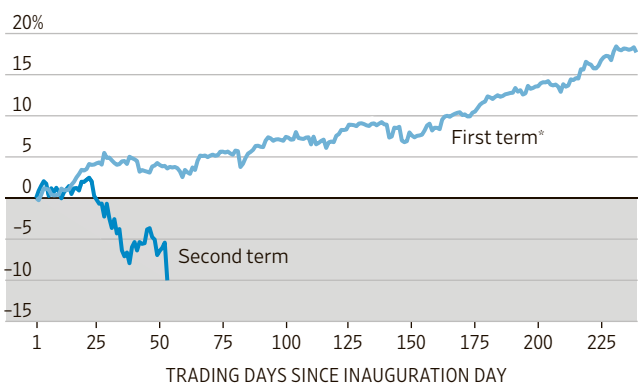
Economists said Trump’s policy shift, if it isn’t rolled back, could rival President Richard Nixon’s 1971 decision to overturn arrangements created by the U.S. and its wartime allies during World War II, when Washington had agreed to exchange dollars for gold at a rate of \$35 an ounce.

It would mark “probably the biggest attempt to fundamentally reshape the tax-trade structure in the U.S. since Nixon took us off the gold standard in the early 1970s,” said Michael Gapen, chief U.S. economist at Morgan Stanley.

Gapen said his bank had been advising clients that markets were too complacent about the risks of bigger and broader tariffs, but Wednesday’s announcement “was more expansive than even we thought.”

The president’s mercurial and chaotic rollout of his trade plans, which already have included 20% tariffs on China, 25% tariffs on auto imports and 25% tariffs on Cana-

Change in S&P 500 since the inauguration day of Trump’s first and second term



*Shows through the end of 2017
Source: FactSet

dian and Mexican goods that aren’t covered by an existing trade agreement, has chilled business investment and consumer sentiment.

“They just announced a major tax hike, mostly on the corporate side, but as with most corporate taxes, they will be translated into higher prices to the consumer. And you don’t grow an economy with higher taxes,” said Steven Blitz, chief U.S. economist at GlobalData TS Lombard.

The tariff increases announced Wednesday are par-

ticularly drastic because they don’t have exemptions for the two-thirds of imports that normally come in duty-free, such as coffee, tea and bananas, which aren’t produced in significant quantities domestically, said Douglas Irwin, a trade economist and historian at Dartmouth College.

They will cover a far wider array of goods than during Trump’s 2019 trade war with China. Nike produces half of its shoes in Vietnam, which faces a 46% tariff. A web of consumer-electronics makers

across China, Taiwan and South Korea will face tariffs of at least 25%. The tariffs exempt oil, gas and refined products.

The tariff hikes raise the risk of a sharp hit to consumers’ inflation-adjusted incomes that could tip the U.S. economy into recession this year, said Diane Swonk, chief economist at KPMG. The suite of tariffs announced amounted to a “worst-case scenario” relative to expectations in the run-up to the announcement, she said.

Moreover, it isn’t clear how trading partners will respond, meaning uncertainty could remain elevated for some time to come. “If the goal is to get firms to relocate here, this doesn’t accomplish that, because you don’t know for sure in three to five years, by the time you build a plant, will the tariffs still be intact,” said Swonk.

Tariffs could bring in new revenue but at a potentially steep cost to financial markets. Lofty asset prices over the past two years have reflected investors’ bets that the U.S. economy was well positioned relative to its peers, given advances in technology

and the prospect for an elusive “soft landing.”

Trump inherited an economy with steady growth and a declining rate of inflation but vulnerabilities from a frozen housing sector, cooling labor market and richly valued stock market.

Trump has long regarded trade deficits as a sign of economic weakness. But in the Trump administration’s attempts to narrow those deficits, foreign countries could reduce their purchases of U.S. Treasury securities or have less surplus capital to park in American stock, real-estate and private-debt markets.

“The real pain from this event will be the breaking down of the capital flow agreement that we had with the rest of the world,” said Blitz. “This idea that you can break trade, and not break the capital flow side, is a fantasy.”

If the tariffs remain in place for a prolonged period of time, inflation using the Federal Reserve’s preferred gauge could rise from 2.5% in February to 4.4% at the end of this year, according to economists at UBS. They see inflation declining after that, to 3% by the end of 2027.

STREETWISE | By James Mackintosh

Market Carnage Could Be Just a Start



Is “recession” now spelled T-A-R-I-F-F? Markets were

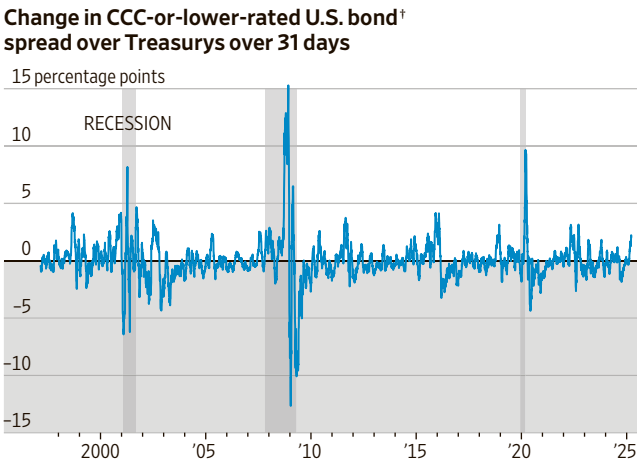
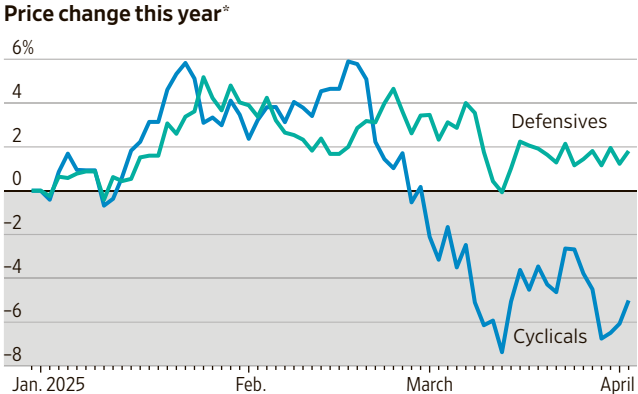
gripped by the recession trade after President Trump’s tariffs threatened a global trade war. Treasury yields, stock futures and the dollar all plunged.

This isn’t mere market hyperbole. Thursday was only the sixth time in history that the S&P 500 had fallen more than 4% while the dollar also fell more than 1%—with investors shocked that the greenback had failed in its usual role as a safe haven.

The market carnage may be just the beginning: If the tariffs, which are in effect the biggest U.S. tax rise since at least the 1950s, cause the economy to shrink, stocks and Treasury yields still have a long way to go down.

As recessions take hold, stocks are hit both by lower earnings and lower valuations. Defensive stocks better able to maintain sales—such as sellers of food and other staples—beat those selling optional purchases, known as cyclical. Since the S&P 500 peaked in mid-February, investors have moved fast to dump cyclical and switch to defensives. My measure of cyclical sectors, which equally weights stocks within each sector, has lagged behind defensives by the most over such a short period since the March 2020 Covid lockdown.

The lowest-rated junk bonds, most likely to default



*Cyclicals are equal-weighted consumer discretionary, information technology, industrials and materials; defensives are utilities, healthcare, consumer staples and communication services. Data through Wednesday †ICE BofA index, data through Wednesday. Source: LSFG

in tough times, have also been hit hard. Their extra yield above Treasuries has risen by more than 2 percentage points. They last had such a big jump over a similarly short period when economists were sure recession was imminent in 2022 (in the end there was no recession).

Yet while the market is moving fast to price in a higher chance of recession, it’s far from fully prepared. The S&P 500 is only down 12% from its all-time high

and back to where it stood in August. Usually in recessions, stocks eventually fall at least 20% and give up far more than seven months of gains.

Junk bonds are also far from pricing in recession, which would typically lead to spreads over Treasuries for the weakest bonds at least double the current levels.

Treasury yields haven’t actually fallen all that much. The 10-year is off 0.76 per-

centage point from its high earlier this year. But it has had bigger falls over such a period three times in the past two years. Two of those times, they ended up dropping more than a percentage point. Since recessions commonly cut rates by three points or more, a much bigger fall in yields would be needed if recession became a certainty. Unless, of course, stagflation prevents the Fed from cutting—but that would mean the economy, stocks and corporate bonds would suffer even more.

For now, markets think the Fed will look through the tariffs and cut even as new taxes push up prices. While Chair Jerome Powell is unlikely to repeat his description of the 2022 inflation as “transitory,” he could reasonably treat the tariffs as one-offs so long as inflation expectations don’t rise too much.

Markets think this is likely: The chance of a rate cut next month priced into futures doubled to 24% after the new tariffs, according to CME FedWatch.

Investors who think the return to tariffs higher than the 1930 Smoot-Hawley rates will hammer the economy into recession should expect much bigger falls in stocks and bond yields as 2025 goes on.

Those who think the rest of the world won’t seriously retaliate and that Trump will quickly negotiate the rates away can be happier with the still-high levels of prices. But even they ought to worry about the damaging effects of prolonged uncertainty on the economy.

Some in GOP Fear Effect of Trade Blitz

WASHINGTON—Senate Republicans grew jittery about President Trump’s wide-ranging tariffs, with some saying Congress should reassert its powers to run trade policy and others warning that the administration’s plans carried deep risks.

By Lindsay Wise, Siobhan Hughes and Richard Rubin

The tariffs, central to Trump’s second-term economic agenda, sparked a sell-off on Wall Street amid concerns they would drive up prices and tip the economy into a recession.

Sen. Chuck Grassley (R., Iowa), the only grain farmer in the Senate, joined with Sen. Maria Cantwell (D., Wash.) to introduce a bill Thursday that would allow Congress to remove tariffs put in place by any president.

Grassley’s office said the bill was part of his longstanding work on trade policy and not specifically a response to Trump’s actions. Several other Republicans including Sens. Lisa Murkowski of Alaska, Thom Tillis of North Carolina and Mike Rounds of South Dakota said they would support the measure or were open to it.

“We have to wait and see” on the new tariffs, Grassley said. “I’m not surprised at the impact today, but we’ve got to wait a few days and get a longer-term impact.”

Late Wednesday, four Senate Republicans helped Democrats pass a measure aiming to reverse a previously announced 25% tariff on Canadian imports, and Democrats said they were planning more

such measures to challenge Trump’s policies.

None of the proposals are likely to become law, but they served to gauge GOP pushback.

Sen. Mitch McConnell (R., Ky.), who backed the Canada measure, said on X that tariffs were “bad policy, and trade wars with our partners hurt working people most,” pointing to the expected impact on farmers, bourbon makers and car manufacturers in his state. He said that “at a time when Americans are tightening their belts, we would do well to avoid policies that heap on the pain.”

The other three Republicans to support ending the Canada tariffs were Murkowski, and Sens. Rand Paul of Kentucky and Susan Collins of Maine. Paul has argued that the tariffs amount to a tax, making them a matter for Congress to decide, not the president.

“This isn’t about political party,” he said. “I voted for and supported President Trump. But I don’t support the rule of one person.”

Other GOP lawmakers indicated their support for the president’s agenda might have a breaking point.

Senate GOP leaders were working to keep Republicans on message, highlighting that Trump’s broader goal was to level the playing field, saying unfair trade relationships had cost Americans jobs and sent vital industries overseas.

Senate Majority Whip John Barrasso (R., Wyo.), one of Trump’s staunchest Senate GOP allies, told reporters that “long-term, I think this is very important for the country.”

Trump Tariff Message to World: Resistance Is Futile, Make a Deal

Leaders from Canada, Europe and China are threatening stiff countermeasures against the U.S. in response to President Trump’s surprisingly steep tariffs on nearly all imports. The administration’s response is, don’t even think about it.

By Kim Mackrael, Vipal Monga and Michael Amon

Trump is trying to short-circuit the trade war’s cycle of retaliation by threatening massive new tariffs on any country that responds, and by dangling the prospect of a better deal for those who hold fire and negotiate. The highest tariffs—the so-called reciprocal duties for many countries with goods-trade imbalances with the U.S.—don’t go into effect until Wednesday, giving world leaders time to plead their case with a president who considers himself a mas-

ter dealmaker.

“Every country’s called us,” Trump said on Thursday. “That’s the beauty of what we do. We’re in the driver’s seat.”

Will he make deals to lower tariffs? “It depends,” Trump said. “As long as they are giving us something good.”

So far, most of the world is holding out hope for a deal. Anthony Albanese, the prime minister of Australia, which has a free-trade agreement with the U.S. but now faces 10% tariffs, said his government would try to negotiate with the U.S. and won’t join a “race to the bottom” by retaliating.

Even the two countries that have retaliated—China, which faces tariffs of up to 70% now, and Canada, which went from a no-tariff free-trade agreement to 25% tariffs on many exports—have held back their most potent weapons.

For Canada that’s in part because Trump threatened to

double tariffs on the country when Ontario’s provincial leader began taxing electricity exported to the U.S. at 25%.

Similarly, Trump threatened 200% tariffs on European alcoholic beverages, including Champagne, after the EU said its retaliation against earlier steel and aluminum levies would include a 50% tariff on American whiskey. The EU delayed implementing the first of those duties—which the bloc said would eventually hit up to \$28 billion worth of American products—until mid-April in hopes of striking a deal.

Now European and Canadian leaders are walking a tightrope, trying to project strength with countermeasures while still holding out hope for talks with Trump.

EU Trade Commissioner Maroš Šefčovič, who is scheduled to hold a video call with U.S. trade officials on Friday, said he would “work round the clock” in pursuit of a deal with



France’s Emmanuel Macron called on industries to stay united.

the Trump administration.

Retaliating countries have a dilemma. The U.S. imports more goods from Europe, China and Canada than it exports to them, a fact that has long angered Trump and also limits their ability to respond with tit-for-tat tariffs. They also want to avoid putting levies on products they need and can’t easily obtain from other trading partners.

Countries that retaliate against the U.S. risk worsening their own economic problems, said Barry Appleton, an inter-

national trade lawyer and co-director of the New York Law School’s Center for International Law. “It’s like putting your head in a lion’s mouth,” he said. “Don’t do that.”

Europe is laying the groundwork for a novel response that could target America where it hurts the most: Its overwhelming superiority in services exports.

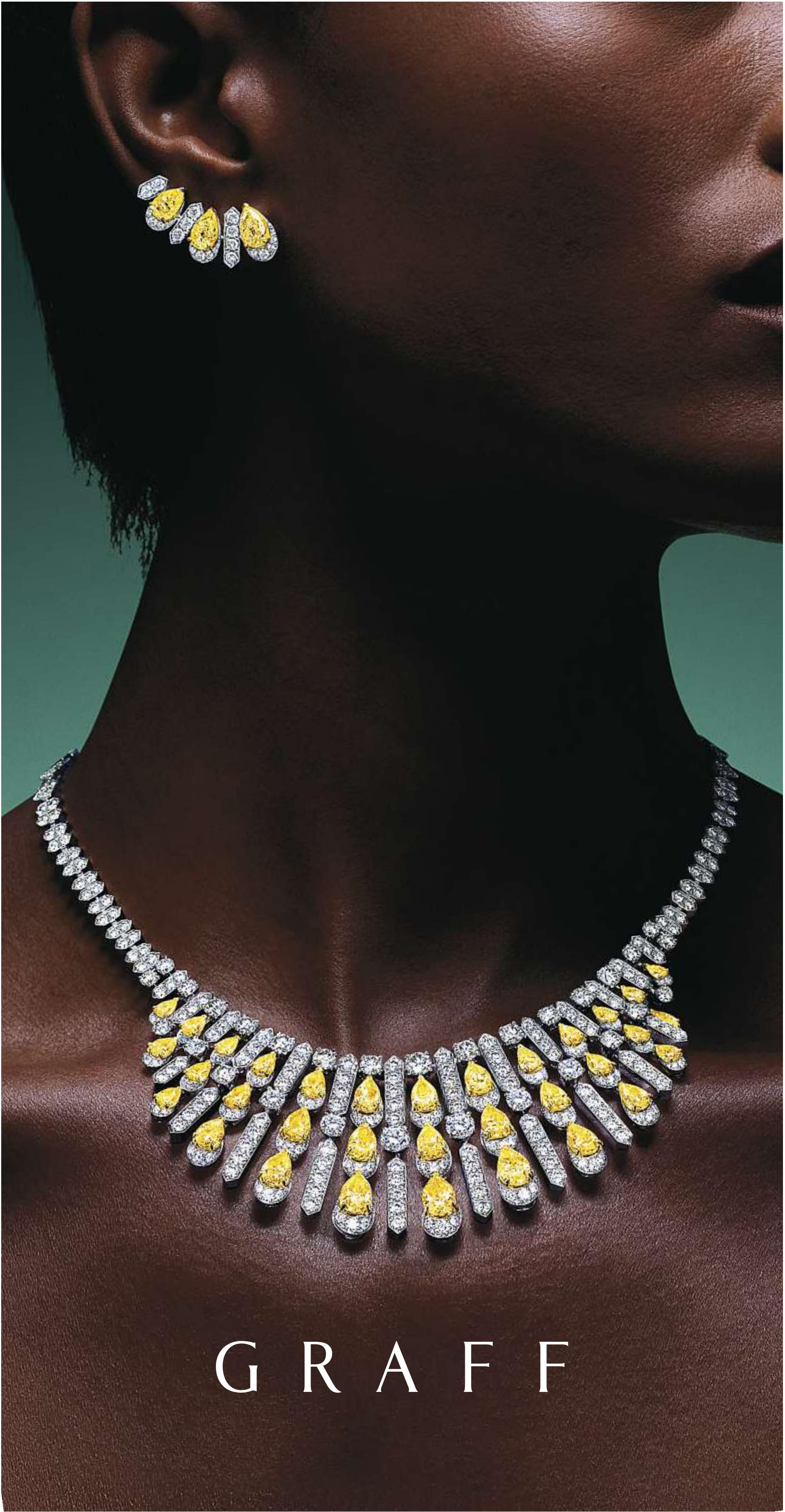
Targeting big American tech companies like Alphabet or Meta, or taking other measures to restrict U.S. services, is widely viewed as a last re-

sort for the bloc because doing so could provoke a harsh reaction from the Trump administration and damage the EU’s reputation as an open market. There’s also a risk it could raise costs for consumers or have unintended consequences for European companies.

“Sometimes it’s important to have a gun, and sometimes it’s also important to put it on the table, even if you’re not using it,” said Bernd Lange, who chairs the European Parliament’s trade committee.

French President Emmanuel Macron said the EU could activate a new law that allows the bloc to respond to another country’s attempt to use economic coercion against it. Options for retaliation under the law are wide ranging and include the ability to restrict services companies’ access to the market or curb the enforcement of intellectual property rights, among other measures.

Macron called on industries “to remain united, to be determined” rather than to make one-off deals or announce investments in an attempt to negotiate exemptions with Washington.



G R A F F

TARIFF FALLOUT

How to Visualize The Trade Deficit

President Trump has unveiled the centerpiece of his tariff agenda, saying he will impose sweeping import taxes on goods from all nations. The tariffs are pegged to amounts the president said other countries impose on the U.S.

In many cases, the tariff amounts seem to match a basic formula: the size of a country's goods-trade imbalance with the U.S., divided by how much America imports from that nation.

A trade deficit is the difference between the value of the goods and services a country imports and the value of goods and services it exports. A deficit means that a country is importing more than it exports. A surplus means the opposite. Economists sometimes examine the total trade

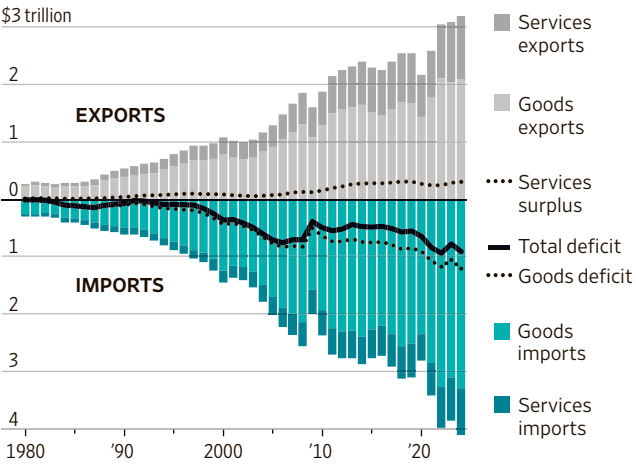
balance—goods and services—and sometimes analyze just goods or services trade. Services include transportation, construction and the provision of accounting or legal support. The White House's tariff analysis appeared to include only goods, not services.

What does the trade balance say about U.S. industrial strengths and weaknesses?

The U.S. excels at exporting services, such as banking, insurance, consulting and legal advice. It is also a major exporter of some goods, including aircraft, soybeans and oil. Over the years it has increasingly turned to other nations for many of the goods it consumes, including electronics, clothing and other items.

—Alana Pipe, Drew An-Pham and Jeanne Whalen

U.S. trade balance



Value of goods in 2024 by trading partner, in billions

China

Exports	\$143.5
Imports	\$438.9
Balance	-\$295.4



Vietnam

Exports	\$13.1
Imports	\$136.6
Balance	-\$123.5



Japan

Exports	\$79.7
Imports	\$148.2
Balance	-\$68.5



EU

Exports	\$370.2
Imports	\$605.8
Balance	-\$235.6



Taiwan

Exports	\$42.3
Imports	\$116.3
Balance	-\$73.9



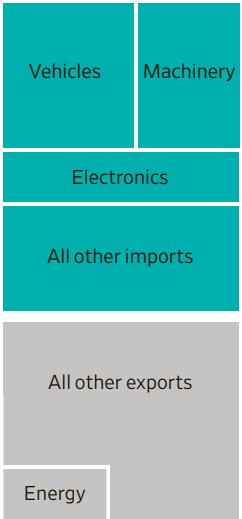
South Korea

Exports	\$65.5
Imports	\$131.5
Balance	-\$66.0



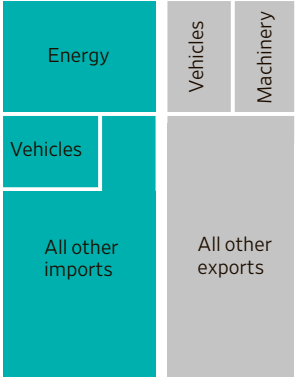
Mexico

Exports	\$334.0
Imports	\$505.9
Balance	-\$171.8



Canada

Exports	\$348.5
Imports	\$412.7
Balance	-\$64.2



Note: Machinery includes nuclear reactors, boilers, mechanical appliances and parts. Vehicles includes vehicle parts. Electronics includes electrical machinery and equipment, sound recorders and reproducers, television image and sound recorders and reproducers, and parts and accessories. Energy includes oil, gas and electrical energy. Balances may not equal differences between exports and imports due to rounding. Sources: Commerce Department (trade balance); Census Bureau (value of goods in 2024)

WTO Sees Trade Flow Decline This Year

By PAUL HANNON

Global trade flows will likely fall this year following President Trump's latest round of tariff increases, while fresh rounds of retaliation would deepen the economic impact, the head of the World Trade Organization said.

Trade in goods rebounded last year after a 2023 decline, and the WTO had expected to see a further pickup this year. But that outlook has changed following the sweeping rise in duties on imports announced by the U.S. on Wednesday.

"While the situation is rapidly evolving, our initial estimates suggest that these measures, coupled with those introduced since the beginning of the year, could lead to an overall contraction of around 1% in global merchandise trade volumes this year," said Ngozi Okonjo-Iweala, the WTO's director general.

In a statement, she added that trade flows would fall further if the U.S. were to respond to any retaliation with further tariff increases.

Trade diversion is a possible source of further escalation.

If businesses in China, for example, find that demand for their products has weakened because of tariffs, they will likely try to find customers elsewhere, and lower their prices to do so.

But that could prompt the European Union and other places to contemplate measures to limit the inflow of Chinese goods, opening up a new front in the trade conflict.

The WTO rarely comments on the actions of one of its members, but said other countries "have reached out to us" for an assessment of the likely impact of the new tariffs.

Economists Question Math Behind Rate Formulas

The White House laid out new tariffs on more than 200 countries in two main ways. For more than half, it imposed a reciprocal tariff of 10%. For

the rest, it added an additional levy based on a basic formula. The administration determined costs it said countries imposed by taking the amount of a nation's 2024 goods-trade imbalance with the U.S., then dividing that by the value of the goods America imports from that nation.

Several economists said that basing tariffs off of bilateral goods deficits is confusing and illogical.

Learning of the tariff formula "was like watching a movie, and at the end of it, you're like, 'That's it?'" said David Beckworth, a senior research fellow at George Mason

University's Mercatus Center.

Beckworth said a more holistic approach would have taken services trade into account, too—like tech and education the U.S. sells to foreigners.

Goods deficits are a normal feature of healthy trade and "do not imply that anything is wrong," said Gian Maria Milesi-

Ferretti, a senior fellow at the Brookings Institution.

A poor country that mostly exports coffee to the U.S. might lack the wealth to buy Boeing aircraft or Tesla SUVs. But that is no reason to discourage that country's coffee from reaching American consumers, Milesi-Ferretti said.

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TARIFF FALLOUT

World Braces For Flood of Chinese Goods

President’s tariffs risk domino effect across globe as new markets are sought

By Jason Douglas and Rebecca Feng

President Trump’s jumbo tariffs on China threaten to create a new problem for a global economy already stressed over trade: a \$400 billion deluge of Chinese goods looking for new markets. U.S. consumers and businesses learned on Wednesday that, from April 9, Chinese imports will face tariffs of around 70% on average, after Trump walloped China with stiff new duties as part of his trade broadside. The new tariffs will likely push up prices in the U.S. for products ranging from consumer electronics and toys to machinery and essential components for manufacturing. That towering tariff wall also risks diverting some U.S.-bound Chinese exports into a global market already swimming in China-made goods, worsening a so-called China shock that is facing pushback around the world, economists say. Other major exporters, such as Vietnam, South Korea and Japan, could also see barriers to their exports prolifer-

ate as U.S. spending on imports falls and their exports get shunted to new destinations. Economists say such domino effects underscore how trade wars can quickly escalate, drawing in more countries as retaliatory measures fly and defensive barriers go up. “The real fireworks are yet to come,” said Michael Pettis, a professor of finance at Peking University in Beijing who has written extensively about global trade. President Trump on Wednesday announced plans to levy tariffs on a range of U.S. trading partners that he accuses of taking advantage of the U.S. by boosting exports while keeping their own barriers to imports high. China, regarded by many in Trump’s orbit as the U.S.’s chief geopolitical foe, was hit especially hard. Chinese imports will be slapped with a 34% duty. That new tariff rate was stacked on top of a 10% tariff levied in February, another 10% added in March and a range of other tariffs imposed during Joe Biden’s presidency and Trump’s first term in office. Economists say that lifts the average rate on Chinese imports to around 70%. It will be hard for other countries to absorb Chinese exports that normally went to the huge U.S. market. The U.S.



Cars for export waited to be loaded onto a ship Thursday at a port in Yantai, in eastern China’s Shandong province.

in 2024 imported around \$440 billion of goods from China, according to Census Bureau data. China in 2023 was the source of a fifth of iron and steel products imported into the U.S., more than a quarter of its imported electronics, a third of its imported footwear and three-quarters of its imported toys, according to data from the International Trade Centre, an agency of the United Nations and the World Trade Organization. Ninety-one percent of U.S. umbrella imports came from China. To be sure, U.S. imports from China are unlikely to drop to zero overnight. Consumers might be able to find alternatives to some Chinese-

made products, but not others, and manufacturers outsource big chunks of their production to Chinese factories. Even if they manufacture goods at home, they are often bringing in parts and basic materials from China that can be hard to find elsewhere. Lower U.S. spending on Chinese imports means unsold goods have to go somewhere else. Yet surging Chinese exports are already jacking up tensions between China and the world’s big economies, and could rise further if exporters try to unload what had been U.S.-bound shipments to other countries. Since Trump launched his trade war in 2018, China has

been the subject of almost 500 antidumping rulings and investigations, according to Global Trade Alert, a Switzerland-based nonprofit that tracks global trade policy. Chinese leader Xi Jinping has poured investment into manufacturing to support advanced technology and pump up growth amid an epic property crunch and tepid consumer spending. The result has been a surge in exports, as firms hunt for overseas buyers to soak up goods they can’t sell at home. China last year posted a trade surplus of \$1 trillion. Countries have moved to shield domestic industries from cut-price Chinese competition in response. With the U.S. raising tariffs,

“there just aren’t other big markets that can easily absorb the immense scale of China’s manufacturing capacity,” said Brad Setser, a senior fellow at the Council on Foreign Relations and a former U.S. Treasury official. Beijing said on Thursday that it would deploy “resolute” countermeasures against the latest tariffs on Chinese goods, though it didn’t say what those were. In response to Trump’s earlier tariffs, China retaliated with tariffs of 15% on imports of U.S. chicken, wheat, corn and cotton and 10% duties on soybeans and beef. It also added a string of U.S. companies to export-control and corporate blacklists.

The White House Whirlwind That Led to ‘Liberation Day’

WASHINGTON—In the final run-up to President Trump’s “Liberation Day” tariff announcement, aides were left with a difficult task.

By Gavin Bade, Josh Dawsey and Meredith McGraw

They were struggling to square the president’s seemingly contradictory goals for sweeping new duties. He wanted them to raise significant revenue for the government, as well as provide a durable signal for companies to invest in the U.S., people with knowledge of the discussions said. Those goals would align with a permanent, across-the-board tariff. A universal approach would also help prevent companies from avoiding tariffs by shifting production to other countries—a key issue for Trump’s economic team. But the president also liked the idea of reciprocity, the people said—or charging nations “what they charge us,” as Trump has put it publicly. That pointed to individualized tariff rates for nations that

could be calibrated according to their tariffs and other economic policies. A senior administration official described a “ping pong match” between universal tariffs or the reciprocal approach. On one hand, Trump viewed the idea for a universal tariff as simple and easy to explain, this person said. On the other hand, advisers such as National Economic Council director Kevin Hassett and Commerce Secretary Howard Lutnick argued the American public would understand the tit-for-tat principle underlying a reciprocal approach. In a Monday afternoon meeting with his trade advisers, Trump asked for numbers on every country, a prelude to the chart of tariff rates he displayed in the Rose Garden on Wednesday, the senior administration official said. The figures didn’t necessarily match what foreign countries charge against imports from the U.S., The Wall Street Journal has reported. In the end, they decided to implement both tariff options. On Tuesday afternoon in an Oval Office meeting, Trump wanted to go with the recip-

rocal approach, the person said, though the plan would also include a universal, 10% tariff for any nation not targeted with higher, reciprocal tariffs. That decision came late in the monthlong lead-up to Trump’s self-imposed April 2 deadline, with the U.S. Trade Representative’s office as late as Tuesday afternoon still working on alternative, less aggressive plans. The result is an approach that has shocked the stock market and ignited a scramble for companies and foreign governments ahead of April 9, when the higher, reciprocal tariffs will take effect. White House economic officials have largely taken the chaos in stride, the senior administration official said, adding that despite the magnitude of the announcement, “we are only down 3%,” referring to the stock market. Trump—who has called himself “a tariff man”—imposed a plan similar to one he promised on the campaign trail. He did so

almost entirely based on his own vision for the U.S. economy, upending decades of U.S. trade policy without keeping some of his advisers in the loop and frustrating some Republicans who have backed his America First message. In the aftermath of the tariff decision, Trump’s aides took to TV to defend the president’s action, but not always satisfactorily from the White House’s perspective, people familiar with the matter said. On Thursday morning, there were discussions to make sure everyone was beating from the same drum on TV. On Thursday, officials focused on consolidating his message that the tariffs are here to stay, even as aides close to him said some negotiations with other countries are likely. “I don’t think there’s any chance...that President Trump’s going to back off his tariffs,” Lutnick said on Thursday on

CNN. “The world should stop exploiting the United States of America.” The administration has said the baseline 10% tariffs aren’t up for negotiation, though higher duties could come down. “He’ll be in a negotiation with every country,” said Steve Bannon, a former senior White House strategist who remains close with Trump and his aides. “Every day will be like Christmas. At the end of the day, what really excites him is talking about a deal with Canada, having Witkoff update him on Russia—the deals.” Steve Witkoff, Trump’s special envoy, has been leading negotiations on the Middle East and Ukraine. Many people urged Trump to take a more modest path. Earlier on Tuesday, and in the days leading up to Trump’s Wednesday tariff announcement, the White House fielded calls from industry and labor officials cautioning not to take a maximalist approach. GOP lawmakers and strategists expressed similar concerns about rising prices associated with tariffs. The announcement was a surprise to many. Prominent

business executives weren’t invited to the Rose Garden, nor were they given information before the event about what was to come, according to people involved in the White House tariff discussions. One of the few chief executives invited to the event, Zekelman Industries CEO Barry Zekelman, said before boarding a flight to Washington that he still didn’t know the details of the announcement he planned to attend. Inside the White House, many aides were ready to finally move on from the weeks of tariff uncertainty. One senior administration official hoped the White House could just “deal with the bloodbath” on Thursday and move on. After his announcement, the atmosphere among the trade leaders in Washington was downcast. At a pre-scheduled dinner hosted by the National Foreign Trade Council on Wednesday, pro-trade speakers from both parties railed against the tariffs, with Rep. Ted Lieu (D., Calif.) calling them crazy. “Anyone who suggests a tariff is not a tax needs to go back to school,” former U.S. Trade Representative Susan Schwab said.

The result is an approach that has shocked the stock market.

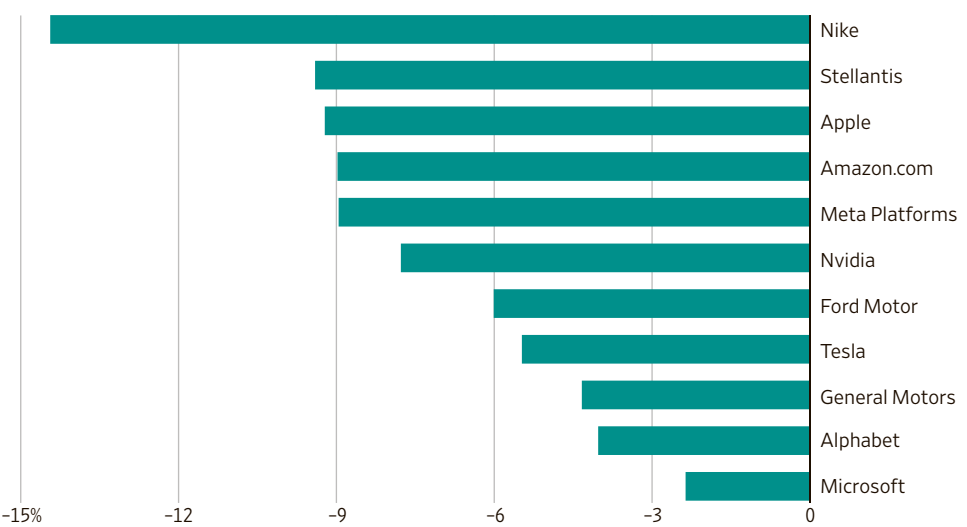
CEOs Rush To Address Fallout

Continued from Page One more than 50%. The 10% tariffs kick in Saturday, and the higher rates April 9. Many CEOs of publicly traded companies were silent Thursday. The Business Roundtable, which represents 200 heads of U.S. companies across sectors, said universal tariffs run the risk of harming U.S. manufacturers, families, workers and exporters. “Damage to the U.S. economy will increase the longer the tariffs are in place,” the group said.

‘Feeling of nausea’

Brian Riley, CEO of Guardian Bikes, was among the guests on Wednesday at the Rose Garden where Trump unveiled his sweeping new plan, one of the few business leaders sitting alongside auto workers and steelworkers. He said he welcomed the tariffs, even though they will squeeze his business. Guardian moved production of its children’s bicycles in 2022 from China to Seymour, Ind.

Share price change on Thursday, selected companies



While 90% of the components are imported from China, Riley had already put in place a plan to reduce that number to about 20% by the end of next year. The tariffs provide incentive for Guardian to expand capacity at its Seymour facility and invest in building out the bicycle supply chain in the U.S. Trump’s agenda “is a welcome departure from a trade and economic policy that prioritized offshoring production and cheap consumption,” Riley said. The mood was less joyous at Pulsar Products, a Cleveland supplier of stationery, novelty items and souvenirs. Employ-

ees held a “watch party” in the company’s boardroom to listen to Trump’s announcement. “As I looked around, I sensed a feeling of nausea,” Pulsar CEO Eric Ludwig said. Employees are concerned not just with the impact on Pulsar, but also with what tariffs mean for their own wallets and the American people. “We are thinking our clothes are going to cost more,” he said. “Everything is going to jump.” Pulsar has reduced the share of its supply coming from China to 50% from 80% in the past two years by moving some sourcing to Vietnam.

One Pulsar employee is currently in Vietnam checking on production for the busy back-to-school season, set to arrive at U.S. retailers in July. Such shipments from Vietnam now face 46% tariffs. Ludwig said he was hoping for some relief to help small businesses like his through the adjustment period. The new tariffs are the same for big companies and small, “but the impact on smaller companies is bigger,” he said.

Complicated plans Victor Yarbrough, CEO at

Brough Brothers Distillery in Louisville, Ky., was left wondering what retaliatory tariffs would bring. He recently invested in an expansion, with a strategy to send his excess spirits overseas. The tariffs complicate those plans. “We are certain the EU is going to retaliate,” he said. For booze giant Diageo, there was some relief after the White House kept duty-free access to the U.S. for products compliant with the U.S.-Mexico-Canada Agreement. It had feared some of its bestselling brands in the U.S.—like Don Julio tequila from Mexico and Canadian whisky Crown Royal—could be hit by new levies, potentially hurting operating profit by tens of millions of dollars a month. While Trump wants to encourage foreign manufacturers to beat the tariffs by establishing production in the U.S., many simply can’t. Europe’s food and drink industry, for example, trades on its regional heritage and ingredients. Scotch and Irish whisky must be made in Scotland and Ireland. Harry Tayler, co-founder of Scotch brand Wolfburn, watched on YouTube from his vacation in Cape Town as Trump hit British imports with a 10% tariff. He plans for the company and its U.S. distributor to absorb the cost. “Our profits will end up in

the pocket of the U.S. government,” he said. Still, Tayler sees a potential upside. The higher tariffs placed on imports from Ireland and Japan mean that Scotch may become more competitive and eat into the market share of two highly competitive rivals. Shifting overseas For Wisconsin-based Husco, which makes engines and parts for automakers and other manufacturers, the problem was the magnitude of the tariffs. “If there had been a 5% tariff, we could have worked through it—maybe absorbing it, maybe sharing some of it with our suppliers,” CEO Austin Ramirez said. Husco has revenues of about \$500 million and three factories in the U.S., as well as plants in India, China and Europe, which mostly produce for those regions. Instead of boosting U.S. production, the new tariffs are likely to lead Husco to shift some production out of its U.S. factories. The new tariffs mean it will no longer be cost-effective to import components to make products for export. “It doesn’t make any sense to do that, I’m going to have to make those products in another part of the world,” Ramirez said.

TARIFF FALLOUT

Bid to Remake Economy

Continued from Page One last year, faster than almost every other major developed economy, an unemployment rate of just 4.1% and inflation of 2.8%. Stocks were at record highs. Wall Street assumed Trump would prioritize growth-friendly tax cuts and deregulation while delaying and diluting tariffs, as he did in his first term.

Instead, Trump decided to administer shock treatment immediately. The economy, he argued, is a sick patient that needs therapy now, regardless of the pain. "THE PATIENT LIVED, AND IS HEALING. THE PROGNOSIS IS THAT THE PATIENT WILL BE FAR STRONGER, BIGGER, BETTER, AND MORE RESILIENT THAN EVER BEFORE," he wrote on social media Thursday.

Trump's aides see the tariff rollout as part of a comprehensive program, along with tighter borders, lower taxes and less regulation, that will result in a more self-sufficient economy, where Americans produce more and import less of what they consume, fewer jobs are filled by immigrants who came illegally, the private sector is freer and the government less burdensome.

In that economy, "We're making a lot more stuff in America, high-tech manufacturing, security goods, autos, a lot more stuff across the industrial spectrum," said Stephen Miran, chairman of Trump's Council of Economic Advisers. Less regulation and taxes will "make it faster and more flexible to make stuff in America." Families and communities left behind by deindustrialization should benefit, Miran added.

Independent economists and even many Republicans think Trump's theory of the economy is wrong and that his trade policies will leave the U.S. poorer and international relations damaged. Some economists warn they could cause a recession.

U.S. markets slid Thursday in their steepest decline since March 2020, as investors worried the new tariff plan will hurt economic growth. Global markets also sank.

White House spokesman Kush Desai said Trump has made it clear that the U.S.'s decline isn't inevitable, but a choice rooted in bad policies that put it last. "Other peer countries like Germany and Japan have put their citizens first and maintained their manufacturing base and workforce," he said.



Donald Trump in 1987. He has talked about what he considers unfair trade policy since the 1980s.

On Wednesday, which Trump called "Liberation Day," the president dismissed naysayers, saying: "Every prediction our opponents made about trade for the last 30 years has been proven totally wrong."

Still, he has acknowledged privately and publicly that, in the short run, implementation of his plan is going to be disruptive—higher inflation, at least temporarily, and an elevated risk of recession. "Will there be some pain? Yes, maybe (and maybe not!). But we will make America great again, and it will all be worth the price that must be paid," he said on social media in early February.

Real-estate history

At a Republican National Committee fundraising dinner at the Four Seasons in New York on March 31, donors asked Vice President JD Vance how tariffs could impact Republicans in the 2026 congressional mid-term elections.

Vance pivoted to Trump's vision for a realignment of global trade to one that better benefits the U.S., said attendees.

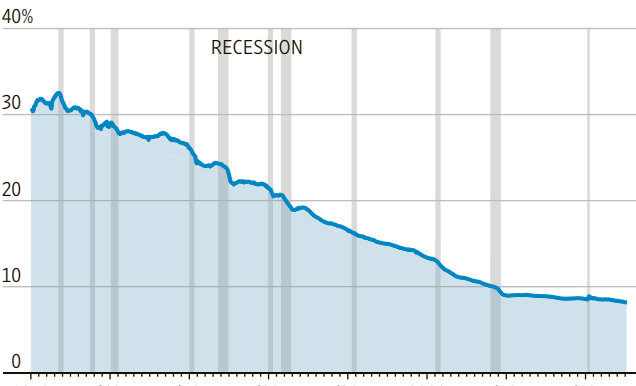
He told the crowd that he had met with Ford Motor Executive Chairman Bill Ford, whose family still controls the company, just the previous week, as Trump announced a 25% tariff on imported cars. Ford could suffer from Trump's auto tariffs since the company has supply chains that move through both Canada and Mexico.

Trump is making policy decisions with his gut after meeting with his advisers, Vance told the roughly 20 donors.

A spokesman for Vance didn't respond to a request for comment. A Ford spokeswoman confirmed the meeting.

Trump's obsession with trade and tariffs is heavily influ-

U.S. manufacturing workers as a percentage of all nonfarm workers



Source: Labor Department

enced by his background in real estate. "From the very first time I met him, on trade, it was as if he was talking about developing properties in New York City," recalled Sam Nunberg, who worked for Trump from 2011 to 2015. "He was extremely well versed, he followed the nuances and he knew the history of it."

Marc Short, chief of staff to Trump's first vice president, Mike Pence, and now a critic of the tariffs, said, "The way [Trump] would describe it is to say...the American marketplace is the greatest marketplace, and people should be charged to have access to it, like a real-estate fee. And we're suckers not to be charging people not to have access to it."

Trump developed this viewpoint early on as a real-estate developer dealing with deep-pocketed Japanese investors. "Forget about our enemies—the enemies you can't talk to so easily. I'd make our allies pay

their fair share," Trump told talk show host Oprah Winfrey in 1988. "We let Japan come in and dump everything into our markets. It's not free trade. If you ever go to Japan right now and try to sell something, forget about it...We make it possible to sell their oil.

Why aren't they paying us 25% of what they're making?"

The targets of his ire have changed, from Japan, Kuwait and Saudi Arabia to China, Vietnam and Mexico, but his prescription has stayed the same: Make them pay for the privilege of selling to or being defended by the U.S.

His views were honed by listening to protectionist television personalities, including the late Lou Dobbs on CNN and Fox Business, Laura Ingraham on Fox and the late Ed Schultz on MSNBC, according to Nunberg.

Nunberg said Trump would remark on how much cheaper televisions were in the U.S.

Trump's rhetoric evokes past eras when U.S. manufacturing was at its zenith.

compared with other countries, a differential he blamed on bad trade deals. He said American workers were being victimized not just by offshoring but by illegal immigrants, citing conversations with union construction workers, Nunberg said. The central message of his presidential campaigns reflected these ideas—that American workers and families were being unfairly hurt by prior presidents who had allowed imports and immigrants to flood the economy.

Tapping nostalgia

Trump's rhetoric often evokes past eras when American manufacturing was at its zenith.

"As I was driving over, I see these empty old, beautiful steel mills and factories that are empty and falling down," he told an interviewer in Chicago last year. "We're going to bring the companies back."

Princeton historian Julian Zelizer said Trump's vision of the economy is fundamentally a nostalgic one. "It's an older, manufacturing-based, 1950s-'60s auto-producing economy that I think he still envisions is possible, fueled by oil, not fueled by electricity."

Former Republican Speaker of the House of Representatives Newt Gingrich, a supporter of Trump, disagreed. Trump, he said, admires Elon Musk and is enthralled by space travel. But he said Trump has returned the U.S. to its roots when it comes to tariffs and trade.

Trump, he said, is an admirer of President William McKinley, who raised tariffs sharply in the 1890s. Only since Franklin Roosevelt has free trade been "enshrined in modern economic thought," he said.

In his first term, Trump raised tariffs considerably, especially on China. Japan, South Korea, Canada and Mexico all made concessions to secure new trade deals with the U.S.

Yet Trump ended his term with a sense of unfinished business. He has recently told allies at his Mar-a-Lago club in Florida that he felt blocked from larger scale tariffs by people such as National Economic Council director Gary Cohn and Secretary of State Rex Tillerson. Trump's advisers have often tried to dissuade him of what they said were his misconceptions about trade, such as who pays the cost of the tariff. "That was always a circular conversation," recalled Short. "It would be explained, it's the American importers, and he'd come back...and he'd say those countries need to pay."

Trump's current team includes skeptics on tariffs, but they don't try to talk him out of using them.

On Wednesday, Trump affirmed his commitment to both

tariffs and prosperity. But the announcement didn't explain how the first would lead to the second.

Doug Irwin, a trade historian at Dartmouth College, noted that moving automotive supply chains with Canada and Mexico, some of which date to the 1960s, to the U.S. will be a costly, decadeslong project.

"What all economists know about tariffs is they reduce efficiency," he said. "Is it plausible that we could make all parts of all cars and be just as efficient, and offer the same cars at the same prices, than when we take advantage of specialization across borders?"

Even supporters of tariffs say they should be complemented by investment in skills, research and advanced manufacturing, such as the law signed by President Joe Biden that directs \$39 billion in subsidies toward chip manufacturing. Trump wants the law repealed, arguing for tariffs on chips instead.

"Tariffs are a very important part of the puzzle, but I think you also need supply side policies for rebuilding in America," said Oren Cass, founder of American Compass, a think tank aligned with Trump's populist agenda that favors more manufacturing at home and less immigration. "The details and subsequent policies are the way to get things done, and they've not done that yet."

Explaining Trump's economic agenda remains a challenge for Republicans who are steeped in the economic orthodoxy that tariffs are a form of taxes and thus bad for growth.

Trump's more mainstream advisers, such as Kevin Hassett, director of the National Economic Council, and Treasury Secretary Scott Bessent, play up the growth potential of his de-regulatory and fiscal moves.

While Republicans in Congress have moved toward Trump on tariffs, few have embraced them enthusiastically. Rather than defend the tariffs, most prefer to discuss the parts of Trump's agenda that align with what Republicans have traditionally argued help growth, namely lower regulations, taxes and government spending.

"There's a mosaic," said Tennessee senator Bill Hagerty this week. "Part of it includes tariffs. It also includes taxes...there's also a deregulatory effort that's under way right now."

The hope is that the disruptive effects of tariffs, deportations and spending cuts wear off soon, allowing the positive effects of reshoring, cheaper energy and lower taxes to emerge. The anxiety among business, markets and the public that greeted Trump's "Liberation Day" announcement suggests threatening that needle has become more treacherous.

U.S. Stocks Suffer a Steep Slide

Continued from Page One ries in Mexico and Canada.

The turmoil spread, with oil prices dropping more than 6% and investors selling gold after its sharp run over the past year to fresh records. So far, traders said, selling has been orderly and though the scale of U.S. tariffs came as a shock, few investors are surprised to see stocks pull back following their gains over the past two years.

■ Trump took the selloff in stride. "I think it's going very well," Trump, a Republican, said in response to a question about his tariffs Thursday afternoon. "The markets are going to boom."

■ Still, the decline sets up financial markets for one of their most precarious periods in recent years, as the tariffs and the international reaction test that faith of investors used to sticking with stocks.

■ Across Wall Street, money managers, brokers and bankers were reeling from what many described as an unprecedented shock, fearing it marked an end to the market's post-Covid rally. They might have lived through much bigger market swings, but this one felt incomparable because it was the result of deliberate policy.

■ "We're in a macro world that I've never seen now," said Stephen Solaka, managing partner at Belmont Capital Group. "We've been used to sort of the, 'buy the dip, things kind of work out,' scenario."



A trader at the Frankfurt Stock Exchange on Thursday; a board showed stocks on the Hang Seng Index in Hong Kong. Below, traders at the New York Stock Exchange and traders near a screen showing the Korea Composite Stock Price Index in Seoul.



Solaka, who spoke to many clients, sensed a level of anxiety they haven't felt in years, maybe ever. It is likely they grew accustomed to the market roaring back from every selloff, he said. This time, they aren't interested in looking to add tech stocks at a discount. "We've seen a lot of clients look to derisk," Solaka said, or reduce the risk of their portfolios.

Within about an hour on Wednesday evening, traders in-

creased the probability of a recession this year to 48%, up from 38%, according to Polymarket, a crypto-based prediction market.

Even before Trump's speech ended, Wall Street's investors and intermediaries swung into action. But they struggled for the right words to describe what might come next, or what to do with their money. Some of their notes and commentaries referenced the tariff policies



of the 1930s, rarely a welcomed historical comparison for either the markets or the economy.

As the market slide continued, some grew concerned selling would beget more selling. Automated-trading strategies have emerged as a stronger force in the market.

These programs, which depend on preset algorithms and models rather than intuition and instinct, tend to flicker to life just as the market turns

more volatile, said Arnab Sen, who helped build some models while working for Barclays and Morgan Stanley. As a result, they can amplify selloffs, he said. "Think of it as a delayed reaction," Sen said. "They are not the spark, but they will exacerbate the chaos if this shock persists."

The ratio of options contracts typically meant to protect against big market declines—versus those meant to

place bets that stocks will rise—surged to their highest level since Aug. 5, according to Choe Global Markets. That day, the Nikkei 225 fell more than 12%, its worst one-day drop since the crash after Black Monday in 1987.

Thursday's market drop might have been, according to DRW Trading Group's Lou Brien, "as swift as I've ever seen," but it will take time for investors to digest fully what Trump's tariffs mean. "It is a process, not an event," he said.

■ For weeks, investors hoped the tariffs unveiled at the president's "Liberation Day" wouldn't be so extensive.

■ Instead, "It was pretty shocking," said Danny Kirsch, head of options at Piper Sandler. He said his team had one of the busiest nights he can remember, placing bearish trades for clients until 10 p.m. Wednesday. "The bull argument keeps shrinking," Kirsch said.

■ Rob Citrone, a hedge-fund manager, watched Trump's announcement from his Orlando, Fla., home. Citrone knew more levies on imported goods were coming—the White House had stuck to this message for months—and so he had placed a series of wagers against U.S., European and Chinese stocks, betting they would drop as investors fretted over the consequences for consumers and companies.

■ But for the first part of Trump's Wednesday speech, the market moved higher. "This rally is crazy," Citrone thought, and added to his bets that stocks would fall.

■ Then Trump unveiled a plan that went further than most investors thought possible. Trump had just taken on the globe in a trade war. "I should have sold more," he said.

WORLD NEWS

U.S. ‘Going to Remain in NATO,’ Rubio Says

Secretary of state offers new military-spending target for members: 5% of GDP

By Laurence Norman and Michael R. Gordon

Secretary of State Marco Rubio said NATO allies should spend up to 5% of their economic output on defense—a goal he said wouldn’t need to be met immediately, and would require more U.S. spending, too. “We do want to leave here with an understanding that we are on a pathway, a realistic pathway, to every single one of the members committing—and fulfilling a promise—to reach up to 5% of spending,” Rubio said on his first visit to the alliance’s headquarters in Brussels. “That includes the United States, who will have to increase its percentage.”

A commitment by countries in the North Atlantic Treaty Organization to spend 5% of gross domestic product on their militaries would provide



In Denmark, U.S. Army equipment waits to be loaded onto ships headed to America after drills.

a huge boost to the alliance’s defense, and address Washington’s concerns that the Europeans haven’t been pulling their weight. If Washington were to approach the 5% tar-

get, it would entail a big rise in military spending. Though Rubio signaled increased U.S. military spending, he didn’t commit the U.S. to the 5% goal. NATO diplomats in recent

weeks have informally discussed reaching a 5% goal within several years for a limited period, diplomats said. Rubio said the Trump administration understands that

NATO allies can’t reach the 5% goal immediately.

“No one expects that you are going to be able to do this in one year or two but the pathway has to be real,” he said, speaking alongside NATO Secretary-General Mark Rutte.

NATO’s previous target, set in 2014, committed alliance members to spend 2% of GDP on defense by last year. Twenty-three of the alliance’s 32 members met that goal, NATO said. Diplomats say there is already growing consensus among alliance members that they should move toward a target of 3.5% on core military expenditures. Members are informally discussing adding to that military-related infrastructure and other spending.

The U.S. spent 3.4% of its GDP in 2024 on defense. U.S. Defense Department spending and Energy Department expenditures on nuclear weapons totaled more than \$880 billion for fiscal 2025.

To reach 5% of GDP, the U.S. would need to spend hundreds of billions of dollars more each year, according to

an analysis by the Peterson Institute for International Economics in Washington.

President Trump and Defense Secretary Pete Hegseth have discussed a 5% goal. Rubio reinforced that message in remarks before the meeting of NATO foreign ministers, saying the alliance must build up its “hard power.”

“President Trump has made clear he supports NATO. We are going to remain in NATO...But we want NATO to be stronger. We want NATO to be more viable,” Rubio said. “And the only way NATO can get stronger and more viable is if our partners—the nation states which comprise this important alliance—have more capability.”

Several European countries recently announced new plans to accelerate military spending.

“When you look at the hundreds of billions of euros...rolling in the last couple of months, this is probably the biggest surge in military spending we have seen in Canada and Europe since the Cold War,” Rutte said. “But still, we’ll need to do more.”

South Korea’s Impeached President Yoon Is Ousted

SEOUL—South Korea’s Constitutional Court ousted President Yoon Suk Yeol over his short-lived declaration of martial law, clearing the way for a snap vote to elect a new president who will contend with deep divisions at home and rising friction with the U.S.

By Timothy W. Martin, Soobin Kim and Dasl Yoon

The Constitutional Court’s eight judges voted unanimously in favor of upholding the impeachment of Yoon by the country’s legislature. Yoon can’t appeal the ruling.

Following the removal of Yoon, South Korea must now hold an election within 60 days—a vote that promises to be especially contentious as the fallout from Yoon’s declaration of martial law continues to roil domestic politics.

The dismissal of the 64-year-old conservative closes a tumultuous chapter in South Korean politics. Yoon shocked the nation when he declared martial law on Dec. 3, arguing the country was at risk of falling prey to North Korean “communist forces” and to a constitutional crisis owing to a political impasse in the opposition-controlled legislature. He was forced to withdraw the declaration just hours later.

Yoon and his lawyers had argued that martial law was an act of governance, not an impeachable offense or crime.



People react to the court verdict upholding the impeachment of South Korean President Yoon Suk Yeol on Friday in Seoul.

On Friday, the Constitutional Court rejected those claims as invalid. The challenges faced by Yoon “must be resolved through political, institutional and judicial means—not by mobilizing the military,” said Moon Hyung-bae, acting chief of the eight-judge Constitutional Court.

The clear front-runner in the coming election is opposition head Lee Jae-myung of the left-leaning Democratic Party, a popular though divisive politi-

cian who survived a brutal knife assault last year. The ruling conservatives remain bitterly divided over Yoon’s actions and have yet to agree on a candidate.

“From now on, the real Republic of Korea begins,” Lee said, referring to South Korea’s official name. “Together with the people, we will restore the collapsed livelihood, peace, economy, and democracy in a spirit of unity.”

The stakes are especially

high for Seoul. President Trump has taken aim at South Korea’s sizable trade surplus with the U.S. Meanwhile, North Korea has kept up its weapons launches and stands ready to carry out a nuclear test on short notice, according to a new assessment by the U.S.’s spy agencies. Trump has repeatedly accused Seoul of failing to pay enough to host American troops stationed in South Korea. Seoul is home to the U.S.’s largest overseas base.

The leadership vacuum has meant that direct talks with Trump to make South Korea’s case have remained elusive. The country has cycled through acting presidents since December, with Prime Minister Han Duck-soo regaining the role after judges reversed his own impeachment over certain judicial appointments last week. A Han-Trump call doesn’t appear imminent.

South Korea’s next leader will be tasked with smoothing

relations with Trump, while deciding how to react to China’s growing overtures to deepen economic cooperation. During the Biden administration, South Korean firms invested tens of billions of dollars in the U.S., drawn in part by subsidies. But now, those investments could be seen as liabilities, as Trump repudiates Biden-era policies.

At home, the new president could seek to heal divisions opened by the martial-law order. Such uses of emergency powers were common until the 1980s, when sometimes-bloody mass protests ultimately toppled a multidecade run of military rule and brought democracy to the country.

Roughly one in three South Koreans expressed no preference for any candidate, according to a recent Gallup Korea poll, suggesting the race could be unpredictable.

Within days of the martial-law declaration, the National Assembly impeached Yoon, stripping him of his presidential powers. More than a dozen officials involved in the martial-law decision—including Yoon himself—have been indicted on charges of insurrection, among others.

Yoon becomes the second South Korean president to be ousted since the country transitioned to democracy in 1987. The first came in 2017, when former President Park Geun-hye was removed over an influence-peddling scandal.

Pyongyang Hackers Fill Coffers

Continued from Page One “North Korean hackers are playing a different game than anyone else,” said Nick Carlsen, a former Federal Bureau of Investigation analyst who is now an investigator at TRM Labs, a blockchain-analytics firm.

Pyongyang’s crowning achievement came in February with a \$1.5 billion raid of Bybit, one of the world’s biggest cryptocurrency exchanges, in the largest-ever such heist. That followed several hackings in 2024, when North Korea stole more than \$6 out of every \$10 lost by the cryptocurrency industry, according to Chainalysis, which tracks crypto theft.

The illicit money helps fund the Kim regime’s nuclear program and prop up the country’s sanctions-strapped economy.

North Korea’s success reflects the major resources dedicated to the task. The regime commands more than 8,000 hackers as though they were in a military unit. State support means its hackers can wait months or years to exploit a single slip in a company’s digital security. Pyongyang’s desperation for cash, and its lack of concern for



Crypto hackers have bolstered Kim Jong Un, seen inspecting intelligence-gathering tools.

diplomatic blowback, have fueled its drive to be better than anyone else.

“The North Koreans are very pragmatic and just want to get things done—that’s what makes them special,” said Joon Kim, owner of Seoul-based Naru Security, which works with South Korea’s intelligence agency and national police on cyber issues.

Pyongyang hasn’t commented publicly about the latest crypto hackings. It has denied involvement in other cyber offensives in the past, which U.S. authorities said included the 2014 email hack of Sony Pictures Entertainment, 2016’s theft of \$81 million from Bangladesh’s central bank and the WannaCry ransomware attack in 2017.

U.S. officials and private investigators said North Koreans leave behind digital crumbs making it clear they

are the culprits, including familiar malware code and crypto wallets that were reused from prior heists attributed to Pyongyang.

The theft from WazirX, the Indian crypto exchange, showcased many of North Korea’s go-to moves.

At the time, company officers were conducting a routine operation: moving \$625,000 in crypto from a WazirX cold wallet, a digital vault where exchanges keep their reserves, to a so-called hot wallet, used to fulfill client transactions and withdrawals.

The transfer required three WazirX officials and an external service provider to sign off. Once those approvals were done, North Koreans somehow took control of the cold wallet and drained all the money in it—more than \$200 million—and dispersed it without being caught.

With almost half its assets gone, WazirX had to shut its exchange. Only around \$3 million of the stolen crypto has been frozen, in this case by Tether, the company that issues a cryptocurrency bearing its own name.

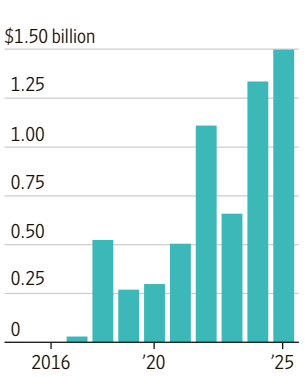
A representative for WazirX said it is trying to maximize recovery for users and reactivate its platform as quickly as possible.

The Wall Street Journal wasn’t able to determine how the North Koreans got access to WazirX’s cold wallet or modified the necessary approvals to take control.

But it was clear they were highly skilled. The North Koreans used more than 400 transactions to move WazirX crypto tokens to a wallet they controlled, suggesting the use of automation, said Benedict Hamilton, a managing director at Kroll, the firm WazirX hired to help trace the funds

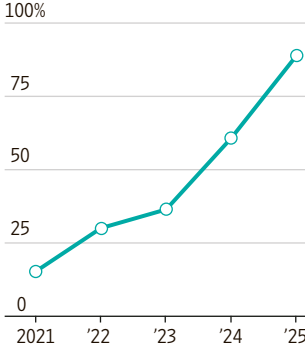
Cryptocurrency theft by North Korean hackers

Total amount



Note: 2025 data as of March 26

Percentage of industrywide losses



Source: Chainalysis

and restructure its debt.

Most of the funds have likely been converted to cash, Hamilton said.

North Korea spent decades cultivating its elite hacking capabilities, with the current dictator’s late father, Kim Jong Il, once professing, “All wars in future years will be computer wars.”

The country’s cyber-attacking operation, South Korean officials said, comprises six groups and about a dozen supporting organizations.

Youths who show aptitude for math and science are quickly enlisted for training. Cyber operatives do little other than work on improving their skills, and are subject to physical punishment, said Elma Duval, a co-author of a report by PScore, a Seoul-based advocacy group that interviewed former North Korean IT workers. Still, they live more comfortably than

most North Koreans.

The reason for North Korea’s focus is obvious: It needs about \$6 billion a year to fund its various government activities, South Korea’s spy agency has said, including hundreds of millions of dollars estimated to be earmarked for its nuclear program.

International sanctions have limited North Korea’s take from its traditional cash cows, including arms sales, coal smuggling and overseas labor. Crypto theft offers a low-risk way for Pyongyang to fill its coffers, said Eric Penton-Voak, who served as coordinator of the U.N. panel overseeing sanctions enforcement of North Korea from 2021 to 2023.

“North Korea has to pay more for everything, so they have to steal more than anyone else,” he said. “It’s very expensive to be a sanctioned country.”

ARTS IN REVIEW



“A MINECRAFT MOVIE” was always going to be weird considering the nuttiness of the videogame franchise upon which it is based: blocky pink sheep, skeletons firing flaming arrows, a cube called the Orb. But cheers to Warner Bros. for embracing the weird by choosing director Jared Hess, whose deadpan 2004 debut, “Napoleon Dynamite,” was so awkward it was sublime.

Mr. Hess’s take on Minecraft is an expensive and expansive blockbuster with the soul of a scrappy no-budget indie. Big, effects-driven features tend to play it safe; this one is adorably unruly, in tune with the intentionally retro look of the game. Those expecting a more conventional multiplex offering along the lines of “Jumanji” might be caught off-guard by what amounts to a \$150 million cult item.

The external evidence suggests that Jack Black, sporting a beard with patches of gray, has put fifth grade long behind him. Yet you’d never know it by the way he acts, exhibiting a don’t-care-about-being-cool level of enthusiasm that is pure elementary school as Steve, an office drone who sells door-knobs but always yearned for the physicality of life as a miner. Still hanging around mines as an adult, he zips through a mystical portal and into another dimension called the Overworld, where he not only gets to mine but also to craft: He learns to whip up objects such as tools and weapons and building blocks. Soon he has assembled a

An Oddball Blockbuster

FILM REVIEW | KYLE SMITH

The Hollywood adaptation of Minecraft retains the game’s nutty spirit



cabin out of bales of pink wool and has a pet wolf named Dennis.

Alas, in contrast to this creativity-forward dimension, another, more sinister one awaits, and Steve gets drawn into a fight for survival against an array of monsters both wacky and scary. Creative mode vs. survival mode: There are a lot of life metaphors in Minecraft, and I trust many a

Ph.D. in cultural studies will produce papers on the matter.

In battling the monsters Steve will shortly be joined by a random assortment of newbies drawn through the portal from an Idaho town built around a potato-chip factory. One of its employees is a young woman, Natalie (Emma Myers of Netflix’s “Wednesday”), who is taking care of her little brother,

Henry (Sebastian Hansen), after their mom died. They meet a real-estate agent (Danielle Brooks) who doubles as a traveling zookeeper—alpacos poke their heads out of her car—and a former champion gamer, Garrett (Jason Momoa), whose glory days, such as they were, are long past. Mr. Momoa, who after a soggy launch in those regrettable Aquaman epics is becoming a highly amusing ensemble actor, is, like everything else Mr. Hess presents, gratifyingly offbeat in his fringed pink-leather jacket.

Visually speaking, “A Minecraft Movie” is like a hyper-caFFEinated trip to a colossal candy store, or maybe just a trip, full stop. Imagine 1970s kiddie-TV producers Sid and Marty Krofft given access to today’s digital toolbox: The screen teems with bizarre monsters (giant pigs who talk like high-school burnouts, dog-shaped hedges with giraffe necks called “Creepers” that have a tendency to explode) and gonzo weaponry: A “tot launcher” fires little potato puffs, and buckets meant to be used as nunchucks get dubbed “buck-chuckets.” As was true of the Lego movies, every set piece has a lovable throwback quality, suggesting early-generation

Jack Black, Jason Momoa and Sebastian Hansen in ‘A Minecraft Movie,’ above; Emma Myers, below.

videogame designs with their block-by-block structures. Not everything about the film works—some gags are thin, and a few of the fight scenes underwhelm—but on occasion Mr. Hess steers things in such an unexpected direction that it’s hilarious. One particularly inspired subplot brings in Jennifer Coolidge as the love-starved vice-principal of Henry’s school. She collides with one of the placid, monk-like animated Villagers from the Overworld who slips into her dimension, then takes him out on a date. Another appropriately bizarre interlude finds Mr. Black riding the airborne Mr. Momoa into battle like a flying pony. Scoring this scene to the B-52s dork-rock classic, “Private Idaho,” is an inspired choice; the whole film is like a B-52s song, full of jerky jubilation and sly mischief, not for a moment hard-edged, mean-spirited, jaded or cynical. One tiresome habit of the blockbuster factory these days is that it keeps stamping out quippy young wisenheimers who react to everything with hyper-confident sangfroid. But Mr. Hess and his five screenwriters have mined childhood to craft something that’s alive with imagination. It’s not the most polished movie you’ll see this year, but it’s as cheerfully mad as a little kid’s birthday party. We could use more of that.

WARNER BROS. PICTURES (2)

TELEVISION REVIEW | JOHN ANDERSON

A Dying Woman’s Desires Set Free



It’s very tempting to simply heap roses on “Dying for Sex” through blossomy phrases like “heart-breaking” or “captivating” or “life-affirming,” which have lost all meaning, having been overused by critics. They don’t do the show justice anyway. The bigger problem with “Dying for Sex” is that while it’s revelatory, liberating, emotionally devastating and a very sex-centric story about love and desire, it also needs to be explained.

“Everybody has a bucket list,” says palliative-care consultant Sonya (the marvelous Esco Jouley), reassuring the terminally ill Molly Kochan (Michelle Williams). Sure, people do: Disney World. Batmo-

biles. A weekend at the George V in Paris. What Molly wants, at long last, is a satisfying sexual experience with another person after years of a petrified marriage, a battle with breast cancer, reconstructive surgery and the news, after four years of remission, that the cancer has come back. In her hip. Stage IV. Inoperable. Her guilt-monger husband, Steve (Jay Duplass), stopped sleeping with her after the first diagnosis. Is it significant that the cancer has re-emerged below her waist? There are many ways of interpreting many things in this eight-part series. Developed by Elizabeth Meri-

Jenny Slate, above left; Michelle Williams and Jay Duplass, above right, in ‘Dying for Sex.’

wether and Kim Rosenstock, “Dying for Sex” is based on the podcast of the same name by Nikki Boyer (played by a genius Jenny Slate) and the real-life Molly Kochan. It tracks, with much humor, poignancy and abundant frankness, Molly’s sexual journey—not reawakening: She knows very well what she wants and has not been getting. The climax of the story? I lost count. The shadow of death has set her free—likewise, the cancer drugs that are supposed to reduce libido but in Molly have the opposite effect. For all the supposedly erotic content, though, “Dying for Sex” is remarkably free of titillation or prurience. And what the radiant performance by Ms. Williams makes

clear—and heartbreaking, and life-affirming—is that Molly just wants to be desired. Steve, whom she dumps immediately upon getting the very bad news, has been attentive, caring, organized and devoted. You hate him. Mr. Duplass, quite good in a heroically thankless role, is playing a guy whose every act of alleged tenderness comes with a surcharge of martyrdom. If you didn’t know better, you’d think he was carcinogenic. Once Molly frees herself from Steve (but not his health care), she still has to contend with her childhood; having been sexually abused at age 7 by the boyfriend of her mother (Sissy Spacek), she is haunted by both the experience and her abuser (in phantom form). This aspect of the Kochan story may have been based in fact (I don’t know; I’ve purposely avoided

the podcast), but it seems narratively unnecessary. Why does her journey have to be a reaction to trauma, rather than incipient mortality? It makes her a little less brave as she abandons all bourgeois notions of what constitutes propriety and the series becomes both comic and fiercely emotional in relating the awkward explorations of one woman, and the bond between two. It isn’t a competition, but whether one falls in love with Ms. Slate or Ms. Williams—as Nikki assists, and Molly scores—is a toss-up. Why choose? Both give startling, uninhibited and poignant performances (sorry, more adjectives), in a show guaranteed to generate love and disquiet. “Dying for Sex” will surely upset some with its unfettered biology and acknowledgment of kinks. David Rasche (“Succession”), who plays Molly’s oncologist, is simply wonderful and a stand-in for the more prim among us; he is understanding, but squirms. He knows, at the same time, that while the body may be basic, what makes the libido tick is something else—many things, in fact. Molly, in her shall we say open-mindedness, discovers a gift for domination, which she exercises with partners who, for example, dress up like dogs. Or with her gruff, seemingly unapproachable neighbor across the hall (a terrific Rob Delaney), who was just waiting for someone to tap into his submissive inclinations. Their relationship is a beautiful thing, though not as lovely and real as the one between Nikki and Molly. But again, it’s not a competition.

Dying for Sex
Friday, FX on Hulu

Mr. Anderson is the Journal’s TV critic.

FX (2)

ARTS IN REVIEW

THEATER REVIEW | CHARLES ISHERWOOD

Clooney Comes to Broadway

The movie star plays broadcaster Edward R. Murrow in a stage version of ‘Good Night, and Good Luck’

New York
Good night, good luck, and the nearest Starbucks is two blocks south on Broadway.

That is obviously not the salutation the celebrated newsmen Edward R. Murrow used to conclude his television programs. Murrow worked in an era when journalists were fueled by cigarettes and Scotch, to begin with. But it might be a useful sendoff for audiences attending “Good Night, and Good Luck,” the stylish but stolid stage adaptation—transcription might be a more apt term—of the 2005 movie, with George Clooney making his Broadway debut. A double shot of espresso might not come amiss after watching this slick but unenthralling show.

Mr. Clooney directed the movie and co-wrote it with Grant Heslov. They also wrote the stage version, which presumably is why it closely mirrors the film’s structure and content, with a sizable portion of the dialogue lifted verbatim. Fair enough: The Oscar-nominated movie was smart, and written with admirable economy. A running time of roughly 90 minutes is almost unheard-of in film today; it’s less so in the theater, and the stage version runs about 100 minutes without an intermission.

But for those who saw the movie—I assume a considerable portion of the audience—the theatrical version offers little that’s fresh, or even more fully fleshed out. True, Mr. Clooney has moved into the central role of Murrow, after playing his co-producer Fred Friendly on film. This was no doubt a calculated decision to goose the box office; no one wants to pay Broadway prices to see a star of his stature in a minor role. (The show already set a Broadway record for a straight play, grossing \$3.3 million in one week.)

And Mr. Clooney gives an excellent, self-effacingly



Glenn Fleshler and George Clooney in the play, directed by David Cromer.

stately presence as CBS chief William Paley, who stood by Murrow, even knowing it could be both controversial and costly.

But much of the cast, large for a Broadway play at almost two dozen, has little to do except fill the stage with movement as they clack away at typewriters, squabble at conferences or preside over a sound booth. (The atmospheric set design, by Scott Pask, is superlative—virtually a character in its own right.)

The play does add some supplemental commentary and dialogue, and concludes with a video montage including images from television in the post-Murrow era, ending with Elon Musk’s infamous Nazi-or-not salute. But while the stage show is, like the movie, admirably free of plain preaching or righteous fictionalized speeches, audiences attending are likely to be coming from two camps: rabid fans of Mr. Clooney who can afford the staggeringly high prices (many tickets sell for \$800), or those who share Mr. Clooney’s liberal political views and can afford those ticket prices. Or is that just one camp?

In any case, few among them are going to come away enlightened—or even consistently entertained.

Good Night, and Good Luck
Winter Garden Theatre, 1634 Broadway, New York, 212-239-6200, closes June 8

Mr. Isherwood is the Journal’s theater critic.

The slick drama closely mirrors the structure and content of the film.

modest performance. He portrays Murrow, as the excellent David Strathairn did in the movie, with a stark, almost grim sense of seriousness and wary courage as he embarks upon a journalistic crusade to expose the mendacity and sheer cruelty of Sen. Joseph McCarthy, a ringleader of the Red Scare of the 1940s and 1950s.

The talented director, David Cromer, works feverishly to fill the ample Winter Garden Theatre stage with background movement to complement the generally brief scenes in the fore-

ground. But the production never breaks free of the source material to become a captivating or original theatrical event, notwithstanding the obvious parallels to the current political climate. As in the movie, McCar-

thy is seen only in archival video projected on television screens embedded in the proscenium and on screens elsewhere, as are two of the victims of his movement: the Air Force reservist Milo Radulovich, and Annie Lee Moss, a black woman who worked at the Pentagon. And again, jazz standards such as “How High the Moon” and “When I Fall in Love” are used interstitially, here performed live on a raised platform by a small combo, with the terrific Georgia Heers singing.

Murrow’s anti-McCarthy commentary is projected on

a much larger screen that drops down, with Mr. Clooney effectively evoking Murrow’s studied lack of emotional affect, which paradoxically heightens the power of his words.

But while the supporting cast is uniformly fine, few have significant amounts of stage time. As Don Hollenbeck, a colleague accused of being a “pinko” in the Hearst press, Clark Gregg turns in a brief but quietly moving performance. Glenn Fleshler brings wry humor, matched by Murrow’s own, to his role as the producer Friendly. Paul Gross has a

FILM REVIEW | KYLE SMITH

In the Footsteps Of ‘Pulp Fiction’

The feature-length anthology “Freaky Tales” is joyfully anchored in a specific time and place: It’s 1987 Oakland, Calif., where we’re told there’s a cosmic green glow that infuses everything with a mystical power. There is indeed a recognizable vibe to the film, but it is derived from a somewhat more mundane force: the oeuvre of Quentin Tarantino.

Ryan Fleck and Anna Boden, who made soulful indies (“Half Nelson,” “It’s Kind of a Funny Story”) before they took a detour into fran-

chise filmmaking with the billion-dollar earner “Captain Marvel,” have returned to their roots after a six-year absence from cinemas. They serve as both writers and directors of this “Pulp Fiction”-style four-chapter tale that finally coheres with a thumper of a final act that is awash in righteous gore served up with an arch sensibility.

That conclusion both supplies an alternative fantasy ending to a highly publicized real-life occurrence (à la “Once Upon a Time . . . in Hollywood”) and centers on a vengeance-minded figure with an East Asian outlook dispatching baddies with a sword while wearing a snazzy tracksuit like the Bride in “Kill Bill.” Mr. Fleck (who grew up in Oakland and neighboring Berkeley) and Ms. Boden might have been credited with some inventiveness if they had dug

Pedro Pascal in ‘Freaky Tales.’

are perhaps not the three projects he is today most proud of, Tom Hanks is ever the good sport, and obligingly appears in the film. He plays Hank, the impressively, and annoyingly, well-informed owner of a video store. From the checkout counter he slings unsolicited film commentary along with VHS rentals (and is hence yet another reminder of Mr. Tarantino, famously a chatty video-store clerk around the same time).

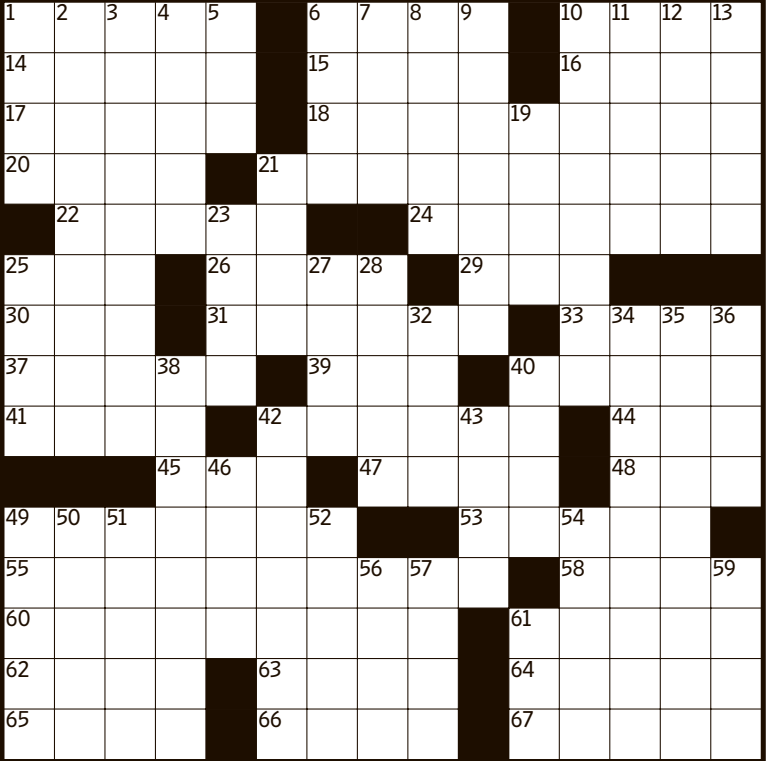
Mr. Hanks joins a sprawling cast of characters who wander in and out of each other’s stories in the four chapters, which strike different tones as if alluding to different types of ’80s movies. In the first, a multicultural group of youngsters led by Tina (Ji-young Yoo) and Lu-

cid (Jack Champion) who dance at the Berkeley punk club 924 Gilman Street take up arms against a gang of skinhead thugs who have been terrorizing them. In chapter two, a pair of aspiring hip-hop singers, Barbie (Dominique Thorne) and En-tice (Normani), are invited to perform at a club where they get into a comical rap battle with an established, real-life master of the form, Too Short (DeMario Symba Driver). The artist, an early avatar of West Coast hip-hop, also narrates the film and has a cameo as a cop; his 1987 track “Freaky Tales” gave the movie its title. In the third section, a disillusioned loan-shark enforcer, Clint (Pedro Pascal), tries to exit the game after losing his pregnant wife. In the climactic fourth act, the corrupt cop (Ben Mendelsohn) for whom Clint works organizes a string of robberies at the homes of Golden State Warriors players while they’re participating in a playoff game against the Los Angeles Lakers.

Stretching across all of the segments is much excited discussion of “Psytopics,” a New Age psychological inquiry, or self-improvement method, or cult that sounds a bit woo-woo in the California way but turns out to be highly useful in a crisis. One of its practitioners is the movie’s hero, real-life basketball star Eric “Sleepy” Floyd (Jay Ellis), who has a record-setting night on the court and (at least in the movie) an even more memorable one away from it.

That over-the-top climax, despite its borrowed elements, partially redeems “Freaky Tales,” which until then follows a zigzag path that is paved with clichés. Unlike Mr. Tarantino, who has few peers when it comes to dialogue and characterization, Mr. Fleck and Ms. Boden fail to keep the narrative energy consistently high. Still, with its love for trashy genre conventions and its referential humor (“The Shining” and “Scanners” are among the non-Tarantino features that earn an amusing shout-out), “Freaky Tales” contains a bit more mojo than the average indie.

The WSJ Daily Crossword | Edited by Mike Shenk



- 27 Monk in the mountains
- 28 Steep bank
- 32 “State Fair” setting
- 34 She directed “On the Basis of Sex” and “Deep Impact”
- 35 Paul Muni was Oscar-nominated for playing him in 1937
- 36 Bottle part
- 38 Monetary generosity
- 40 Car bar
- 42 Destruction of habitats
- 43 Obstacle for Hannibal
- 46 Finish for syn- or pseud-
- 49 Expensive violin
- 50 He beat Connors in the 1977 U.S. Open final
- 51 “Heavens to Betsy!”
- 52 Stuff in stockings
- 54 Florentine friend
- 56 Tear in two
- 57 Finds a role for
- 59 McGregor of “Big Fish”
- 61 Tail movement

YOU’LL FIGURE IT OUT | By Matt Gaffney

The answer to this week’s contest crossword is an Oscar-winning movie of the 21st century.

Across

- 1 Unusual tie
- 6 Give for free
- 10 Suffix in company names
- 14 India’s longest-serving prime minister
- 15 Dangerous rounds
- 16 “Hard ____!” (sailor’s shout)
- 17 Willie Nelson’s “____ a Mistake”
- 18 Carbon copy
- 20 Sherbet choice
- 21 Total chemical potential for electrons
- 22 Peter of “Casablanca”
- 24 Stress, in a way

- 25 Band from Athens
- 26 Societal woes
- 29 Prefix with skeleton
- 30 Special effects letters
- 31 Calm
- 33 Hint from an oracle
- 37 Online shopping victims, often
- 39 Tiananmen Square figure
- 40 Genre without live actors
- 41 “Nolo contendere” is one
- 42 Canal clogger
- 44 Karaoke handful
- 45 Mythical bird
- 47 Become wearisome
- 48 Sort
- 49 Home to seven 14th-century popes
- 53 “The Power of Positive Thinking” author

- 55 Hannah Montana
- 58 Greek tapas
- 60 Happy as a clam
- 61 Dickens character, often
- 62 Bar bills
- 63 Finito
- 64 East Coast train
- 65 “OK, got it now”
- 66 Finishes up
- 67 Ivanišević who won Wimbledon in 2001

Down

- 1 Indigo-yielding plant
- 2 Like some questionable actions
- 3 Teahouse option
- 4 Choose a dish
- 5 Third-col. heading
- 6 Casual place

Previous Puzzle’s Solution



► Email your answer—in the subject line—to crosswordcontest@wsj.com by 11:59 p.m. Eastern Time Sunday, April 6. A solver selected at random will win a WSJ mug. Last week’s winner: Rachel Tan, Rochester Hills, MI. Complete contest rules at WSJ.com/Puzzles. (No purchase necessary. Void where prohibited. U.S. residents 18 and over only.)

SPORTS

JASON GAY

The Most Exciting Player In the Final Four

Paige Bueckers came to UConn with heavy expectations. The 23-year-old is making history on and off the court and getting one last shot at the title that’s eluded her.



Paige Bueckers has been on a historic tear in the NCAA Tournament.



It’s just a quick clip that spun around social media, but it summed up the moment we live in: Paige Bueckers, the UConn women’s basketball star, inbound to the Final Four in Tampa, Florida, when she encounters a young fan overcome by emotion.

Bueckers gently puts an arm around the teary child, who’s wearing a hoodie with Buecker’s name and No. 5. She offers to pose for a photo; A photo is taken. The girl keeps sobbing. She puts her face in her hands. It’s the way superfans react to meeting pop idols.

This is where we are now: Paige Bueckers, the best remaining player in the NCAA Women’s Tournament, is a bona fide American sports celebrity, as big a name as there is in college basketball, rivaled only by the injured Juju Watkins, and the Duke phenom Cooper Flagg.

If you’ve been watching hoops this month—men’s or women’s—you can’t miss Bueckers (pro-

nounced “Beckers”). She’s the engine of this 35-3 Husky team; she’s constantly in commercials (Nike, Gatorade); she’s getting flowers from Elle, Andraya and Chiney on the ESPN halftime show (the sharpest halftime show going, FWIW).

She’s earning. Bueckers is a vanguard of Generation NIL, with earnings estimated in seven figures.

None of this would mean much if Bueckers wasn’t a dynamo on the court. The 23-year-old from Hopkins, Minn., has been on a historic tear, averaging a tournament-leading 29 points per game over Connecticut’s four victories, including a 40-point masterpiece in the Sweet 16 versus Oklahoma. It was the most points ever scored in a tournament game by a UConn women’s player, a wild mark when you consider how much talent has rumbled through Storrs.

Bueckers is doing this while flirting with “50/40/90”—the heavenly shooting standard of 50% from the field, 40% from 3, and 90% from the free throw line

(she’s at 88.8%, currently). Numbers fail to tell the whole story, of course. Bueckers’s journey to her last Final Four—she intends to go pro this summer, almost surely as the No. 1 pick in the WNBA—traveled a winding, arduous path.

She’s been the highly-recruited phenom from Gopher country who captured national player of the year as a freshman. She’s been the hard-luck case derailed by repeated injuries, including a torn ACL which forced her to miss an entire season.

Today Bueckers is a rebuilt, relentless vet guiding the Huskies to the doorstep of a title the legendary program hasn’t won since 2016.

Her extended college career raised her profile, but the highlights have come with heartache. Ambitions have been disrupted. As Bueckers recovered from her injuries, Caitlin Clark evolved into the college game’s breakthrough sensation. Defending champ South Carolina, also arrived in Tampa, was anointed the next UConn.

The actual UConn remains formidable, led by indefatigable coach Geno Auriemma, in season No. 40. These Huskies are deep. There’s freshman sensation Sarah Strong, so good in the regional final over a Watkins-deprived USC; there’s Princeton transfer Kaitlyn Chen, pushing the offense with Bueckers; there’s graduate senior Azzi Fudd, another comet undone by injury, soaring as a vital contributor.

But in crunch time this is Paige’s show.

“I trust her to always do the right thing,” Auriemma said of Bueckers following Monday’s quarterfinal win. “After she’s tried all the [expletive] she wants to do, then she’ll finally do the right thing.”

The legendary coach smirked as he said this. At 71, Auriemma has mentored more stars, won more games and captured more championships (11) than any women’s college basketball coach ever. He’s earned the right not to suffer fools, and doesn’t. (Geno lighting up the NCAA’s daffy two-

site regional format was a treat.)

Still, Auriemma knows it’s different now. The financial rewards are impressive, but the demands on high-profile talent like Bueckers—he thinks there’s never been a UConn player who’s faced as much scrutiny. “She’s the first one,” Auriemma said. “Other [players] were able to navigate it—there was pressure, but not like it is today.”

Bueckers is keeping her head down. These Final Four teams are all potent: UCLA, Texas and South Carolina covet the same finish she covets. She spoke of “not getting too caught up in *what if that, what if this*, just staying present, staying in the moment, not worrying about the pressures or the stakes because everybody’s dealing with it.”

“Everybody’s there to win a national title,” she said.

And yet why not Paige Bueckers?

It would be a starry ending. “I’m really going to miss her,” Auriemma whispered, adding: “I can’t say that out loud.”

JENNY KANE/ASSOCIATED PRESS

A Golden Rule Is Being Challenged by Data-Obsessed Coach

BY LAINE HIGGINS AND ANDREW BEATON

FOUR YEARS AGO, a young basketball coach at the University of San Francisco named Todd Golden sat down in front of a computer to deliver a presentation on data.

His 30-minute spiel, entitled “Analytics in Basketball: Winning in the Margins,” covered a range of topics that might cause even the biggest basketball nerds to doze off, from formulas for calculating advanced statistics to heat maps showing how shot selection has evolved over time.

But one of the ideas he discussed in detail wasn’t just a little wonky. It was a revolutionary notion that challenged one of the core tenets of college basketball orthodoxy.

“What you see a lot of coaches do, and I don’t want to call them old school...” Golden said, before launching into his premise.

When a player collects two fouls in the first half, coaches typically send them straight to the bench to avoid a scenario where they pick up a third and are dangerously close to fouling out before halftime.

This seemed like a perfectly logical strategy, Golden explained. Except it was a load of bunk.

Why, he asked, should coaches keep their best players out of the game and limit their playing time over a fear of something that might never happen?

It’s that kind of subversive thinking that has taken Golden from Ivy League assistant to head coach at the University of Florida in less than a decade—and which now has the Gators

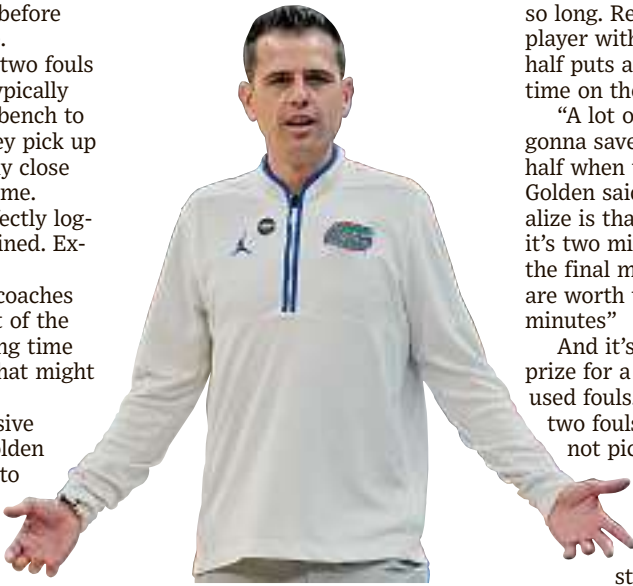
two wins away from a national championship.

The 39-year-old is part of a generation of coaches who aren’t just using the data that has flooded sports to inform their coaching styles, but to upend long-held beliefs that fans—and other coaches—don’t even think to question.

“We do everything by numbers,” said Florida associate head coach Corey McCray. “It’s something that is different.”

To be sure, Golden isn’t the only coach who relies on data. Duke coach Jon Scheyer, the 37-year-old who replaced Mike Krzyzewski on the Blue Devils bench in 2022, has also steered his team to the Final Four thanks to a willingness to let his biggest stars stay on the floor even after collecting two fouls.

The logic behind the strategy is



Todd Golden, below, kept Will Richard in an Elite Eight game after the starting guard picked up his second foul.

so simple that it seems impossible it was ignored by traditionalists for so long. Reflexively benching a player with two fouls in the first half puts an artificial cap on their time on the floor.

“A lot of coaches think, ‘Oh, I’m gonna save that guy for the second half when the game is on the line,’” Golden said. “What people don’t realize is that regardless of whether it’s two minutes into the game or the final minute of the game, points are worth the same across all 40 minutes”

And it’s not as if coaches get a prize for a player finishing with unused fouls. Someone who picks up two fouls in the first half might not pick up another one the rest of the way. That’s why it can be more advantageous to test the limits by letting a star stay on the court rather

than simply assuming he’ll pick up additional fouls. It’s always possible to sit him later, but you can’t get back those minutes he spent on the bench.

In every season since Golden first became a head coach in 2020, he has ranked in the Top-40 among college basketball’s 360-plus coaches in the percentage of first-half minutes he has played starters with two fouls, according to college basketball statistician Ken Pomeroy. Since Golden became Florida’s coach three years ago, the Gators are the only major conference team to have been in the Top-40 each season.

Golden hasn’t hesitated to put his theory to the test on the biggest stage. Midway through the first half of Florida’s Elite Eight clash against Texas Tech, starting guard Will Richard picked up his second foul. Golden left him in—and was

rewarded when Richard wound up with only three fouls in the entire game.

Granted, there are some occasions when sitting a player still makes sense. If he’s so scared of picking up a third foul that he eases up on defense, say, sidelining him can be worthwhile.

But one of the reasons Duke has looked so dominant in the NCAA tournament is because of Scheyer’s willingness to buck that thinking—even when it comes to the top player in America.

Early in the tournament, Cooper Flagg got into foul trouble against Baylor, but Scheyer let him play the final four minutes of the first half anyway. It paid off spectacularly. Out of nowhere, Duke’s lead ballooned from six to 17.

Flagg had seven of those points in a two-minute span—even though he already had two fouls.

GODFREDO A. VASQUEZ/ASSOCIATED PRESS, THE ARON W. HENDERSON/GETTY IMAGES

OPINION

Time for Congress to Musk-Up



POTOMAC WATCH
By Kimberley A. Strassel

This GOP Congress is effusive in its praise of Elon Musk’s effort to cut waste and fraud. What they won’t say is that nothing fundamentally changes until their blab becomes a plan—and a work ethic to match that of the billionaire. The news: A handful of Senate Republicans have a plan for that, and the ear of Donald Trump.

The party of “limited government.” The party of “fiscal sanity.” The party of “we don’t have a revenue problem; we have a spending problem.” The party that promises to balance the budget, that criticizes Covid blowouts, that revels in creative ways to visualize \$36 trillion in national debt.

Words, words, words.

Love or hate Mr. Musk, his examples of government squander and ineptitude are a shocking reminder of how long it’s been since anyone bothered to scrutinize the federal jalopy. Those examinations are rightly Congress’s job—the power of the purse!—though it traded true oversight for the slogan long ago. Congress only cares about its spending power when someone threatens to block more—not when it comes to scrutinizing what’s already on the books.

And love or hate Mr. Musk, his efforts will prove temporary. He can cancel thousands of leases and grants—more,

please—perhaps hit his \$1 trillion in savings, perhaps make government more efficient. Once. At which point Congress will rubber stamp another omnibus that renews much of it, or roll his “savings” into different spending priorities. Because—this is basic—our Constitution gives Congress the spending power, not well-meaning special advisers to the president.

Enter those GOP senators. They are demanding that, as part of the continuing “reconciliation” effort, the majority engage in a formal process that is the equivalent of the Musk work, with an end goal of returning spending to pre-pandemic levels. Sen. Ron Johnson, flanked by Senate Budget Committee Republicans, on Wednesday briefed Mr. Trump on that proposal; Mr. Johnson reports the president “embraced a pre-pandemic spending level and a process to achieve it.”

Here’s how it’d work: Republicans would set up a review panel—populated by a representative span of GOP House and Senate members and the president’s budget team—tasked with reviewing the budget line-by-line. Executive branch officials would appear before the committee to explain each spending item. The panel would come up with its list of cuts or reductions—with a special emphasis on ending wasteful, duplicate or zombie programs, as well as spending that appeared since the pandemic. Republicans would make these cuts in reconciliation bills or votes on rescission packages sent by the president.

Call it the “one big, beautiful budget review panel.”

The eye-glazing term for this is “process,” but as Mr. Musk’s DOGE team is showing, it’s the only way to oversee a going concern—line-by-line. Politicians know process matters, too, which is why over the years they’ve devised the 1974 Budget Act, Simpson-Bowles, the 2011 Budget Control Act. Each had upsides, but none resulted in long-term budget “control.”

The process today? Congressional staff hand bosses a little sheet setting out the following cosmic choice: Vote to increase everything by

Republican Senators propose a budget review panel to make DOGE’s efforts stick.

2% . . . or by 4%! That stumper is happily avoided when Congress instead passes a year-end omnibus that no one has read, that turbocharges all government and that is further slopped with parochial graft. That’s the extent of the “work” members put into the awesome “power of the purse.” And while many Republicans are currently bragging about their membership in new DOGE “caucuses,” these coalitions are mainly riding on Musk coattails.

The singular merit of the Johnson plan is that it would provide Republicans their best

path to achieving what everyone claims to want: a pro-growth tax bill paired with spending sanity. The party keeps groping around for one or two big items it can tackle to realize large savings, which then inspires nervous Republicans to erect fences around priorities. It’s causing enough division to put a successful reconciliation in doubt.

A pre-pandemic spending level—accomplished by considered reductions and rescissions across hundreds of programs—would minimize (if not eliminate) pain, even as it adds up to a substantial number. As Sen. Johnson notes, simply returning to 2019 spending levels—upwardly adjusted for population growth and inflation—would result in a \$770 billion spending reduction in fiscal 2025 alone. Compare this to the \$1.5 trillion in deficit reduction over 10 years that Republicans are currently fighting about. And “pre-pandemic spending” is a strong political sell. Other than progressive voters, who thinks world-emergency spending levels ought to be the new normal?

The plan would take political will—the Trump team and GOP leadership would need to commit fully. And there’s no guarantee even a budget panel could overcome parochial interests. But this plan would at least require that Congress do the work, and publicly own its spending decisions. And it could cement Mr. Trump’s bold DOGE work. Bring on “one big, beautiful, budget committee.”

Write to kim@wsj.com.

BOOKSHELF | By Daniel Gallagher

Imperial Investments

How to Make Money

By Luca Grillo
Princeton, 248 pages, \$17.95

A world-renowned classicist is alleged to have telephoned his university’s human-resources department, desperate to know whether his retirement account was a 401(k) or a 403(b). It was the latter. “Thank God!” the don exclaimed. “ ‘401’ is a *terribly* inauspicious number! King Alaric crossed the Alps that year!”

True or not, this episode likely speaks volumes to the average classics professor’s knowledge of finance. Indeed, ancient economics hasn’t been an area of serious scholarship until recently; not long ago graduate students studying their Loeb Ciceros had little to go on but outdated footnotes indicating the 1930 conversion rate of denarii to pounds sterling. That wasn’t too much of a problem, though, since all you needed to know to pass comprehensive exams was that Martial was dirt poor, Crassus filthy rich and Julius Caesar either dirt poor or filthy rich depending on the year.

Today there are plenty of erudite books on economics in the ancient world—the “Cambridge Economic History of the Greco-Roman World” (2007), for example, is a superb resource. What we lacked was a straightforward presentation of primary texts accompanied by limited commentary for the nonspecialist. In “How to Make Money: An Ancient Guide to Wealth Management,” Luca Grillo, a professor of classics at the University of Notre Dame, has consulted “Pliny & Co.” to create one.

Fans of Wendell Berry and Victor Davis Hanson will be glad to know the book begins where it should, with farming. As the word *pecunia* suggests—“cattle” lead to “money”—agriculture “remained the ideal and the measure of individual success” even after Rome achieved economic superiority in the Mediterranean. Mr. Grillo includes advice from Cato the Elder on how to buy and prepare land, and from the elder Pliny on how to optimize production.

Over time, commerce and banking became lucrative opportunities for social advancement in the ancient world. Roman coins unearthed in China, Ghana, Nigeria and Scandinavia show how far traders were willing to travel to obtain luxury items such as pepper, peacocks and frankincense. Banks sprang up in temples and forums all over the empire to supply capital for these burgeoning businesses. Though Cato inveighed against moneylending, he himself was not immune, even in a “most shameful way, that is, on maritime loans,” as Plutarch later tells us. Such loans on sea cargo were risky; as Mr. Grillo explains, shipowners “bore the entire risk of damage or loss of the ship,” but if “cargo was lost for unforeseeable causes, such as a shipwreck or piracy,” the loss fell to the lender.

Taxation issues are eternal—Mr. Grillo distinguishes between the various types of Roman taxes and examines the “power of the publicani,” those professional tax collectors associated in the Gospels with prostitutes and sinners. The author includes a fascinating letter from Cicero to his brother Quintus, governor of the Roman province of Asia, advising him to use his “quasi-divine wisdom” to identify how best to handle complaints from the provincials about the abuses of the publicani while also ensuring that Rome received sufficient revenues.

“I’m not that proud of my philanthropy,” the investor Charlie Munger said in a 2020 interview. “I regard it as an absolute minimum duty for somebody who’s reasonably successful to be reasonably generous.” The Romans could hardly have agreed more; Mr. Grillo includes Suetonius’ commemoration of Julius Caesar’s lavish public entertainments and Martial’s verse on the unsurpassed marvel of the Colosseum, built for public use in the very spot where Nero had constructed a luxurious lake for his personal enjoyment. “Rome,” wrote Martial, “is being returned to herself, and under [the emperor Titus’] rule . . . what used to delight a single master now delights all people.”

Agriculture remained an ideal measure of wealth in the ancient world even after Rome achieved economic superiority.

Freedom was not among the many ideas Rome bequeathed to America. Human trafficking was rampant. A compendium of Roman law created under the Byzantine emperor Justinian I in the sixth century defined “prostitute” as a woman who “openly practices prostitution not only when she has put herself for sale in a brothel, but also if she regularly does so in a tavern or if she has no regard for her dignity in any other place.” Mr. Grillo explains, “the discriminating factor was the absence of free will,” available neither to free nor enslaved prostitutes.

Any entrepreneurial venture could lead to financial ruin, far from uncommon in the ancient world. Plutarch chronicles the ascent and decline of Marcus Licinius Crassus, whose very name became synonymous with wealth and greed. Crassus, Mr. Grillo explains, rarely passed up an investment opportunity, including his last: an immense military campaign against the Parthians in Syria that cost his son’s life and his own.

Mr. Grillo’s thoughtful selections and lucid translations are accompanied by the original Greek and Latin texts as well as his informative commentary. Measuring less than 5 inches by 7 inches and weighing little more than your smartphone, his book is but one of several gems in the Ancient Wisdom for Modern Readers series from Princeton University Press—highly useful to readers looking to brush up their rusty memories or to learn an ancient language for the first time. I never thought I’d be able to combine my career in Latin with my growing interest in finance and investing. Then again, I never thought I’d be interested in the difference between a 401(k) and a 403(b).

Mr. Gallagher is a lecturer in literature and philosophy at Ralston College.

In SPRING BOOKS this weekend

The human urge to explore • Solzhenitsyn in exile • The many shades of autism • Decoding the Assyrian empire • Memoirs of the restaurant business • Ranking the best golfers of all time • The beauty of birds • & much more

Jerusalem and Athens Meet in Manhattan

HOUSES OF WORSHIP
By Liel Leibovitz

New York

Is truth truly beauty, and beauty really truth? And is that all ye know on earth, and all ye need to know?

This was under discussion on a January morning on Manhattan’s Upper East Side. The moderator was Chana Ruderman, a former university seminar instructor, and the spirited participants, wearing crisp uniforms, were 11- and 12-year-olds, approaching John Keats’s immortal lines with the enthusiasm their peers usually reserve for Spider-Man or Juan Soto.

Creative ideas were welcomed but textual proof was demanded to back up each statement. The students dived back into the “Ode on a Grecian Urn,” shouting with glee when they discovered lines that supported their theses. As the pace grew quicker, they exhibited something you rarely experience in middle school: joy.

This was simply another morning at Emet, the country’s first Jewish classical-education preparatory school, more than halfway through its inaugural year. Walk its halls and you will see portraits of Churchill, Plato and Maimonides, urging students to plant one foot firmly in Western civilization and the other in Jewish tradition. Although it has been operating for only a few months, the school has become a sensation, holding public events with luminaries like writer Douglas Murray. It is attracting applications from

hundreds of parents, including some who never thought they would send their child to a Jewish school, let alone one that teaches Latin and requires students to attend recitals at Carnegie Hall to develop an appreciation for Paganini.

Which is all the more remarkable considering the school wasn’t supposed to be running yet. Working under the aegis of Tikvah, a Jewish cultural and education organization, Eric Cohen, who leads the group, and Abe Unger, a former college professor and now Emet’s head of school, wanted to take their time. The classical-education model, which emphasizes canonical texts and traditions of Western civilization and which is enjoying a resurgence among Christians, is heavy on Greek and Roman culture. How, then, to infuse it with Judaism, a tradition whose values sometimes contradict those of the Hellenized world?

They were grappling with the question when Oct. 7, 2023, happened. Many parents, shocked to see Hamas sympathizers plant themselves on college campuses and in city streets, urged the school to open as soon as possible. More than 500 families expressed interest and, after rigorous aptitude tests, 40 students in the fifth, sixth and ninth grades were chosen. That number is already slated to double next year.

They didn’t have to wait long to figure out what kind of environment their school would foster. Each day starts with two student marshals holding two

flags, America’s and Israel’s, while reciting the Pledge of Allegiance. As they file out of assembly, they must pause, look Mr. Unger in the eye and shake his hand. That, he says, is where the educational transformation begins.

“Suddenly, they feel like citizens,” he tells me in his office. “Reciting the Pledge and holding the flag and shaking the principal’s hand are all civic acts. They are acts of coming together in a kind of small-republican community.”

Observations during a morning at Emet, the first Jewish classical school in America.

If there’s one thing that can devastate even the most dedicated community it’s the abundance of screens, which is why Emet doesn’t permit them. Rather than iPads or Chromebooks, the students carry textbooks, as well as notebooks, index cards, pencils and pens. When they write, it’s in cursive, another classical skill prized at Emet.

All this pleases Brigitte Roberts, who pulled her 10-year-old daughter from a competitive private school last year to give Emet a shot. The school’s emphasis on discipline, she says, has helped her daughter thrive. “I definitely see a change in her. Suddenly, she’s asking us to buy a lot of different books she’d like to read—and she’s constantly

asking us questions about everything from architecture to physics.” Ms. Roberts says her daughter is “thinking more, questioning more. It’s clear that she loves to learn.”

Mr. Unger adds that these tensions—between joy and discipline, Jewish tradition and Western civilization—make Emet’s students engage with their work. “We teach them that it’s OK to live with contradicting views on any given topic,” he says. “That is what’s fun. They study these traditions, and then they look at them on their own terms, asking, ‘What can I say about that? How can I forward the conversation and the human prospect?’ ” For Jews living with a rising tide of antisemitism, such agility and resourcefulness are key.

Yet holding conflicting values in conversation doesn’t mean accepting that all is true and everything is permitted. “The quest for truth lies at the very heart of Western civilization, and we abandon it at our great peril,” Mr. Cohen tells me. “The moral teachings and miraculous survival of the Jews remind the world that the deepest truths endure, that hope is never lost and that the renewal of civilization is always possible.” Indeed, in one Jewish prep school in Manhattan, renewal happens every day.

Mr. Leibovitz is editor at large of Tablet magazine and author, most recently, of “How the Talmud Can Change Your Life: Surprisingly Modern Advice From a Very Old Book.”

We Won’t Sign an ‘Implicit Bias’ Pledge

By Aida Cerundolo
And Jared L. Ross

Our medical careers have an expiration date. In 2029 and 2030, respectively, we will no longer be board-certified in emergency medicine and therefore unable to work in almost all U.S. hospitals. The only way to maintain our certification is to pledge to fight so-called implicit bias, which we refuse to do on medical and moral grounds.

In 2021 the American Board of Emergency Medicine published a Code of Professionalism for all physicians who rely on the organization for certification—nearly every emergency medicine doctor in the country. The code requires us to promise to “mitigate both implicit or explicit biases based on race, gender, age, sexual orientation, disability, national origin, or religion when providing patient care.”

We’re comfortable signing a pledge to fight bias. Any

doctor who refuses to treat a patient or provides a lower quality of care to members of particular identity groups should be barred from the profession.

But implicit bias, unlike explicit bias, can’t be measured. Popular tools that claim to identify such bias have been

This puts our certifications at risk.

roundly disproven. So have activists’ claims that implicit bias leads to health disparities. If implicit bias can’t be measured, how can it be shown to hurt some patients over others?

Our job is to use measurable facts to treat patients and save lives. But extirpating “implicit bias” would require physicians to note patients’ skin color, sexual preferences and so on

and place them in a hierarchy of grievances during treatment. In other words, physicians would need to engage in bias to end bias—an Orwellian threat to the equal treatment that’s supposed to define the medical profession.

This is why we refuse to sign ABEM’s pledge. Yet our refusal means that the board won’t recertify us.

We hope ABEM changes its ways. So should the American Board of Medical Specialties, which has pushed its member boards, including ABEM, to combat implicit bias. These entities can follow corporate America’s example by abandoning diversity, equity and inclusion. But if their policies persist, the Trump administration must intervene.

President Trump should sign an executive order directing federal agencies to condition healthcare funding on common sense. If a hospital wants Medicaid or Medicare reimbursements, for example,

it shouldn’t be able to require that doctors be certified by boards that promote or require DEI. This would force changes in many medical certifying boards.

The president can also look to withhold federal funding from states such as Maryland, Michigan and Massachusetts that require implicit bias training for medical licensing or renewal. Congress should codify these provisions so a future president can’t easily undo them.

We will never sign a code that undermines medical ethics and jeopardizes patient health. We hope ABEM does the right thing, but if it doesn’t, the Trump administration can save our medical careers and empower physicians to continue serving all patients equally and with excellence.

Drs. Cerundolo and Ross are emergency medicine physicians and senior fellows at Do No Harm.

OPINION

REVIEW & OUTLOOK

Trump and His ‘Little Disturbance’

President Trump said there would be “a little disturbance” from his tariffs, but how does he define little? The stock market Thursday suffered its worst day since the government shut down the economy in March 2020. Not to worry, the White House says tariffs will eventually be worth the pain. Feeling better?

The S&P 500 fell 4.8% and the Nasdaq 6% in reaction to Mr. Trump’s Wednesday tariff announcement of the largest tariff increase in a century. The biggest market casualties were retailers and manufacturers such as Apple (-9.3%), Nike (-14.4%) and Gap (-20.3%). Oil prices, the U.S. dollar and the 10-year Treasury yield also fell, likely signaling slower growth expectations.

* * *

Markets around the world spent Thursday absorbing the historic magnitude of Mr. Trump’s tax on commerce. Evercore ISI estimates that Wednesday’s news will raise the U.S. effective tariff rate to 24%, and 27% if he goes ahead with the sectoral tariffs he promises on drugs, copper and more. That’s higher than after the Smoot-Hawley tariff of 1930.

Worse is the bizarre, slapdash way the White House calculated the tariff rates on individual countries. Everyone will pay 10%. Then the White House appears to have calculated each country’s additional tariff rate by dividing its trade deficit with the U.S. by its exports to the U.S. This rate was then cut in half for most countries, which Mr. Trump calls a “discount.” The discordant result is that U.S. adversaries like Iran (10%) and Venezuela (15%) will pay lower rates than friends in Europe (20%), Japan (24%) and Taiwan (32%).

The trade deficit is a long-time Trump fixation that he sees as a zero-sum game. Trade-deficit countries must be cheating somehow, but then what about countries like the U.K. and Australia that have a trade deficit with the U.S.? Why hit them with a 10% tariff?

The trade balance reflects many factors, including national comparative advantage. We sell things we are better at—services, high-tech goods—and buy things that can be made more cheaply elsewhere. The U.S. also spends more than it saves, which means it imports capital. This is the flip-side of the trade deficit in national accounts, so shrinking the trade deficit will mean less capital coming in.

Yet Mr. Trump claims his tariffs will unleash a flood of new investment in the U.S. Then why is the dollar falling in value (see nearby), recording its worst single-day loss in two years? Our guess is that investors are losing confi-

dence in U.S. economic decisions. The President complains about foreign currency manipulation, taxes that suppress consumption and non-tariff barriers. But if he wants other countries to open more to U.S. exports, he could negotiate. The stillborn Trans-Pacific Partnership would have reduced Japan’s non-tariff barriers.

The Trump tariffs ironically will punish companies that have moved manufacturing out of China to other countries in Southeast Asia, which his first Administration encouraged them to do. About half of Nike’s shoes are now made in Vietnam versus 18% in China.

Mr. Trump hits Vietnam with a 46% tariff, which means Nike will have to rethink where to make low-margin shoes. Mr. Trump seems to think they should be made in America. Mr. Trump’s tariffs may have the U.S. investing to create jobs in shoe-making when it should invest in AI. This misallocation of capital will not make the U.S. more competitive against China.

The only silver lining we see is that imports from Canada and Mexico are exempt if they comply with the USMCA. But cars and trucks assembled in the two countries will still be taxed 25% on their non-U.S. components.

* * *

There is also the not-so-small matter of the rule of law. Mr. Trump justifies his tariffs by declaring a national emergency under the 1977 International Emergency Economic Powers Act. No previous President has used that law to impose tariffs. Mr. Trump is stretching his authority much as Joe Biden did with his student-loan forgiveness.

Congress has circumscribed the President’s power to impose tariffs, allowing it on imports that threaten national security (Section 232) or in response to “large and serious” balance-of-payments deficits (Section 122), a surge of imports that harms U.S. industry (201), and discriminatory trade practices (301).

None of these trade provisions empowers Mr. Trump to impose tariffs on all imports from all countries based on an arbitrary formula. Section 122 lets a President impose tariffs of up to 15% in response to trade deficits, but Congress must approve them after 150 days. Someone should sue to block his abuse of power.

Mr. Trump’s tariffs are the biggest policy shock to the world trading system since Richard Nixon blew up Bretton Woods in 1971. As with that decision, Mr. Trump is acting with little understanding about the damage his tariffs will cause. The “disturbance” might not be as little as he imagines.

Finland Knows Winter Is Coming

The Trump Administration is shaking up world affairs and thinks Europe should handle its own defense. Finland is answering that call with a re-armament announced this week, but it’s a testament to the storm clouds all over the world, which still requires U.S. leadership.

Finland’s President Alexander Stubb said Tuesday that the government “has today taken two key decisions, reflecting the changes in our security environment.” Finland will spend 3% of its economy on defense by 2029, up from about 2.4% now, according to North Atlantic Treaty Organization data. Helsinki will also “prepare for the withdrawal from the Ottawa Convention,” the 1990s treaty aimed at eliminating the use of anti-personnel land mines.

The Finns take their preservation more seriously than the European defense-spending laggards the Trump Administration complains about. That is from long experience of sharing an 800-mile border with Russia.

Adding Helsinki to the NATO alliance was a force multiplier, particularly large Finnish mili-

tary reserves and expertise in winter warfare. But the Finns aren’t betting on peace. They’re reading the room of a more aggressive Russia and a less reliable United States, and reorganizing accordingly.

The arms-control lobby is howling about the land mine treaty and the danger to civilians if such weapons return to broad use. But that treaty was a luxury of a stable world after the Cold War ended. The Finns are right to cashier it.

Anti-personnel land mines would be crucial to blunting a Russian invasion, and that’s why Poland and the Baltic states also want to leave the convention. The U.S. has wisely declined to sign up for the Ottawa convention in part because land mines are essential to America’s defense of South Korea.

But the larger picture is that Europe is becoming less stable precisely as the Trump Administration is threatening to skip town. The Finns get it, as the kids say. America’s right move now is to propose its own defense investment that reflects the world’s threats and not some fantasy about peace in our time.

other countries cause this excessive dollar strength. To some of these advisers, a falling dollar will be a sign that the protectionist plan is

working to rebalance global trade and capital flows.

But not to all of them. Under another theory, an across-the-board tariff should cause an appreciation of the dollar by narrowing the U.S. trade deficit. That is the view of Stephen Miran, now the chairman of Mr. Trump’s Council of Economic Advisers, in a widely circulated paper last autumn.

Under this theory, dollar appreciation is a crucial tool to prevent tariffs from setting off domestic inflation in the U.S. The accompanying depreciation of other currencies such as the euro, yen and yuan, meanwhile, is the mechanism by which those countries are said to “pay for” U.S. tariffs in the form of their own diminished purchasing power.

Which side of this argument is right? You’ll have to wait and see, as Mr. Trump likes to say, and a lot is riding on the outcome. Protectionists believe (without convincing evidence) that a weaker dollar boosts the U.S. economy. Households may notice the increased prices for imported goods first—exacerbating the pain from the tariffs. Mr. Trump won’t believe it, but a dollar resurgence is the best thing that could happen to him now.

The effective U.S. tariff rate is now higher than after Smoot-Hawley.

Are investors losing confidence in U.S. economic policy?

The greenback lost value as other currencies surged Thursday. The euro strengthened to about \$1.11 per euro from \$1.08, and the Japanese yen strengthened to around ¥145 per dollar from ¥149. The British pound also gained. The Journal’s dollar index fell 1.8% on top of declines in recent weeks.

This appears to be based on expectations of weaker U.S. economic growth and higher inflation. That impression is buttressed by the gold price, which soared to nearly \$3,200 per ounce for a time Thursday after Mr. Trump’s announcement. Investors flocked to this traditional hedge against inflation and slowing growth.

Mr. Trump is likely to interpret this greenback slide as good news. He has long believed the dollar is overvalued in a way that hurts American exporters, and alleged “currency manipulation” by other countries was one of the benchmarks he says he applied when setting Wednesday’s reciprocal tariff rates. That may mark the end of his intuition on the matter, but economists in his orbit put a finer theoretical point on it: They believe policy distortions in

LETTERS TO THE EDITOR

What Is a Woman? Don’t Ask the Materialists

Regarding Jerry Coyne’s op-ed “Losing My Nonreligion” (March 31): It’s remarkable to observe such people as Mr. Coyne, Richard Dawkins and Steven Pinker assert that a term such as “woman” must signify one and only one thing—an adult human female—when they otherwise vigorously deny that there is any objective reality to traditional ontological categories. A “human,” for dogmatic materialists such as Mr. Coyne, after all, is nothing but a random configuration of matter, without substance, intentionality, teleology, mind or being beyond the entirely contingent fact that matter happens to have configured itself in a certain way in this moment of evolutionary time.

Under this group’s metaphysics, there is no reason that large, immobile gametes determine the category of “woman” to the exclusion of, say,

some configuration of brain chemistry that makes some people with small, mobile gametes feel like a “woman” within some social arrangement that presumably entails its own evolutionary trade-offs. Rather than a complete biological and sociobiological picture of the individual and its environment—never mind considering whether there is something to human purpose and identity that transcends mere biology—Mr. Coyne requires allegiance to an arbitrary gamete-only doctrine, insists that he knows his pinched definition is best for society, and demands that people who think differently be branded as science heretics. Fundamentalist, know thyself.

PROF. DAVID W. OPPERBECK
Seton Hall University School of Law
Newark, N.J.

The Auto ‘Invasion’ Was a Boon to Americans

Your editorial “Trump’s Giant New Car Tax” (March 28) correctly points out that imported cars give American car buyers more choices at lower prices, enabling them to buy “more and better cars than they could a few decades ago.” This simple yet potent argument could be reinforced by pointing out that one of the reasons that importing cars expands choice, improves quality and reduces prices is the salubrious effect that competition from imports has on domestic manufacturers. The same is true of every other good too.

Those of us of a certain age remember driving the cars that the then Big 3 regurgitated onto the American market in the 1970s and much of the 1980s. With a few ex-

ceptions, reliability was lacking, fit and finish was dicey and fuel economy was woeful. When the Japanese began aggressively exporting Toyotas, Hondas, Datsuns and Mitsubishi to our shores, the Big 3 were forced to improve their products to survive. The Japanese thus gave the Big 3 the kick in the keister those bloated, overly contented giants needed to become the vastly more competitive enterprises they are today.

Competition, regardless of where it comes from, benefits all market participants. Protection from competition breeds complacency and lethargy to the detriment of consumers and producers.

MARK M. QUINN
Naperville, Ill.

Direct Care Is Just What the Patient Ordered

Clare Ansberry’s column “Turning Points: Trust Is Prescription to Heal a Broken Doctor-Patient Bond” (Personal Journal, March 25) raises an increasingly important problem in medical care. The prime reason trust is in short supply is the lack of time physicians have with each patient. When appointments are limited to 15 minutes, there is only 8 to 12 minutes of “face time.” This is perhaps enough for a simple problem, but certainly inadequate for a patient with several chronic illnesses who is taking multiple prescription medications. This certainly isn’t enough time for an older individual with hearing, vision, mobility or cognitive issues. It isn’t enough time for the person who has anxiety.

The article hints at the resolution, and I’d like to elaborate and advo-

cate for creating more time using direct primary care (DPC). DPC means same- or next-day appointments, visits as long as necessary, direct access to the physician via cellphone, text messages and email. DPC eliminates the insurer or the corporation that forces short visits. The added time leads to a decrease in the use of specialists, tests and imaging. We also see fewer visits to the emergency room and fewer hospital admissions. DPC allows for two-way listening, resulting in less frustration for both the patient and the doctor, and allowing trusting relationships to develop.

STEPHEN C. SCHIMPF, M.D., MACP
Catonsville, Md.

Advice for AP Reporters: Get Back to the Business’s Basics

As a journalism student, I was taught to report the “inverted pyramid”—who, what, when, where—and leave ideology and politics to the opinion pages. The Associated Press long ago abandoned these key journalistic principles. The irony of defending a conservative and traditional name, the “Gulf of Mexico,” seems to be lost on AP executive editor Julie Pace (“The AP’s Freedom of Speech—and Yours,” op-ed, March 27).

The AP wants our sympathy in its fight to the death over a silly name change while refusing to acknowledge how bias has come to dominate its reporting in the progressive era. Ms. Pace states that if you “discovered that the AP caved to a different government trying to control its speech, would you ever trust anything the AP reported from that country—or for that matter, from anywhere?” Exhibits A, B and C might be the AP’s docile and compliant coverage of the Russian collusion affair, the Hunter Biden laptop story and the Covid origin and subsequent lockdowns. Indeed, there is ample reason for everyone to distrust the AP’s reporting on anything from anywhere.

PAUL HRIBERNICK
McMinnville, Ore.

The Secret Tool China Uses To Silence Its Critics Abroad

Bob Fu writes about how the Chinese Communist Party reaches overseas to repress people who criticize the regime (“When Beijing’s Bullies Come to Town,” Houses of Worship, March 28). They plant spies, “swat” hotel rooms, kick, punch, throw sand in faces and more.

But the most common tool of repression is less visible. If you say something wrong in New York or London, your relatives could have their doors knocked in Shanghai or Guangzhou. The police will advise your loved ones to muzzle you—for their safety, not merely yours. Chinese living overseas are broadly aware of this looming danger. Even seasoned dissidents sometimes pull punches to protect family. When someone who might misspeak travels abroad, the regime can withhold exit permission from a spouse to assure that the leverage will be available.

For the regime, the virtue of this method is that it is so quiet. A self-muzzled citizen can look from the outside like a content one.

EM. PROF PERRY LINK
Riverside, Calif.

The Academy’s Appeasement

Regarding your editorial “Columbia Learns a Hard Lesson” (March 24): In much of the discussion about the administration’s investigations into higher education, many have referred to universities as “appeasing” President Trump. That sounds as if they are simply humoring the president. But campus encampments, occupying buildings, threatening and assaulting Jewish students, rallying for terrorists and the like shouldn’t be happening at our universities. Shutting that down isn’t appeasement; it’s the right thing to do.

RON COPE
Chicago

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Pepper ... And Salt

THE WALL STREET JOURNAL



“I’m trying to decide which one is worth 40 minutes on the treadmill.”

OPINION

Say Hello to Your New Colleague, the AI Agent

By Marc Benioff

I’ve been part of many waves of technology in my 25 years at Salesforce—from cloud computing to mobile, social and the early stages of AI. But nothing compares to the transformation we’re seeing now.

While much of the AI conversation is about large language models, the real revolution is happening in AI-driven digital labor: autonomous, intelligent agents. Because such agents act on their own, collaborate and continuously learn and improve, companies of any size can scale beyond human limits.

Today’s CEOs are the final generation of executives who will lead exclusively human workforces.

Today’s CEOs are the final generation of executives leading exclusively human workforces. Going forward, we’ll need to learn how to manage human workers and digital labor to work together to deliver efficiency and productivity. Integrating AI agents into daily operations will become a leadership skill that separates companies that thrive from those that fall behind.

The ascent of the Chinese startup DeepSeek—which unseated ChatGPT as No. 1 on the app store at its launch—underscores this shift. Many assume that winning the AI race depends on having the biggest models or the most computing power. DeepSeek suggests oth-

erwise. We’re moving toward a world where AI is everywhere and part of everyday life. The models themselves are becoming commodities. The true value of AI is in the data.

This is happening already. At the consulting giant Accenture, our Agentforce digital labor platform is extending the reach of the firm’s 52,000 sales people around the world. For example, a coaching agent empowers sellers by autonomously facilitating role-plays, tailored to each deal, providing personalized feedback afterward. This helps their salespeople improve their pitches, leading to higher win rates. These agents let Accenture’s human sellers spend more time building relationships with clients and solving their problems. Heathrow Airport, one of the world’s busiest, is using Agentforce to field passenger queries 24/7 about flight status, gate directions and airport services. That frees up Heathrow staff to address travelers’ more complex problems.

Our own support platform at Salesforce, serving hundreds of thousands of customers, now includes AI agents working with our 9,000 customer service representatives. In just three months, AI agents resolved 84% of incoming customer queries on their own, with only 2% of requests requiring escalation to humans. This allows us to redeploy as many as 2,000 support roles elsewhere in the company. As measured by a recent Morgan Stanley research report, our customers are already seeing 20% to 50% cost reductions in customer support, driven by savings in head count, office space and overhead.



Unlike stand-alone tools, Agentforce unifies all the relevant data and metadata while integrating into existing workflows. This, along with the ability for humans to build task-specific agents using natural language instructions, ensures that agents adapt to each company’s unique challenges.

The macro effect of all this is already visible. Despite shrinking labor pools, productivity—the engine of economic expansion—has grown at or above 2% for five consecutive quarters according to the Bureau of Labor Statistics, exceeding recent historical trends. If AI agents continue to accelerate decision-making, reduce operational friction and free up human workers for higher-value tasks, we’re on the verge of what the Journal has called a productivity miracle. Optimistic forecasts predict 2.5% to 3% growth. The efficiencies AI agents deliver will become all the more critical to companies and the

macro economy in an era of tariffs. This extends well beyond companies like mine. AI agents allow small businesses and even sole proprietorships to scale where they couldn’t before. With digital labor, small businesses can compete at much lower cost. A small financial advisory firm, for example, might once have needed staff for sales and customer service. Now, AI agents can take on outreach, respond to inquiries and automate back-office processes.

Precina Health, a diabetes-care company, is a prime example. In the U.S. alone, more than \$400 million—one in every four healthcare dollars—is spent on diabetes treatment annually. Precina analyzes patient data to create personalized diabetes-management plans, improving care and reducing costs so the company can help more patients.

AI agents can do tasks at an unprecedented scale and speed—

reaching long-underserved parts of the world. Education agents can create bespoke learning plans for students. Urban planning agents can analyze traffic, energy and housing data to design smarter cities. Health agents can track disease outbreaks, optimize vaccine distribution and connect patients with care.

When catastrophe strikes, as with the recent Los Angeles fires, communities often are inundated with donated clothes, blankets and supplies. Sadly, as much as 70% of these donations end up in landfills. Now, powered by Agentforce, the nonprofit Good360’s Resource-Matching Agent ensures critical resources reach the nonprofits and people that need them most.

While agents offer unmatched opportunities, this transformation will be disruptive. Businesses, through such programs as our free Salesforce Trailhead AI certification, must take the lead in reskilling workers for emerging roles such as AI trainers, agent builders and decision auditors. Trust and safety must be embedded into AI systems, along with strong data protection. Equally important are tools that foster transparency and empower users to make informed choices about what to delegate to AI.

Business is the greatest platform for change. With Agentic AI, we can revolutionize work and create a more prosperous, sustainable world. By focusing on trust, accountability and our common humanity, we can ensure that Agentic AI becomes a force for good.

Mr. Benioff is Chair and CEO of Salesforce.

Living Well Is Europe’s Best Revenge for Trump Tariffs



POLITICAL ECONOMICS
By Joseph C. Sternberg

Living well is the best revenge, it’s said, and it may be Europe’s only good play in the face of President Trump’s trade wars.

It’s an observation—perhaps a warning—that Brussels should heed amid fevered talk of retaliation for the 20% levy Mr. Trump announced on all European imports on his tariff “liberation day” this week. Even before Mr. Trump’s Wednesday speech in the Rose Garden, the Continent’s leaders were preparing to fight back. Europe “holds a lot of cards” in a potential trade dispute with Washington, European Commission President Ursula von der Leyen said earlier in the week. The trouble for Ms. von der Leyen and the many other worried political leaders on the Continent is that this isn’t necessarily true.

The European Union, which sets collective trade policies for its 27 member countries, has demonstrated in response to previous Trump tariffs that it has the legal and political ca-

capacity to impose retaliatory duties on American goods. European tariffs are already due to take effect later this month in response to Mr. Trump’s steel and aluminum levies. Expect more of this. There now is also some discussion in European capitals (if not in Brussels itself) about activating a legal tool that punishes “economic coercion” directed at the EU. This would open the door to a range of novel measures including lifting intellectual-property protections for American companies.

Alongside those sticks, Brussels has been readying the carrots. Officials have identified concessions the EU might make to the Trump administration, Bloomberg reported last week. These could include more imports of U.S. liquefied natural gas and defense equipment, an easing of the sorts of food-safety regulations that long have vexed American exporters, and promises of more cross-border investment.

The trouble is that Mr. Trump might not care about any of this. He seems unfazed by any of the negative consequences for the U.S. of his trade wars. He suggested last weekend that

he isn’t alarmed by the certainty that his auto tariffs will force Americans to pay more for cars, and he appears to believe fervently in tariffs as a good idea in their own right rather than merely as a bargaining tool.

His trade adviser Peter Navarro says it’s A-OK that Mr. Trump’s tariff policy writ large could cost the U.S. economy a stunning \$6 trillion over

Policy overhauls to boost domestic prosperity can insulate the Continent from U.S. protectionism.

10 years. In this context, Europe’s retaliatory plans sound like a threat to slap a U.S. economy the Trump administration has already shot.

Mr. Trump’s cavalier attitude exacerbates the fundamental problem with any form of trade retaliation: If Mr. Trump’s trade barriers endanger European economic growth, then retaliatory tariffs make things worse. The hope of such a strategy is that raising prices for Europeans and de-

terringly business investment on the Continent is worth it because the trading partner eventually comes back to the table. It’s not clear if or when Mr. Trump would.

Europe needs a new strategy, and the best plan by far is to live well—i.e., economic growth. If the American export market no longer is as available as it once was, there are enormous opportunities to expand Europe’s domestic market. Europeans have become aware in recent years of the shocking gap that has opened between European and U.S. productivity and per-capita incomes—with Europeans some 34% poorer on average than their American peers. This implies there are enormous opportunities for the European economy to jolt itself into greater prosperity.

Ideas for how to do so aren’t hard to come by. A case in point is the report prepared last year by former European Central Bank President Mario Draghi on how to revive European competitiveness. Love or hate his ideas (his suggestions for deregulation were more compelling than his ideas for industrial subsidies), a striking conclusion of his report in

light of the U.S. trade war is Mr. Draghi’s emphasis on domestic economic growth rather than an export-dependent strategy.

The upshot is that while the foreign economic environment—not only the U.S. but also China—has rarely been more hostile to Europe in recent decades, political conditions at home have rarely been more conducive to an economic shakeup. The stale big-state centrism that dominated Europe for decades is giving way to more complex, and far less stable, political realignments that create openings for fresh economic thinking. Voters are growing more aware of the costs of awful policies such as the net-zero climate misadventure. Europeans also appear newly sympathetic to policy trade-offs such as welfare reforms necessary to deliver greater strategic and economic security.

To speculate about this rosy future isn’t to predict it will happen. Europe has missed plenty of opportunities for prosperity in the past. Rather, it’s to observe that if Europe wants to retaliate against Mr. Trump, growing its own economy is its best and perhaps only option for revenge.

The Incredibly Massive Number of Hackneyed Words Is Surreal

By Joseph Epstein

A hackneyed phrase is one characterized by its unoriginality, overuse and, not least, imprecision. The air seems filled with such phrases just now. Consider how the often-used word “focused” has taken on the adjective “laser,” to become the fully hackneyed “laser-focused.” Not all hackneyed language comes in full phrases; some single words also qualify. How they catch on remains a bit of a mystery, but catch on they do. “Incredible,” you might say.

You might say it, that is, if you have no ear for language and don’t mind sounding like everyone else who currently avails himself of this hackneyed word. Incredible, a synonym for unbelievable or surpassing belief, has become the hackneyed word of the day. The word has a hackneyed history. An ad for “the incredible edible egg” ran in the 1970s. The show “That’s Incredible!” was on television from 1980-84.

Now the word has flared up

again. “Incredible” is much favored by President Trump, who regularly cites people he has hired for doing “an incredible job,” often not long before firing them. In the mouths of sports announcers, athletes fairly regularly bring off “incredible” feats. The experience of younger actors working with older ones tends to be “incredible.” So many otherwise quite credible experiences are now considered incredible.

The use of “incredible,” to put it another way, is massive. A home run in the late innings of a game can also be massive. “Massive” was the Republicans’ defeat of the Democrats in the last election. As for the laughter at Sarah Silverman’s most recent HBO performance, it, too, was massive. With all these things and more being massive, we no longer have a word meaning large and heavy or solid, to describe mountains or skyscrapers or offensive linemen in the National Football League. When words become hackneyed, as incredible and massive have, they

lose their original, useful functions, a loss for the language and another gain for unoriginality.

Surreal, really, when you think about it. Yet if you really thought about it, you would never call anything “surreal.” Derrek Lee recently described being elected to the Baseball Hall of Fame as “incredible,” adding that the feeling was “surreal.” Originally meaning fantastic, “surreal” is now regularly used to mean just about anything out of the ordinary. Your getting a ticket for speeding was surreal. So, too, was the way you first met your wife, and the recent firing of your supervisor at work. Surreal, all of it. As for the surrealism of the artists Miró, Magritte and Dalí, what did those jokers know about the surreal?

Hackneyed words that previously had their day pass, alas not quickly enough, into oblivion. Such seems to be the case with “awesome.” I used to lunch weekly at a neighborhood restaurant, where our waiter

greeted my friends and me by saying, in response to our entrance, “Awesome.” When after having been seated we told him we were ready to order, he said, “Awesome.” When he asked if everything was all right,

Overused, meaningless phrases fall out of fashion. It would be awesome if they did it a little quicker.

or if one or another of us wanted more coffee, in answer to our response, he replied, “Awesome.” Leaving I always thanked him for his good service, to which he replied not “thanks,” not even “no problem,” but with a final, “Awesome.”

The awesome waiter has long since left the restaurant to attend chef school, which I trust he will find awesome. Now, though, I wish

that for every one of his awesomes, I had responded with a “Whatever!,” another hackneyed word that I hope is on its way out. “Whatever!,” always understood with an exclamation mark, was used as a way to end the thread of a conversation, if not the entire conversation. You make an interesting point, and, instead of engaging you on the point, I exclaim “Whatever!,” which means, in effect, case closed, I’d rather not talk about it. Damn rude, when you think about it, but then you may not wish to think about it.

Hackneyed words and phrases come and go. Let us hope that the mis- and overused “incredible,” “massive” and “surreal” will soon depart everyday language. No doubt newly hackneyed words await in the wings. Oh, well, rack ‘em up; or, should I say, hack ‘em up?

Mr. Epstein is author, most recently, of “Never Say You’ve Had a Lucky Life.”

Notable & Quotable: Thomas Sowell on Tariffs

From an episode of “Uncommon Knowledge with Peter Robinson,” recorded April 1:

Mr. Robinson: What do you make of the present president of the United States and his tariffs?

Thomas Sowell: It’s painful to see a ruinous decision from back in the 1920s being repeated.

Now, insofar as he’s using these tariffs to get very strategic things settled, he is satisfied with that. But if you set off a worldwide trade war, that has a devastating history. Everybody loses because everybody follows suit. And all that happens is that you get a great reduction in international trade.

It’s disturbing in another sense. Franklin D. Roosevelt, when he was president in the 1930s, said that you have to try things. And if they don’t work, then you admit it, you abandon that, you go on to something else and you try that until you come across something that does work.

That’s not a bad approach if you are operating within a known system of rules. But if you are the one who’s making the rules, then all the other people have no idea what you’re going to do next. And that is a formula for having people hang on to their money until they figure out what you’re going to do.

And when a lot of people hang on to their money, you can get results

such as you got during the Great Depression of the 1930s. So if this is just a set of short-run plays for various objectives limited in time, fine, maybe.

But if this is going to be the policy for four long years, that you’re going to try this, you’re going to try that, you’re going to try something else, a lot of people are going to wait.

I think [about] what happened in the stock market recently, when things came down substantially for quite a while. I note that various people are holding on to their money before they do anything, because they don’t know where this is going to lead.

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WORLD NEWS

Kremlin Envoy Meets With Trump Official

U.S. visit is the first by a senior Moscow official since the Russia-Ukraine war

By ALAN CULLISON
AND MICHAEL R. GORDON

WASHINGTON—A top Kremlin envoy completed two days of talks with President Trump’s Russia negotiator at the White House on Thursday, the first high-level bilateral meeting in the U.S. since before the Ukraine invasion in 2022. Kirill Dmitriev, the Russian envoy, announced his visit on his Telegram channel on Thursday, saying “productive dialogue between Russia and the U.S. isn’t optional—it is essential.” His meetings with Trump’s envoy, Steve Witkoff, came as the administration’s push to halt the Ukraine war had appeared stalled. Dmitriev has emerged as an informal Russian go-between

with Washington in two rounds of peace talks held in Saudi Arabia, as well as a recent prisoner swap with the Kremlin. He declined on Thursday to discuss specifics of the talks. But speaking to Russian news services outside the White House he said that he had met with “key leaders” of the Trump administration and that more talks were to come. “Unlike the Biden administration, they listen to the position of Russia, understand the worries of Russia,” he said. He said that there is “big interest” among U.S. companies to return to Russia, after departing the country en masse in 2022 after Russia’s invasion of Ukraine. The Kremlin has used Dmitriev, who has a background in investment banking, as a channel to promote economic deals with the U.S. Since talks began in February, he has floated proposals in oil, gas and minerals, appealing to Trump’s penchant



Kirill Dmitriev met with Steve Witkoff at the White House.

for economic dealmaking. Trump is hoping to stop the Ukraine war in part to clear away the major obstacle to a broader rapprochement with the Kremlin. However, Russia has slow-walked Trump’s cease-fire drive, playing for time as it presses its gains on the battlefield and pushes for maximum concessions in negotiations. The Kremlin likely pushed for Dmitriev’s visit to Washington because it sensed that Trump’s patience with Putin is eroding, and that the failure to achieve a peace settlement could be turning popular U.S. opinion against Moscow, said Thomas Graham, a distinguished scholar at the Council on Foreign Relations. In an interview with NBC

over the weekend, Trump said he was “pissed off” with Putin and was considering sanctions targeting Russian oil exports because he was dissatisfied with the pace of the Ukraine talks. On Tuesday, 50 Republican and Democratic senators introduced a sanctions package that would target Russian oil, gas, uranium and other products if the Kremlin refuses to engage in good-faith negotiations. With little support in the House, the measure has scant chance of congressional approval. But it suggests some cracks in Republican support for Trump’s conciliatory policy toward Moscow. In his meeting with Russian-speaking reporters Thursday, Dmitriev played down reports of differences between the Kremlin and Trump administration, and said “there are a lot of rumors and distorted quotes.” Dmitriev said that the Trump administration “is ready to solve issues, they be-

have very respectfully.” While the White House and Kremlin have touted success in negotiations, military officials say they see little progress on the ground. A senior NATO official told reporters at the alliance headquarters in Brussels on Thursday that Russia isn’t observing a partial cease-fire on strikes on Ukraine’s energy infrastructure, and doesn’t appear to be planning to suspend its military operations. The NATO official said Russia had pushed back the Ukrainian forces who last summer had launched an incursion into Russia’s Kursk region. He added that Russia will likely eject the remaining Ukrainian troops from that area. Russia has 620,000 troops in the conflict zone, he said. Russia is also drafting 160,000 conscripts, which is more than last year, indicating that Moscow’s military aims haven’t changed.



Ukrainian soldiers hold their position near eastern Ukraine’s Donetsk region while battling the Russian military forces.

Russia, Ukraine Use Similar Tactics

By ISABEL COLES

President Trump’s pursuit of breakneck diplomacy to end the war in Ukraine is colliding with Moscow and Kyiv’s go-slow approach. Russia is putting sticks in the wheels of Trump’s cease-fire drive, playing for time as it presses its gains on the battlefield and pushes for maximum concessions in negotiations. All the while, Moscow insists it wants peace. Now, after quickly agreeing to U.S. cease-fire proposals, Ukraine is less eager to sign off on a sweeping economic deal proposed by the White House that would hand over significant control of the country’s resource wealth. While publicly committing to a minerals deal, Kyiv is trying to buy time to improve the terms. Both appear to be banking on Trump running out of patience with the other first. Ukrainian President Volodymyr Zelensky has shown willingness to accommodate Trump, said former U.S. Ambassador to Ukraine John Herbst, “but he’s not about to mortgage

his country’s future on the issue of the critical minerals plus hydrocarbon resources.” Russian President Vladimir Putin is constructing a Potemkin village for Trump, Herbst said. “Whatever gestures he makes towards Trump—it’s all for show.” The diplomatic maneuvering by Russia and Ukraine reflects their attempts to keep Trump on their side without fully acceding to his demands. Ukraine wants to end the war without capitulating to Russia or surrendering its economic independence to the U.S. Russia aims to dominate Ukraine and prevent its integration with the West—and believes it has the upper hand in the three-year war. Russian Deputy Foreign Minister Sergei Ryabkov on Tuesday said Moscow couldn’t accept the U.S. proposal for resolving the war in its current form, suggesting a settlement is a long way off. He said the U.S. wasn’t addressing the war’s “root causes,” Russian shorthand for attempts to integrate Ukraine with the West and the North Atlantic Treaty

Organization’s military presence in Eastern Europe. Russia’s military, meanwhile, is attacking at several hot spots along the 800-mile front lines and, according to Ukrainian officials, preparing major spring offensives in the north and south of the country. Kyiv can only hope that with time, the Trump administration will realize Russia isn’t serious about peace and lose patience with Putin, said Daniel Fried, a former U.S. ambassador to Poland and a fellow at the Atlantic Council. “Time could work for Ukraine if Trump continues to want a deal quickly and Putin is the obstacle,” he said. Until then, Kyiv is seeking to avoid angering Trump, while resisting pressure to sign a fresh draft of an economic deal that would see the U.S. draw profits from Ukrainian economic projects across metals, oil, gas and other natural resources, as well as infrastructure projects including ports and pipelines. The scope of the new draft, aimed at recouping billions in aid since the start of the war, has led some analysts to conclude that Trump might

be seeking to present a deal that Ukraine can’t support to blame Zelensky for its failure. Despite Ukraine’s careful approach, Trump warned Zelensky against backing out of the deal. “If he does that, he’s got some problems,” he said. Ukrainian Foreign Minister Andriy Sybiha on Tuesday said Ukraine is committed to reaching an economic deal with the U.S., and is in consultations with Washington to arrive at a “mutually acceptable” text. Ukrainian negotiators in March agreed to a U.S. proposal for an immediate one-month cease-fire, putting the ball in Putin’s court. Last week, Ukraine agreed to a truce in the Black Sea, even though the deal was of little benefit to Kyiv. Putin, in contrast, has repeatedly stalled. In response to the U.S. plan for a comprehensive truce, Russia said many issues would need to be worked out first. On the Black Sea truce, Russia said it would only abide by the terms after some sanctions were lifted. Trump has begun to show frustration with the Kremlin’s approach.

Hungary Will Leave International Court As Netanyahu Visits

By MATTHEW DALTON

Hungary said it would withdraw from the International Criminal Court, dealing another blow to an institution grappling with the fallout from its decision to issue an arrest warrant for Israeli Prime Minister Benjamin Netanyahu. The move comes as Netanyahu arrived in Hungary on Wednesday for a state visit, the first time the Israeli leader has traveled to Europe since the court issued its warrant for alleged war crimes and crimes against humanity committed during the war in Gaza. The court sent a request Thursday to the Hungarian government to arrest Netanyahu, an ICC official said. But Prime Minister Viktor Orban has for months said Hungary wouldn’t comply with the warrant. “The withdrawal process will begin on Thursday, in line with Hungary’s constitutional and international legal obligations,” said Zoltan Kovacs, a spokesman for Orban. “The Court recalls that Hungary remains under a duty to cooperate with the ICC,” said ICC spokesman Fadi El Abdallah. The decision to issue arrest warrants for Netanyahu and former Defense Minister Yoav Gallant has shaken the ICC’s support among its member countries and fueled doubts about the court’s authority. The ICC is facing Israel’s staunch backing from the Trump administration. Some European governments that have long been the ICC’s strongest supporters—including France and Italy—have suggested they wouldn’t comply with a request to arrest Netanyahu. Orban has openly defied the court over the Netanyahu warrant, and others in Europe have joined him. In February, Friedrich Merz, Germany’s likely next chancellor, invited Netanyahu to visit, saying Germany would find a way around the warrant. “I think it is a completely absurd idea that an Israeli prime minister cannot visit the Federal Republic of Germany,” Merz said. Europe’s wavering support comes in addition to sanctions imposed by the Trump administration against Karim Khan, the ICC’s chief prosecutor, for seeking the warrants. The U.S. has said it would target other ICC officials that work on the cases against Netanyahu and Gallant. The State Department is preparing a report due this month that will name them. Hungary’s move is the first time a European country has withdrawn from the ICC, a worrisome sign for the court in a region where nearly all nations have signed the Rome Statute, the ICC’s founding treaty.



Viktor Orban, left, and Benjamin Netanyahu met in Budapest.

WORLDWATCH



PARAMOTOR PARADE: Powered paragliders at the Lusail Sky Festival in Qatar on Thursday

SYRIA
Israel Launches Air Strikes
Israeli strikes reportedly killed at least nine people in Syria’s southwest on Thursday. Syrian state news agency Sana said the dead were civilians, without giving details. Britain-based war monitor The Syrian Observatory for Human Rights said they were armed residents from the Daraa province. Israeli Foreign Minister Gideon Sa’ar on Thursday accused Turkey of doing its “utmost to have Syria as a Turkish protectorate, it’s clear that this is their intention.” There was no response from Turkish officials. Israel has seized parts of southwestern Syria since the fall of former Syrian President Bashar al-Assad. —Associated Press

UNITED KINGDOM
Princes’ Charity Is Subject of Probe
Britain’s charity regulator opened an investigation into Sentebale, co-founded by Prince Harry and Prince See-iso of Lesotho, a week after the princes and the organization’s board of trustees resigned amid a dispute with the charity’s chairwoman. Chair Sophie Chandaoka later accused the prince of bullying to try to force her out. Sentebale provides support for young people in Botswana and Lesotho. The Charity Commission on Thursday said its focus will be whether current and former trustees, including the chair, “fulfilled their duties and responsibilities under charity law.” Harry and Seeiso were patrons, but not on the board. —Associated Press

BULGARIA
No-Confidence Vote Falls Well Short
Bulgaria’s government on Thursday survived a parliamentary vote of no-confidence brought by the pro-Russia Vazrazhdane party and backed by two small nationalist groups. The motion, which criticized the government’s pro-Western stance, support for Ukraine and sanctions on Moscow, fell 150-54 in the 240-seat parliament. Analysts had predicted the outcome, saying a majority supports the pro-European orientation of Bulgaria, a member of the European Union since 2007. The center-right GERB party, which leads the governing coalition, condemned the motion as an attempt to derail adoption of the euro next year. —Associated Press

BUSINESS & FINANCE

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THE WALL STREET JOURNAL.

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S&P 5396.52 ▼ 4.84% S&P FIN ▼ 5.01% S&P IT ▼ 6.86% DJ TRANS ▼ 9.15% WSJ \$IDX ▼ 1.29% 2-YR. TREAS. yield 3.724% NIKKEI (Midday) 33818.18 ▼ 2.64% See more at WSJ.com/Markets

WeightWatchers Faces Proxy Fight

Small investor seeks board seats, up to \$300 million in further cost cutting

By BEN GLICKMAN

A small shareholder is launching a proxy fight at WeightWatchers' parent company, seeking board seats and hundreds of millions of dollars in cost cuts, people familiar with the matter said.

Premca Capital, an investment fund, has nominated three directors for

election to **WW International's** board, according to the people familiar with the matter.

WW International, formerly known as Weight Watchers International, has navigated a rough period as it attempts to shift more of its business to focus on GLP-1 weight-loss drugs such as Ozempic.

The company has a market capitalization of about \$40 million, following a sharp decline in its shares in recent years. Its stock is down nearly 70% in the past year.

Premca wants Weight-

Watchers to slash costs by \$200 million to \$300 million, on top of the cuts the company has already been making.

The firm is also pushing for an overhaul of management, a revamp of the WeightWatchers app and adoption of a growth plan, according to the people.

Premca, which has a less than 1% stake in WW International, has been in talks with the company since November, the people said.

WeightWatchers has lost key executives, with its chief executive and chief financial

Please turn to page B2

WW International share price over the past three years



SunnyD Is Part of \$1.5 Billion Beverage Acquisition

By JESSE NEWMAN
AND LAURA COOPER

A Guatemalan conglomerate is buying SunnyD and other beverage brands in a roughly \$1.5 billion deal, aiming to supercharge growth of the bright orange citrus drink.

Castillo Hermanos, a family-owned Guatemalan company, is acquiring the beverage brands from private-equity firm **Brynwood Partners**. Castillo sells food and beverages and operates retail and real estate businesses across Central America.

The deal includes Juicy Juice, Little Hug and other beverages that make up Harvest Hill Beverage Co., which Brynwood formed in 2014. It offers Castillo an opportunity to reach cost-conscious consumers in the U.S. who are turning to value brands to feed their families.

"A lot of people grew up with this brand," said Roberto Lara, Castillo's chief executive. "There is a loyal base, but we have to ensure we listen to those consumers and potential new consumers, as to what they are looking for."

U.S. grocery sales of SunnyD, formerly known as Sunny Delight, in the 52 weeks ended March 16 were up nearly 7% from a year earlier, according to data from market-research firm Circana, provided by Brynwood.

Lara said he would work to expand SunnyD's fan base both in its home market and abroad.

In the U.S., the citrus punch is particularly popular among Hispanic consumers, Lara said, a population whose size and purchasing power are both growing.

SunnyD offers a more affordable option than competitors, Lara said, a competitive edge when U.S. consumers are still reeling from years of inflation.

At a Brooklyn, N.Y., supermarket, bigger brands like PepsiCo's Tropicana and Coca-Cola's Simply can sell for almost \$7 a gallon, while a comparable size of SunnyD retails at \$3.79.

Introduced in the 1960s, SunnyD had fallen out of favor a decade ago as many Americans were reaching for healthier beverages. While Tropicana and Simply are 100% juice, SunnyD's main drink contains 5% juice. It is sweetened with corn syrup and artificial sweeteners, and made

Please turn to page B2

Verizon Offers a Plan With 3-Year Price Lock

By DREW FITZGERALD

Verizon will freeze rates for a swath of its customers in a bid to hold on to cellphone users irked by years of price hikes.

The telecom company said Thursday that subscribers on its myPlan and myHome bundles will automatically gain a price-lock guarantee for three years.

Verizon has spent the past few years boosting its revenue by raising monthly rates and fees.

"This is time for us to start taking share," Verizon consumer chief Sowmyanarayan Sampath said. "The pool of customers who are available for grabs will decline over the next few years as the market matures and saturates, so to grow your base you have to hold on to your base."

The price locks are automatic for all subscribers on Verizon's myPlan or myHome services—both newer plans that offer extras like discounted streaming-media subscriptions—and will automatically renew after three years.

The rate promises don't cover changes in fees, taxes or perks offered by third-

party services like **Netflix** and **Max**.

Sampath said freezing base prices will give customers more peace of mind. About half of Verizon's customer base is on myPlan. The company also will offer free satellite-based text messaging to any myPlan subscriber with a capable device.

Some price locks aren't as ironclad as they used to be. **T-Mobile** recently phased out a rate guarantee it launched in 2022 and introduced new offers, including "5G Internet Price Lock" and "Last Month Price Lock" with more loopholes.

T-Mobile also said some older plans would see their monthly rates increase this week.

The cost of wireless and home internet service has gradually climbed in recent years, a trend some companies attribute to their own rising expenses.

Corporate consolidation, including the 2020 merger of T-Mobile and Sprint, also has left consumers with fewer places to take their business if they don't like their wireless service.

Shares of Verizon added 2% in Thursday's trading.



Clothes-rental firm CaaStle worked with brands like Ann Taylor and Vince, seen above.

Fallen Fashion Startup Probed for Alleged Fraud

By CHAVIE LIEBER

Christine Hunsicker liked to boast that she could make more money off clothes than anyone, investors recall.

Her startup, CaaStle, provided support for fashion brands looking to rent their clothes to customers. An investor pitch said the company had raised money from Peter Thiel, John Hennessy, Jim Breyer, Bill Ackman, Henry Kravis and Peter Fenton. In 2023 she reported her startup had \$521 million in revenue and projected it would hit \$1.2 billion in 2025.

Except, as investors learned this weekend, CaaStle wasn't making money.

According to an audit cited by the company's board, CaaStle's net revenue in 2023 was actually \$15.7 million, and its losses exceeded \$80 million. The company is being investigated by law enforcement for possible fraud, a letter to shareholders said.

In the Saturday letter to



Founder Christine Hunsicker has resigned as CEO.

shareholders, which was reviewed by The Wall Street Journal, CaaStle's board of directors said Hunsicker had resigned as CEO and stepped down from the board after an internal investigation found evidence of fraud.

The letter said Hunsicker had "provided certain investors with misstated financial statements and falsified audit opinions" and that the company was "facing a severe and

immediate liquidity problem."

This article is based on interviews with CaaStle investors and current and former employees. Hunsicker didn't respond to requests for comment.

When it launched in 2018, CaaStle's pitch to brands and investors was "clothing as a service," a play on software as a service, or SaaS. (The company name is a pun on that acronym.) Embracing the spirit of the sharing economy, the company handled the interface of fashion rentals as well as shipping, cleaning and storing clothes. Express, Ann Taylor and Bloomingdale's were among the big brands that became clients and rented their unsold inventory through CaaStle.

On a recording of a 2023 investor call reviewed by The Wall Street Journal, Hunsicker told investors she could "maximize the amount of profit earned on a piece of clothing."

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The cell-service provider has been raising monthly rates.

INSIDE



RETAILING

Department store Printemps New York is starting out with minimal high-tech. **B2**



BUSINESS NEWS

Hershey is acquiring the popcorn brand Lesser Evil for about \$750 million. **B3**

'The Pitt' Serves as a Streaming Model for Warner

By JOE FLINT

Doctors and nurses in "The Pitt" slip on blood puddles, drill holes in patients on the fly and improvise chest tubes.

Each episode spans one hour of an emergency-room shift that passes in a flash, but lasts an eternity for its characters. In an era when streaming shows give priority to big budgets and short seasons, **Warner Bros. Discovery's** "The Pitt," which runs on the Max streaming service, has succeeded by doing the opposite.

The hospital drama has one primary set and only one major star on its call sheet—"ER" alum Noah Wyle. It was filmed quickly and its first season has almost as many episodes as a traditional network drama.

The show's ability to deliver prestige drama dressed up as a fast-paced medical show has delighted fans and helped it secure a second season, scheduled for next January.

For Warner, which is grappling with a leaner Hollywood,

"The Pitt" is proving that compelling stories can be delivered on a tighter budget.

The show captures a shift at a Pittsburgh hospital, whipping between drug overdoses, a child drowning and gunshot wounds. It is dotted with discussions about nursing shortages and private-equity investment in hospitals.

Wyle oversees the team as Dr. Michael "Robby" Robinavitch, a senior attending ER physician dealing with post-traumatic stress from Covid.

"It's a difficult show to do your laundry to," said executive producer and director John Wells, adding that the intent was to make a show that "people lean forward to watch, rather than lean back."

"The Pitt" made its debut in January and scored a 96% approval rating on Rotten Tomatoes.

Its first season had a 15-episode order, with each episode costing between \$5 million and \$6 million, people familiar with the matter said.

The new season of HBO's "The Last of Us," meanwhile,

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From left, Noah Wyle, R. Scott Gemmill and John Wells on the set of 'The Pitt.'

PHILIP CHEUNG FOR WSJ

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The WeightWatchers parent has navigated a rough period as it attempts to shift to a focus on GLP-1 weight-loss drugs.

WW Faces A Proxy Battle

Continued from page B1

officer leaving the company in the past year.

Oprah Winfrey, the long-time face of the company, also stepped down from the board early last year and donated her shares.

Winfrey later said the move was meant to avoid a conflict of interest with a special she was making about weight-loss drugs.

The company held over \$1.4 billion in long-term debt

as of Dec. 28.

WeightWatchers' lenders in February began restructuring discussions with the company, The Wall Street Journal reported.

WeightWatchers' revenue fell 12% to \$785.9 million in 2024, and the company generated an operating loss, largely because of goodwill-impairment charges.

The company is already on pace to cut \$100 million in annual costs by the end of this year as part of a broader plan that has included job cuts, it said in February.

Premca was founded by Rajit Marwah, a tech entrepreneur and alum of MySpace and Microsoft.

On Wednesday, WW International shares lost 1% to 54 cents each.

chronic disease.

Lara said SunnyD would evolve along with consumers, and could potentially use more natural ingredients. He pointed to Spain, where SunnyD products contain fewer artificial dyes and no high-fructose corn syrup.

"I think there are things we should look at," Lara said, adding that Juicy Juice products are 100% juice.

As part of the deal, Center-view Capital is investing and joining with Castillo to help the company grow its U.S. beverage business.

Harvest Hill operates six U.S. manufacturing facilities, and Castillo will absorb all of the company's 1,000 employees, including its leadership team, the Guatemalan company said.

BUSINESS & FINANCE



Noah Wyle, left, plays Dr. Michael 'Robby' Robinavitch on the Warner Bros. Discovery streaming emergency-room drama.

'The Pitt' Is a Model For Warner

Continued from page B1

will have seven episodes at a cost of more than \$15 million per episode, those and other people familiar with the shows' budgets said.

One of the most-expensive budget items of "The Pitt" is the \$4 million-plus emergency-room set occupying two sound stages on the Warner Bros. lot in Burbank, Calif. A typical episode takes about nine days to make.

Meanwhile, Netflix's "Adolescence" spent three weeks filming each of its four episodes.

A typical day in ER

"The Pitt" was a product of Covid. Wyle's fan mail had

shifted from kind words about his "ER" character, John Carter, to comments about the trials of doctors and nurses during the pandemic.

Wyle contacted Wells, who had been showrunner and executive producer of "ER," which ended its run in 2009.

"Something is going on in healthcare and it probably should be talked about," Wyle said in an interview, recalling his conversation with Wells.

Wells was wary of yet another medical melodrama.

The two of them, along with former "ER" producer R. Scott Gemmill, decided instead to do a show that would focus on a typical day in an ER.

Gemmill is the creator and showrunner of "The Pitt." Wyle is an executive producer and has written two episodes.

Wyle is a fan of longer seasons and has gotten frustrated when shows he liked watching seemed to be over too soon. He recalled his annoyance after finishing the six-episode second season of Netflix's

"The Diplomat."

"I was like, 'That's it?'" Wyle said.

When Wells and Warner Bros. Television Group Chief Executive Channing Dungey started discussing the show in early 2023, they wanted a traditional broadcast model with more episodes and a regular production schedule.

Many popular streaming shows, such as "Severance" and "Stranger Things," can go years between seasons.

Casey Bloys, who heads content for HBO and Max, saw "The Pitt" as an opportunity to bring some stability to the Max lineup with a recurring, longer-running show.

Bloys and Dungey are now talking about other potential series in the vein of "The Pitt," including a police show and a legal drama.

Reality TV

The cast of "The Pitt" prepared by joining a two-week boot camp with doctors and nurses.

There are two ER physicians in the writing room, and as many as 15 actual nurses and physicians on set. The show has been praised by medical professionals for its realism.

"Noah is great at sutures," Gemmill said, "and I'm sure he could intubate if he had to."

The ER set is built in such a way that actors can be filmed at all angles, which means producers and directors wear scrubs during shooting in case they end up on camera.

With every episode covering one hour of the same shift, there aren't major hair or wardrobe changes—except for one medical student whose constant need for new scrubs is a running joke.

Still, that approach to "The Pitt" comes with some complications.

"Nobody could gain a pound, lose a pound, get a tan, get a tattoo. We had to look exactly the same for seven months every single day. The fidelity to continuity was so intense," Wyle said.

New Manhattan Department Store Takes Novel Tack: Almost No Tech

By ISABELLE BOUSQUETTE

The latest shopping experience in lower Manhattan is a 54,000-square-foot temple to Parisian style with a technology outlook that seems almost *fin de siècle*.

Printemps New York, an outpost of the famed French department store, is starting out with minimal screens inside, no shopping app and no e-commerce website. The store is betting on an old-fashioned, face-to-face shopping experience as its killer app for drawing business.

"Originally when we were conceptualizing the whole thing, screens were everywhere," said Mary Jane Puangco, chief experience officer of Printemps America. That changed during the design process. "It didn't feel right...The vibe we want here is a bit more people interacting with people. We didn't want people looking at their screens."

The strategy runs counter to the tech-focused experiences retailers have been driving over the past decade. Retailers have invested in apps that send alerts when shoppers enter stores, scattered QR codes offering more information on products and armed associates with smartphones to order products online when they're not available in person.

Some have gone as far as installing "connected fitting rooms" with features like buttons that shoppers can press to request a different size. Store websites meanwhile have become kitted out with digital shopping assistants and virtual try-on experiences.

The attempt to merge the physical and digital experiences has even spawned a cringey marketing term: phygital.

But so far it hasn't been enough to rescue an industry that has been bleeding market share to lower-priced discount stores over the past couple of decades, said Citi's senior retail analyst, Paul Lejuez. "Mostly what we've seen is closing stores and shrinking the size of the chain," he said.

While the discount stores



The strategy runs counter to the tech-focused experiences retailers have been driving.

can offer a treasure-hunt-like experience for in-person visitors, department stores still lack a compelling value proposition to bring people to physical locations, according to Lejuez.

And in fact, a lot of the digitally enabled in-store experiences are simply annoying, said Don Scheibenreif, vice president and distinguished analyst at research firm Gartner. "Retailers are just struggling to find ways to engage customers while they're in the store," Scheibenreif said.

Printemps is focused on creating that in-person value proposition with experiences that include archival fashion exhibits, an on-site spa and champagne tastings.

The store is taking a risk by potentially alienating a group of consumers that might initially want to shop online or look at an app, and are used to that type of experience, Scheibenreif added. "It's definitely a bold move," he said.

But technology is not completely absent from the Print-

emps experience.

The store currently has four more, all designed to help guests find their way around. But they are often tucked away in corners rather than made a main focus.

There is a website, but it is more inspired by the websites of New York's Museum of Modern Art, the Louvre and

the Disney theme parks, which entice people to visit in person, than the traditional grid of products seen on a retailer's site, said Alex Levin, founding partner of design and tech studio L+R, which designed the site. And definitely don't expect any AI chatbots.

There are some strong technology foundations behind the scenes, however.

Levin said the website is fully integrated with the in-store screens, meaning that any tweaks made to one will automatically update on the other. Integrations like this are typically a heavy lift, but Levin said it was possible because Printemps New York

built all its back-end technology from the ground up rather than using existing digital infrastructure from France. Levin also said he used Apple Vision Pro to determine the dimensions of the in-store screens before construction.

An e-commerce site is slated to launch in the fall, after the store has had enough of a chance to sell consumers on the in-store experience, said Puangco, the Printemps America executive. The company also anticipates releasing an app at some point.

Visitors in the meantime will find that the New York location is designed to mimic a French apartment, with rooms themed to evoke a salon, a boudoir, a playground and so on. The jewel of the store is the "Red Room," an interior landmark built in 1931 whose walls are lined with over 3 million hand-painted tiles. It now houses Printemps's shoe selection.

Levin said Printemps's choice to let the experience stand on its own without an overwhelming amount of tech will set it apart from other retail competitors. "They would just wrap this entire room with a screen," he said, indicating the Red Room. "It'd be like the Sphere in Vegas."

BUSINESS NEWS

Hershey Strikes \$750 Million Deal

Chocolatier to buy LesserEvil popcorn brand to expand its snack offerings

By Lauren Thomas

Hershey agreed to a roughly \$750 million deal for the popcorn brand **LesserEvil**, according to people familiar with the matter.

An agreement was announced by the company Thursday, confirming an earlier report from The Wall Street Journal. Hershey didn't disclose the price it agreed to pay.

The deal value could grow over time from \$750 million if LesserEvil hits certain milestones in its performance, the people familiar with the matter added.

LesserEvil had recently tapped bankers to pursue a sale of its business, which makes a range of snacks using

what it says are better-for-you ingredients.

Among its products are popcorn made with avocado oil, "space balls" that mimic cheese balls and organic onion-flavored corn rings, a play on Funyuns.

LesserEvil is run by Charles Coristine, a former Wall Street executive who bought the company when it was struggling.

Big snack companies have been seeking to buy up popular smaller brands to freshen up their portfolios.

PepsiCo last year agreed to acquire tortilla-chip maker Siete Foods for \$1.2 billion. Flowers Foods, the company behind Wonder Bread, in January said it would buy the healthy cracker maker Simple Mills for nearly \$800 million.

Hershey's acquisitions in recent years include the sour candy brand Sour Strips and Dot's Pretzels. The Pennsylvania-based company is known for its chocolate offerings, but



LesserEvil sells popcorn and other snacks using what it says are better-for-you ingredients.

that has become a liability with record-high cocoa prices. The LesserEvil deal is a relatively small transaction for Hershey, which has a market value of about \$33 billion. Its share price is down 1.5% so far this year after gaining 1.8% Thursday.



Arne Freundt has been chief executive of Puma since 2022.

Puma CEO To Depart Following Clash With Its Board

By Adria Calatayud

Puma said Chief Executive Arne Freundt is leaving due to differing views with the company's supervisory board on strategy execution, and the company named former **Adidas** executive Arthur Hoeld as his successor.

Freundt is leaving the German sporting-goods company on April 11 after 14 years in various positions, including that of CEO since November 2022, Puma said.

He took the helm when his predecessor, Bjorn Gulden, left for Adidas.

The company said at the time of his appointment that his contract ran for four years.

Hoeld, who was responsible for sales on Adidas's executive board until October, will be appointed as new CEO on July 1, Puma said.

The executive change comes as the company is seeking to revive its fortunes while it grapples with the impact of President Trump's tariffs.

Puma is currently evaluating the situation after the latest round of U.S. levies and will react swiftly, a representative for the German sporting-goods company said.

In the interim, Puma's management board will consist of product chief Maria Valdes, financial chief Markus Neubrand and a newly appointed chief commercial officer, Matthias Baeumer, the company said.

Baeumer was most recently vice president of Teamsport, Puma's fastest-growing unit, the company said.

A successor for that position will be named shortly, it added.

Shares of Puma have lost more than half of their value since Freundt became CEO.

In March, Puma issued an outlook for 2025 that came in significantly below market expectations, while it also anticipated weak sales growth and lower earnings this year, partly due to the tense global trade environment.

At the time, UBS analysts said that the company didn't appear to have entered in a turnaround phase, so its results could deteriorate further. They said that the group would require a completely new strategy from management.

Earlier this year, the company unveiled plans to ax around 500 corporate positions worldwide as part of its "nextlevel" efficiency plan, which it announced earlier this year.

Puma is looking to revamp its brand, pushing further into performance products, a category in which it faces fierce competition.

Last summer, the company trimmed its 2024 earnings forecast toward the lower end of its guidance range, partly due to muted consumer sentiment.

In 2024, the group reported a 2.5% increase in full-year sales in reported terms compared with 2023, while operating profit was flat year over year at €622 million, or \$675 million, with a margin of 7.1%.

Government Consultant Navigates Budget Cuts

By Chip Cutter

WASHINGTON—When the Trump administration recently ordered big consulting firms to offer price concessions on the billions of dollars in projects they do for the federal government, **Booz Allen Hamilton** Chief Executive Horacio Rozanski sprang into action.

For Booz Allen, which makes 98% of its roughly \$11 billion in annual revenue from government-related work, the assignment was existential. Rozanski and his team pulled in more than 100 employees to develop a response, which included more than \$1 billion in potential cost savings.

Rozanski, 57 years old, is a more-than-three-decade Booz Allen veteran who has experienced budget showdowns and new administrations before. But the second Trump term is different.

"Especially with the government, slow means never, and fast means now," Rozanski said. "It's been a jolt to the system. It's been a jolt to the industry."

The jolts are likely to continue. Booz Allen's stock is down about 35% since the inauguration, and the Trump administration is expected to demand deeper cuts from the firms.

In an interview in the capital this week, Rozanski discussed Booz Allen's response, whether staff cuts will follow and why the company is so concentrated in government work. Here are excerpts, condensed and edited:

The Wall Street Journal: The General Services Administration asked companies to explain their work in a way a 15-year-old could understand. What's your answer?

ROZANSKI: We're an advanced technology company. Our work in the federal government spans some of the most critical missions. We're talking about space, the in-



Horacio Rozanski is a Booz Allen veteran of more than three decades.

telligence community and some of the health agencies like the Veterans Affairs administration. Our work, for the most part, is about bringing technology into those missions to make them faster, better and more efficient.

WSJ: The GSA asked firms like yours to say which projects could potentially be canceled. What did you propose?

ROZANSKI: There is some work that, in the spirit of efficiency, the government could choose to in-source or maybe not do because it's not a priority. And we identified contracts where, because we've become more efficient, the same work could be done at a lower cost.

WSJ: Does that mean Booz Allen could lose more than \$1 billion in revenue?

ROZANSKI: GSA would need to talk to the partner agen-

cies that actually own the work. But, presumably, an outcome would be that a lot of these dollars don't come to Booz Allen.

WSJ: What are examples of contracts you feel are no longer needed or the government could do itself?

ROZANSKI: We don't have a lot of work that is studies and things like that, but there is some.

There's work where we're supporting, say, a research effort the government may not need us to do, or may not want to continue. There's work that maybe was commissioned three or four years ago that no longer makes sense.

WSJ: Will the price concessions mean layoffs?

ROZANSKI: Time will tell. A lot of technology companies need us and want us to help them scale. So we may have the ability to repurpose and

reallocate some of our workforce. Over 70% of our workforce is technologists.

WSJ: Have you met with Elon Musk or President Trump as part of your conversations with the administration?

ROZANSKI: I should not talk about who I have and have not met with, but we're engaging. I will talk to anybody who will talk to me. There's a natural skepticism about this industry: Is it on the side of change, or is it going to resist change? A lot of my argument is Booz Allen is on the side of change.

WSJ: Is Booz too concentrated in government work?

ROZANSKI: About three-quarters of the work we do is national security-oriented. The consequence is that it limits some other things we would want to do, or we could do, serving governments around the world and even serving commercial clients.

WSJ: Are there conversations at the board level to broaden your work?

ROZANSKI: At any time, all options are on the table. We need to find better ways to offer that to a broader set of customers in a way that does not limit our ability to serve the U.S. government the way the government needs to be served.

WSJ: What's the toughest request the administration has made of you so far?

ROZANSKI: The self-examination. It's not easy to take a look at every contract and say: Could this be done by someone else? Could this be done by the government? That's been a challenging, but very valid, request.

WSJ: A year from now—after this cost review—how different will Booz Allen look?

ROZANSKI: I really, sincerely hope DOGE is successful, not just in identifying the inefficiencies, but also in removing barriers to competition and burdens that add unnecessary cost. We really are fast becoming the company that brings dual-use technology to the government. I do believe that there's a path for us to increase the size of the portfolio outside of direct federal government work.

WSJ: One argument is that cuts to the federal workforce will ultimately benefit contractors like Booz Allen. Do you agree?

ROZANSKI: If we're replacing one person for one person, that is not to the benefit of the government.

If we are actually bringing technology in to make people more effective and more efficient, to make things happen faster, to deliver better national security, that is the answer. And in that, Booz Allen has a lot of opportunity.

Conagra Brands Profit Sinks

By Dean Seal

Conagra Brands recorded lower earnings and sales in its fiscal third quarter as volumes fell across each of its segments.

The maker of Slim Jims and Healthy Choice frozen meals posted a profit of \$145.1 million, or 30 cents a share, for the quarter ended Feb. 23. That is down from \$308.6 million, or 64 cents a share, in the same period a year earlier.

Stripping out one-time items, adjusted earnings were 51 cents a share. Analysts polled by FactSet had been expecting 52 cents a share.

Sales fell 6.3% to \$2.84 billion, below analyst projections for \$2.9 billion, according to FactSet.

The top line was 5.2% lower on an organic basis, driven by lower volumes, prices and an unfavorable change in the mix of products sold.

Revenue also was hurt by foreign-exchange headwinds and impacts from the company's recent divestitures. It



The packaged-food maker's sales fell 6.3% in the quarter.

sold a majority stake in India's **Agro Tech Foods** in August and said that same month that it would acquire FATTY Smoked Meat Sticks.

Chief Executive Sean Connolly said shipments lagged behind consumption during the quarter.

Conagra faced manufacturing challenges at its primary

facility that prepares chicken for frozen meals. It also was hit with a surge of consumption in its frozen-vegetable business that depleted its inventory and led to out-of-stocks.

"We are making solid progress in restoring inventory and improving customer service levels," Connolly said.

Deloitte Is Laying Off Consultants in the U.S.

By Mark Maurer

Deloitte is cutting U.S. workers in its consulting business after the federal government demanded it find ways to shrink the cost of government projects it is working on.

The Big Four accounting firm didn't specify how many employees would be targeted. "Modest personnel actions" would be taken in the coming weeks based on government clients' evolving needs, the company said.

Deloitte also said voluntary employee turnover had slowed. Since more consultants had stayed in their jobs in recent months, that contributed to the need to reduce its workforce, according to a U.S. spokesman. Overall demand for Deloitte's advisory services remains strong, he added.

Deloitte's U.S. management consulting business was flat last year, growing less than 1% in 2024, compared with 18%

the previous year and 25.5% the year before that.

Deloitte's U.S. workforce totaled nearly 173,000 at the end of 2024.

The company is among the largest U.S. consulting firms to the federal government. This week those firms offered to cut billions of dollars from their contracts with agencies in response to a General Services Administration deadline that required them to justify their contracts and propose cuts.

The GSA is already beginning to challenge those submissions, pressing for even deeper cuts, according to people familiar with the review process. Accounting firms have continued to experience slower-than-expected levels of voluntary attrition after aggressively hiring people during the pandemic. Layoffs at several firms have centered on the advisory side, for which revenue growth has generally slowed.

TECHNOLOGY

WSJ.com/Tech

Pinduoduo to Invest Billions to Support Merchants



Chinese bargain shopping platform Pinduoduo, owned by PDD Holdings, will invest more than \$13 billion over the next three years to support merchants.

Pinduoduo plans to allocate over 100 billion yuan, equivalent to \$13.76 billion, in capital, traffic and other resources to strengthen its e-

commerce ecosystem and support merchants, the company said.

PDD, which also owns Temu, reported slower profit and revenue growth in the fourth quarter, capping a turbulent year for the e-commerce giant as it faced intense domestic competition, geopolitical tensions abroad

and higher U.S. tariffs.

The company in recent months also has faced criticism and pushback from merchants over profit squeezes.

Last year, a group of Chinese merchants supplying Temu stormed a company affiliate's office in Guangzhou, southern China, protesting what they claimed were un-

fair penalties that left some bankrupt.

Chinese e-commerce companies have been ramping up efforts to support merchants. Tmall, operated by Alibaba Group Holding, said last month that it is committing "unprecedented strategic resources" to support brands in 2025.

—Tracy Qu

Big AI Deal Lifts U.S. Venture Market In Strong Quarter

By MARC VARTABEDIAN

Venture capitalists opened their wallets to start the year, investing more in startups than in any quarter since 2021. But the spending spree was focused on artificial-intelligence companies—particularly ChatGPT maker **OpenAI**.

The massive \$40 billion fundraising by OpenAI in the closing days of the first quarter powered much of the overall gain for the U.S. venture market. Excluding the round, the quarter's deal value was roughly on a par with previous periods in the past couple of years.

U.S. venture commitments last quarter jumped 116% to a record \$91.5 billion from the same quarter a year ago, according to a report from analytics provider PitchBook Data and the National Venture Capital Association, a trade group. The quarterly figure also eclipsed the \$77.2 billion raised by U.S. startups during last year's fourth quarter.

The number of deals, meanwhile, plummeted, dropping by a quarter from the same period a year ago, according to the data.

A dearth of exits has continued to deflate the venture market. Initial public offerings, a primary way venture investors generate outside returns, have been few.

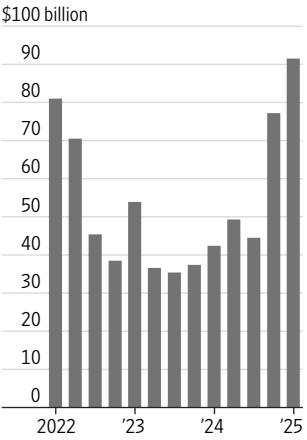
Investor capital continued to coalesce around AI technology, a trend that's been under way for the last couple of years but which reached a fever pitch last quarter. AI accounted for a record 71% of the capital venture investors committed last quarter, up from 62% in the prior quarter, according to the PitchBook-NVCA report.

"There's a huge amount of money going to a small number of companies," said Kyle Stanford, the lead U.S. venture capital research analyst at PitchBook. "Everyone else is still having a really challenging time."

And the focus on AI is intense.

Aydin Senkut, the founder and managing partner of venture firm **Felicitis**, said competitive deals attract up to a dozen term sheets from prospective lead investors. A year ago, those deals might have

U.S. venture capital raised by startups, quarterly



Source: PitchBook Data and the National Venture Capital Association

seen just a handful of term sheets, he said.

"Everyone's trying to get into the same deals," Senkut said, adding that competition for AI startups has driven up deal sizes and valuations.

Felicitis, which is based San Francisco and Menlo Park, Calif., made nearly twice as many deals last quarter as in the first quarter of 2024, mostly centered on AI. Driving the AI frenzy, Senkut said, is a belief that enterprise-tech buyers will open their budgets for the new technology, boosting startups' annual recurring revenue, a key business metric investors track.

In January, Felicitis co-led a \$15 million seed funding round with **Lightspeed Venture Partners** for Fremont, Calif.-based AI data startup **Observo AI**. In March, Felicitis led a \$17 million seed round for AI agent startup **Browser Use**.

Larry P. Naughton, an attorney at the law firm of Mintz Levin Cohn Ferris Glovsky & Popeo, said an expected surge in startup deals under the new U.S. administration hasn't materialized. He worked on nearly 10 deals last quarter, he said, roughly on a par with previous quarters in recent years.

Still, hot companies, particularly in the AI field, are whipping up investor interest, he said.

"I think people want to do deals, but they're nervous," Naughton said. "But when a company checks all the boxes, investors can get pretty aggressive to win the deal."

Tech CEO: Tariffs Hit Growth Prospects

By STEVEN ROSENBUCH

The sweeping tariffs set into motion by President Trump on Wednesday have one software CEO concerned about growth prospects for companies, especially in the second half of the year.

Vineet Jain, co-founder and chief executive of **Egnyte**, which provides a platform that helps businesses manage, secure and govern their cloud content, said he expects the tariffs to depress demand, and that the damage won't be easy to undo.

In February, Egnyte received a majority investment from private-equity firms **GI Partners** and **TA Associates** valuing the Mountain View, Calif.-based company at more than \$1.5 billion, including cash on the balance sheet, **WSJ Pro Venture Capital** reported.

Here are highlights of the conversation with **WSJ Pro**, which happened on Wednesday as President Trump announced his tariff plan.

The interview has been edited and condensed for length and clarity.

WSJ: How do you expect tariffs to affect your company?

Jain: We hit the quarter handsomely. If we project out to what the second half of the year entails, based on the pipeline and our sales cycle, we know [that in] Q2, we are fine. As it gets further out, it gets fuzzier and I can bet that the impact of what's happening on the macro side will be felt in the second half of the year as a vendor, unless things are magically stabilized, which I don't see a chance in hell of happening right now.

When the year started, I didn't have that sentiment. I thought with the new administration, with more deregulation,



Egnyte CEO Vineet Jain expects tariffs' effect will be felt more in the year's second half.

tion, with Lina Khan gone at the FTC...that animal spirits will be unleashed, and specifically M&A and IPO activity will increase. Well, that hasn't materialized.

There are a lot of unknowns, and it's the fear of the unknown that causes people not to make decisions, specifically buying decisions. So if I take all of that in, I am making sure we don't get ahead of our skis in terms of hiring or investments. We're still hiring, we should be investing. We just opened an office in Saudi Arabia, but we are applying the brakes to say, "Slow down, make your numbers with efficiency improvement, not additional head count." The second half is a question mark. Absolutely. But we are not changing the operating plan, not yet.

WSJ: There's a theory that the tariffs are mostly a negotiating tactic that will disappear in relatively short order. Do you

think that that's a likely scenario?

JAIN: Based on what I can glean from public sources, yes, there is a yo-yo-like effect. You threaten people, then they back off and then you reduce it or sometimes it disappears. But I do think that the damage is being done and some of the damage will be irreversible for a while.

There are long lead times and capital expenditures. I don't know whether any of it gets reversed, but I do think that a complete reversal is out of the question. There's a fundamental intrinsic damage that this is doing because it also raises questions about the reliability of the U.S. as a trading partner. And people will start looking into other markets.

WSJ: Do you think the tariffs as outlined could lead to more growth in the longer run?

JAIN: I am doubtful, since most of the tariffs (not all) will have a direct or indirect inflationary impact on the U.S. economy.

While we are striving to bring a lot of manufacturing back, the fundamental fact is that the labor cost in the U.S. is way higher than say China/Vietnam/Mexico/India etc.

That itself will cause the underlying cost of goods manufactured in the U.S. to be higher, and that cost will get passed to the consumer. Even in highly automated jobs that require less labor, the overall cost of supporting infrastructure is higher in the U.S. A good example would be chip manufacturing in Taiwan vs. the U.S.

Unless we are willing to live with lower wages (which we won't), I don't really see how the tariffs would help drive growth broadly in the long run.

Davos Founder to Exit After Workplace Probe

By SHALINI RAMACHANDRAN

World Economic Forum founder Klaus Schwab told the staff and the board of trustees that he will step down as chair in the wake of a board investigation into the Davos organizer's workplace culture.

Schwab, who created the Davos gathering and led the forum for five decades, told trustees this week that he will start the process of stepping down. Last May, Klaus stepped aside as the forum's executive chairman but stayed as nonexecutive chair.

Schwab didn't respond to a request for comment about the decision, which was earlier reported by the Financial



Klaus Schwab led the forum for five decades.

Times.

In recent weeks, the forum has been shaking up its leadership

after the board received the findings of an investigation into the

organization's workplace culture.

The investigation was prompted by a Wall Street Journal article last year that revealed allegations by employees of discrimination against women and Black people at the forum, which is based in Geneva.

The forum disputed the Journal's reporting, and Schwab denied the allegations against him. In a recent memo, Børge Brende, the forum's chief executive officer, said the forum would take steps to address leadership issues identified by the probe and that the investigation didn't substantiate the allegations against its founder.

WPP Buys InfoSum As It Pushes Into AI

By ELENA VARDON

WPP said it is buying collaboration platform **InfoSum**, marking the advertising group's latest move in a string of deals to bolster its artificial-intelligence capabilities.

The London-listed ad group said Thursday that InfoSum—which will join its media investment group **GroupM**—will help it create marketing solutions that are enhanced by AI.

InfoSum's cross-cloud data collaboration technology allows companies to connect data sources without moving or exposing data, it said. Chief Executive Lauren Wetzel will remain in the role, WPP added.

"Directly integrating InfoSum's global data network and technology infrastructure will allow our clients to create even

more value from their first-party data and enable us to train client AI models against the most data, from the most places, at unprecedented scale and speed," GroupM's CEO Brian Lesser said.

The company said the deal represents a "major investment" in its artificial-intelligence-driven data but didn't disclose financial details.

WPP recently expanded its partnership with Heineken using an in-house AI platform for shopper-marketing activities and invested in Stability AI to leverage its models across image, video, 3D, and audio to improve marketing and advertising campaigns. WPP CEO Mark Read said that the group is already benefiting from its investments in artificial intelligence.

Why Even U.S.-Made Trucks Aren't Safe From Tariffs



Scan this code to watch a video about how automakers will be affected by Trump's tariffs. No vehicle is built from 100% U.S. parts—not even a U.S.-made pickup. **WSJ** takes a look inside a Ford F-150 to see.

BUSINESS & FINANCE

Fashion Startup Investigated

Continued from page B1

“Nobody makes money in apparel,” Hunsicker, 47, told investors on the 2023 call. “We have the solution. We make more money for every-

body.” Now investors say they have doubts about whether any of CaaStle’s supposed success story was true.

In the letter to shareholders, CaaStle’s board said no other management team members had been found to be aware of Hunsicker’s alleged misconduct. CaaStle Chief Operating Officer George Goldenberg is now serving as interim CEO. He didn’t respond to a request for comment.

Most CaaStle employees are currently on furlough. A spokesperson for the U.S. Securities and Exchange Commission said “the SEC does not comment on the existence or nonexistence of a possible investigation.”

“The board is deeply disappointed by the conduct that has led to this moment,” a spokesman for CaaStle said in a statement. “Our immediate focus is on addressing the company’s challenges, supporting our employees, and preserving the value of our technology and business operations. We regret having to temporarily furlough our employees, but we believe this will best position the company to successfully recover from our current situation.”

Several fashion startups have tried to wring profit from the business of renting clothing. **Rent the Runway**, which rents and sells work clothes, evening wear, handbags and jewelry, went public in 2021 with a \$1.7 billion valuation. The company has over 132,000 active subscribers. For the 12 months ending Oct. 31, 2024, the company’s revenue was \$305.5 million. It has yet to reach profitability. Its

stock price has plummeted since the IPO.

Nuuly, a rental subscription from the retail chain Urban Outfitters, recently reached profitability, after launching in 2019. The company said it had earned \$13 million in 2024 and now has 300,000 subscribers, according to an Urban Outfitters earnings report.

Other fashion-rental startups, including the Rotation, Armarium and Seasons, have closed in recent years, buckling under the business’s high costs. Pickle, a newer service, allows customers to borrow directly from each other, lowering the company’s overhead.

Hunsicker, a seasoned entrepreneur, was a convincing pitchwoman, investors said. She spent the early 2000s and 2010s working in executive positions at tech startups that were acquired by Yahoo and Facebook.

In 2011, she started a rental company, Gwynnie Bee, which initially focused on renting clothes from plus-size fashion brands. Hunsicker used the technology and logistics of Gwynnie Bee to launch CaaStle, which began offering other brands’ rentals in 2018. Gwynnie Bee is owned by CaaStle and still operational, according to a company spokesperson. Hunsicker is no longer involved with the company.

She co-founded CaaStle with Jaswinder Pal Singh, a Princeton University computer science professor. Singh didn’t respond to a request for comment. The startup worked with mall brands like Ann Taylor, American Eagle and Express. Ralph Lauren, Vince, Maje and Ba&sh became clients, too. Shoppers would pay subscription fees of \$69 to \$160 a month to rent their clothes, and CaaStle would share the earnings.

“This is a way to keep up with customers’ ever-changing, moving lifestyle,” Banana Republic’s then-CEO Mark Breitbard told CNN in 2019 about its CaaStle partnership.

A spokesperson for Gap, Banana Republic’s parent company, said the Banana Re-



Banana Republic’s partnership with CaaStle ended in 2022, the brand’s parent, Gap, said.

public CaaStle partnership had ended in 2022.

CaaStle raised \$182 million in funding, according to PitchBook, although some investors believe that number is much higher.

Francis McGill, a partner at Ackman’s **Pershing Square Capital Management**, confirmed Ackman made a small

investment in the company in 2014 and said Ackman owned less than 1% of CaaStle. Peter Fenton told the Journal he did not invest in CaaStle. A representative for CaaStle declined to comment on Fenton. Henry Kravis declined to comment.

John Hennessy, a computer scientist and chairman of the board of Alphabet, didn’t respond to requests for comment. Peter Thiel didn’t respond for comment.

Cava Capital, a venture-capital firm in Darien, Conn., invested in CaaStle and

hosted some shareholder meetings for the company, moderating its Q&A portion of calls. An investor pitch deck made by Cava Capital and reviewed by the Journal said CaaStle had \$60 million in sales in 2019, with over 100,000 customers, and that it expected to hit \$275 million in revenue in 2022.

CaaStle said it was making money from rental companies it owned, like Gwynnie Bee and Haverdash, and from customers’ rental payments.

CaaStle is described by Cava Capital as a “business model [that] is highly profitable and has generated exponential growth.”

A year later, CaaStle’s revenue had ballooned to \$521 million, Hunsicker said on a December 2023 call with investors that was hosted by Cava Capital and its partners Geoff Schneider and Bob Geiman. Calls and emails to Cava

Capital went unanswered. Schneider and Geiman didn’t respond to requests for comment.

At the end of 2024, Hunsicker told shareholders CaaStle had close to \$300 million in cash, according to an investor.

Former and current CaaStle employees said the company often struggled to keep fashion brands on board.

A 2023 company review of CaaStle sent to Cava Capital investors said that the startup was in negotiations “with esteemed retailers such as Nordstrom, Net-a-Porter, Bergdorf’s and Neiman Marcus.”

CaaStle had about 22,000 rental subscribers over the years, two former employees said. The former employees estimated its annual revenue at around \$25 million.

When asked about the company’s valuation on the December 2023 call with investors, Hunsicker said, “Take the revenue and multiply it by seven.”

Hunsicker last year launched a new startup, P180, which buys and invests in

fashion companies, with Brendan Hoffman, a former department store executive. The startup recently bought stakes in the fashion brand Vince and the designer label Altuzarra, and had begun working with the fashion e-commerce site Elyse Walker. A spokeswoman said Elyse Walker was no longer working with P180 or CaaStle.

“I am both shocked and saddened by the recent developments at CaaStle,” Hoffman said in a statement. “Christine Hunsicker has stepped down as chairman of P180 which operates as an independent entity,” Hoffman said. P180 and CaaStle operated separately and that their only overlap was in running Vince’s rental service.

Cava Capital’s website has removed the names of its employees and advisers, including Hunsicker.

The CaaStle website has removed the names of its brand partners. Its careers page is still live. It lists some of the brand’s values, including “do the right thing by people” and “connect the dots differently.”

GABBY JONES/BLOOMBERG NEWS

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EQUITIES

Dow Jones Industrial Average

40545.93 ▼1679.39, or 3.98%

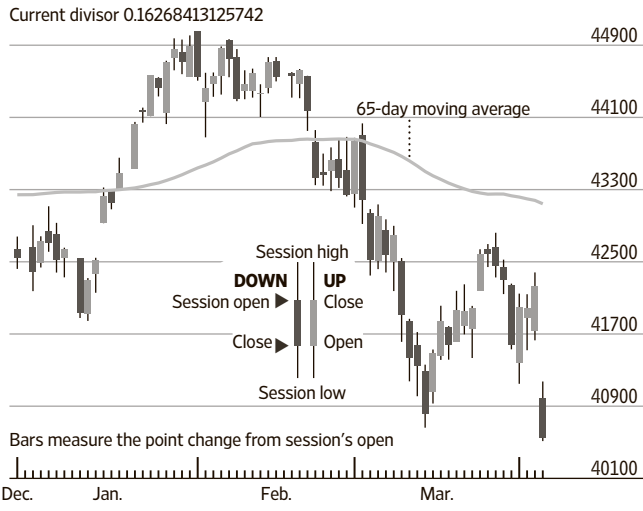
High, low, open and close for each trading day of the past three months.

Trailing P/E ratio 24.31 26.78

P/E estimate * 19.69 19.16

Dividend yield 1.75 2.17

All-time high 45014.04, 12/04/24



S&P 500 Index

5396.52 ▼274.45, or 4.84%

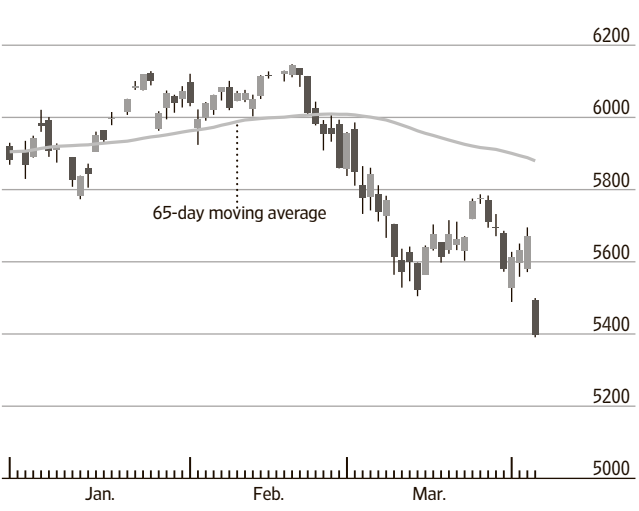
High, low, open and close for each trading day of the past three months.

Trailing P/E ratio * 23.15 24.36

P/E estimate * 21.10 21.58

Dividend yield * 1.34 1.40

All-time high 6144.15, 02/19/25



Nasdaq Composite Index

16550.61 ▼1050.44, or 5.97%

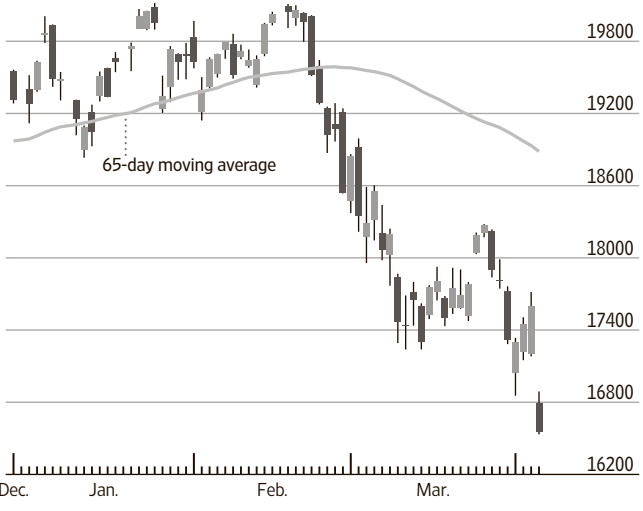
High, low, open and close for each trading day of the past three months.

Trailing P/E ratio ** 29.27 31.15

P/E estimate ** 25.25 27.98

Dividend yield ** 0.78 0.81

All-time high: 20173.89, 12/16/24



Major U.S. Stock-Market Indexes

	High	Low	Latest Close	Net chg	% chg	High	52-Week Low	% chg	YTD	% chg 3-yr. ann.
Dow Jones										
Industrial Average	41173.62	40513.11	40545.93	-1679.39	-3.98	45014.04	37735.11	5.0	-4.7	5.2
Transportation Avg	14574.06	13574.38	13621.34	-1371.64	-9.15	17754.38	13621.34	-13.8	-14.3	-4.2
Utility Average	1041.67	1024.83	1026.49	-3.75	-0.36	1079.88	835.53	17.8	4.5	-1.0
Total Stock Market	54264.75	53131.05	53180.45	-2859.52	-5.10	61024.05	49376.46	3.7	-8.9	4.9
Barron's 400	1173.69	1138.82	1139.44	-72.41	-5.98	1356.99	1092.05	0.1	-9.0	3.8
Nasdaq Stock Market										
Nasdaq Composite	16889.34	16533.04	16550.61	-1050.44	-5.97	20173.89	15282.01	3.1	-14.3	5.1
Nasdaq-100	18902.07	18502.97	18521.48	-1060.30	-5.41	22175.60	17037.65	3.6	-11.9	7.6
S&P										
500 Index	5499.53	5390.83	5396.52	-274.45	-4.84	6144.15	4967.23	4.8	-8.2	5.9
MidCap 400	2907.89	2781.41	2783.05	-198.63	-6.66	3390.26	2783.05	-6.1	-10.8	0.9
SmallCap 600	1260.26	1206.14	1206.84	-92.72	-7.13	1544.66	1206.84	-7.4	-14.3	-3.2
Other Indexes										
Russell 2000	1981.67	1909.70	1910.55	-134.82	-6.59	2442.03	1910.55	-7.0	-14.3	-3.0
NYSE Composite	19532.74	18758.31	18767.19	-765.56	-3.92	20272.04	17388.09	4.4	-1.7	3.8
Value Line	577.90	541.15	541.20	-36.70	-6.35	656.04	541.20	-9.7	-11.4	-5.4
NYSE Arca Biotech	5753.36	5602.28	5609.48	-143.88	-2.50	6318.63	4861.76	8.9	-2.4	2.3
NYSE Arca Pharma	977.46	953.69	954.21	-7.37	-0.77	1140.17	912.71	-4.2	2.1	4.3
KBW Bank	120.27	111.50	111.63	-12.20	-9.86	140.59	96.78	10.0	-12.4	-3.1
PHLX ^S Gold/Silver	178.35	171.44	174.86	-3.06	-1.72	178.66	131.01	31.8	27.5	2.8
PHLX ^S Oil Service	63.97	59.80	59.90	-7.91	-11.67	95.07	59.90	-36.4	-17.5	-9.8
PHLX ^S Semiconductor	4131.82	3889.62	3893.69	-427.06	-9.88	5904.54	3893.69	-18.1	-21.8	5.0
Cboe Volatility	30.02	24.93	30.02	8.51	39.56	38.57	11.86	83.6	73.0	15.2

§Nasdaq PHLX

Sources: FactSet; Dow Jones Market Data

Late Trading

Most-active and biggest movers among NYSE, NYSE Arca, NYSE Amer. and Nasdaq issues from 4 p.m. to 6 p.m. ET as reported by electronic trading services, securities dealers and regional exchanges. Minimum share price of \$2 and minimum after-hours volume of 50,000 shares.

Most-active issues in late trading

Company	Symbol	Volume (000)	Last	Net chg	After-Hours % chg	High	Low
SPDR S&P 500 ETF Trust	SPY	13,734.0	536.55	-0.15	-0.03	561.10	519.87
NVIDIA	NVDA	7,494.1	102.63	0.83	0.82	106.36	97.21
Direxion Dly SCOND 3 BL	SOXL	7,422.5	11.70	0.29	2.54	11.70	11.26
SPDR Ptf Intern Corp Bd	SPIB	5,581.5	33.29	0.01	0.03	33.32	32.88
Intel	INTC	5,109.3	22.55	0.12	0.53	22.60	22.30
Pfizer	PFE	4,359.1	24.30	0.01	0.04	24.62	24.24
ProShares UltraPro QQQ	TQQQ	4,070.7	50.13	-0.17	-0.34	50.45	49.64
iShares Russell 2000 ETF	IWM	3,536.9	189.55	-0.10	-0.05	191.45	188.89
Percentage gainers...							
Vishay Intertechnology	VSH	124.8	13.16	0.71	5.70	13.16	12.45
Cencora	COR	121.4	303.82	14.46	5.00	303.82	285.07
Adaptive Biotechnologies	ADPT	505.0	7.78	0.37	4.99	7.78	7.04
Vizsla Silver	VZLA	69.1	2.24	0.09	4.19	2.24	2.15
Leggett & Platt	LEG	75.3	7.74	0.31	4.17	7.74	7.38
...And losers							
MDU Resources Group	MDU	61.8	15.87	-0.92	-5.48	16.79	15.87
HDFC Bank ADR	HDB	1,189.7	63.65	-3.32	-4.95	66.96	63.65
Royalty Pharma	RPRX	84.2	30.55	-1.24	-3.90	31.99	30.55
Barclays ADR	BCS	73.2	13.79	-0.52	-3.63	14.55	13.70
Apellis Pharmaceuticals	APLS	475.7	21.80	-0.72	-3.20	22.52	21.80

Trading Diary

Volume, Advancers, Decliners		NYSE	NYSE Amer.
Total volume*	1,523,548,306	15,110,869	
Adv. volume*	180,754,268	2,334,435	
Decl. volume*	1,338,872,383	11,295,962	
Issues traded	2,838	298	
Advances	362	63	
Declines	2,446	225	
Unchanged	30	10	
New highs	53	2	
New lows	547	1	
Closing Arms ¹	1.09	1.50	
Block trades ¹	6,970	167	
		Nasdaq	NYSE Arca
Total volume*	9,461,339,421	571,783,791	
Adv. volume*	2,725,141,097	114,872,155	
Decl. volume*	6,718,555,302	456,698,718	
Issues traded	4,555	2,205	
Advances	743	456	
Declines	3,738	1,743	
Unchanged	74	6	
New highs	54	33	
New lows	856	377	
Closing Arms ¹	0.49	0.85	
Block trades ¹	61,276	1,988	

*Primary market NYSE, NYSE American, NYSE Arca only.

¹(TRIN) A comparison of the number of advancing and declining issues with the volume of shares rising and falling. An Arms of less than 1 indicates buying demand; above 1 indicates selling pressure.

International Stock Indexes

Region/Country	Index	Close	Net chg	Latest % chg	YTD % chg
World	MSCI ACWI	807.64	-28.47	-3.40	-4.0
	MSCI ACWI ex-USA	341.99	-2.28	-0.66	4.9
	MSCI World	3532.64	-135.89	-3.70	-4.7
	MSCI Emerging Markets	1102.78	-8.90	-0.80	2.5
Americas	MSCI AC Americas	2037.06	-101.11	-4.73	-7.9
	Canada S&P/TSX Comp	24335.77	-971.41	-3.84	-1.6
	Latin Amer. MSCI EM Latin America	2128.34	30.18	1.44	14.9
	Brazil Bovespa	131140.65	-49.69	-0.04	9.0
	Chile S&P IPSA	4101.35	10.90	0.27	13.5
EMEA	Stoxx Europe 600	523.12	-13.80	-2.57	3.1
	Euro Stoxx	531.76	-16.00	-2.92	5.3
	Bel-20	4294.73	-49.44	-1.14	0.7
	OMX Copenhagen 20	1713.23	-40.48	-2.31	-18.5
	CAC 40	7598.98	-259.85	-3.31	3.0
Germany	DAX	21717.39	-673.45	-3.01	9.1
	FTSE 100	2448.47	-15.22	-0.62	2.2
	FTSE MIB	37070.83	-1383.37	-3.60	8.4
	AEX	877.42	-24.10	-2.67	-0.1
	Oslo Bors All-Share	1691.93	-40.11	-2.32	2.9
South Africa	FTSE/JSE All-Share	86082.52	-3023.22	-3.39	2.4
	IBEX 35	13191.20	-159.00	-1.19	13.8
	OMX Stockholm	913.14	-32.34	-3.42	-4.3
	Swiss Market	12279.48	-308.83	-2.45	5.8
	BIST 100	9484.26	-39.05	-0.41	-3.5
U.K.	FTSE 100	8474.74	-133.74	-1.55	3.7
	FTSE 250	19210.51	-439.12	-2.23	-6.8
Asia-Pacific	MSCI AC Asia Pacific	182.30	-1.19	-0.65	0.4
	S&P/ASX 200	7859.70	-74.85	-0.94	-3.7
	Shanghai Composite	3342.01	-8.12	-0.24	-0.3
	Hang Seng	22849.81	-352.72	-1.52	13.9
	BSE Sensex	76295.36	-322.08	-0.42	-2.4
Japan	NIKKEI 225	34735.93	-989.94	-2.77	-12.9
	Straits Times	3942.23	-11.98	-0.30	4.1
	KOSPI	2486.70	-19.16	-0.76	3.6
	TAIEX	21298.22	...	Closed	-7.5
	SET	1161.81	-10.88	-0.93	-17.0

Sources: FactSet; Dow Jones Market Data

Percentage Gainers...

Company	Symbol	Close	Net chg	% chg	High	Low	% chg
iCoreConnect	ICCT	4.23	2.16	104.35	35.80	0.24	-81.3
Alaunos Therapeutics	TCRT	4.22	1.42	50.71	18.20	1.31	-76.3
Tivic Health Systems	TIVC	4.87	1.62	49.85	31.45	2.43	-75.6
NeOnc Technologies Hldgs	NTHI	9.58	2.58	36.86	25.00	6.10	...
Local Bounti	LOCL	2.82	0.72	34.29	3.33	1.18	-0.7
MicroSect Big Oil -3X Inv	NRGD	30.69	7.17	30.46	33.66	23.33	...
Direxion Dly Semi 3 Bear	SOXS	36.81	8.45	29.80	46.84	16.35	4.6
Creative Global Tech	CGTL	5.38	1.23	29.64	10.59	2.80	...
MicroSec Big Bk -3X Inv	BNKD	42.92	9.39	27.99	42.92	25.07	...
Direxion Hi Beta Bear 3X	HIBS	29.95	6.41	27.23	32.18	14.71	22.4
MicroSectors En 3X Inv	WTID	19.13	4.07	27.07	24.01	12.48	47.5
Alaunos Trav -3x Lv	FLYD	24.96	5.29	26.88	42.88	12.14	-3.0
MAX Airlines -3X Invr	JETD	20.08	4.21	26.52	27.74	10.05	-10.7
MicroOil & Gas -3x Inv	OILD	15.56	2.99	23.79	20.85	12.19	19.9
Old Point Financial	OPOF	36.82	6.91	23.10	37.32	13.49	128.8

Most Active Stocks

Company	Symbol	Volume (000)	% chg from 65-day avg	Latest Session Close	% chg	52-Week High	Low
Damon	DMN	747,650	1222.9	0.02	9.42	4.95	0.01
NVIDIA	NVDA	335,417	22.3	101.80	-7.81	153.13	75.61
Direxion Dly SCOND 3 BL	SOXL	295,336	227.6	11.41	-29.83	70.08	11.40
Intel	INTC	241,344	150.2	22.43	2.05	40.78	18.51
Direxion TSLA Bull 2X	TSLL	236,344	96.1	10.03	-11.00	41.50	4.94
Ford Motor	F	219,721	121.5	9.54	-6.01	14.85	9.06
Lucid Group	LCID	212,001	129.1	2.32	-3.33	4.43	1.93
Protagenic Therapeutics	PTIX	177,825	7763.6	0.42	84.14	1.87	0.18
iCoreConnect	ICCT	175,838	1555.3	4.23	104.35	35.80	0.24
LogicMark	LGMK	157,443	1032.8	0.02	-15.96	25.38	0.02

* Volumes of 100,000 shares or more are rounded to the nearest thousand

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Percentage Losers

Company	Symbol	— Latest Session —			— 52-Week —		
		Close	Net chg	% chg	High	Low	% chg
Aldeyra Therapeutics	ALDX	1.42	-3.91	-73.33	7.20	1.14	-69.7
RH	RH	149.39	-99.96	-40.09	457.26	138.40	-47.2
GrShr 2x Long DELL Daily	DLLL	10.48	-6.45	-38.10	29.01	10.30	...
RxSight	RKST	16.21	-9.91	-37.94	66.54	14.37	-68.8
American Rebel Holdings	AREB	3.96	-2.33	-37.04	231.75	1.10	-93.8
GrShr 2x Long MU Daily	MULL	9.00	-4.30	-32.33	25.50	9.00	...
Direxion Dly MU Bull 2X	MUU	10.09	-4.79	-32.19	31.04	10.04	...
Direxion Rg Banks BI 3X	DPST	60.86	-27.38	-31.03	174.22	56.46	-12.8
MicroSect Big Oil 3X Lvgd	NRGU	17.27	-7.53	-30.35	26.12	17.27	...
Direxion Dly SCOD 3 BL	SOXL	11.41	-4.85	-29.83	70.08	11.40	-73.1
Innvventure	INV	3.97	-1.65	-29.36	18.75	3.91	-63.7
Baiya International Group	BIYA	3.69	-1.50	-28.90	8.00	3.10	...
VF Corp	VFC	11.68	-4.71	-28.74	29.02	11.00	-15.5
Top Win International	TOPW	2.76	-1.07	-27.94	13.20	1.80	...
Forward Air	FWRD	14.95	-5.79	-27.92	40.92	11.21	-46.6

COMMODITIES

wsj.com/market-data/commodities

Futures Contracts

Metal & Petroleum Futures						
	Contract			Open	High	Low
	Open	High	Low	Settle	Chg	Open interest
Copper-High (CMX) -25,000 lbs.; \$ per lb.						
April	4,875.0	4,924.5	4,794.0	4,811.0	-0.2125	4,420
May	5,000.0	5,000.0	4,808.0	4,828.5	-0.2120	113,024
Gold (CMX) -100 troy oz.; \$ per troy oz.						
April	3150.00	3166.90	3052.00	3097.00	-42.90	10,117
May	3145.00	3176.00	▲ 3059.60	3107.40	-44.20	3,949
June	3196.60	3196.60	3073.50	3121.70	-44.50	401,718
July	3188.50	3205.40	▲ 3092.00	3134.80	-44.30	204
Aug	3208.00	3219.10	3099.10	3147.80	-44.50	46,374
Sept	3183.80	3183.80	▲ 3183.80	3160.50	-44.70	28
Palladium (NYM) -50 troy oz.; \$ per troy oz.						
April	965.00	970.00	▲ 965.00	919.10	-55.40	7
June	988.50	989.00	925.50	930.80	-54.60	19,366
Platinum (NYM) -50 troy oz.; \$ per troy oz.						
April	975.30	975.60	936.00	942.50	-35.40	2,023
June	1007.00	1007.10	950.30	956.60	-38.60	72,236
Silver (COMX) -5,000 troy oz.; \$ per troy oz.						
April	34.135	34.135	▲ 31.625	31.844	-2.655	1,364
May	34.950	34.950	31.730	31.970	-2.680	120,134
Crude Oil, Light Sweet (NYM) -1,000 bbls.; \$ per bbl.						
May	70.38	70.41	65.98	66.95	-4.76	297,842
June	69.80	69.93	65.60	66.47	-4.76	238,515
July	69.42	69.63	65.11	65.92	-4.69	138,288
Sept	68.30	68.30	64.12	64.86	-4.45	122,197
Dec	66.84	66.85	63.05	63.71	-4.04	180,712
Dec'26	64.39	64.40	61.74	62.34	-2.86	112,384
NY Harbor CLSD (NYM) -42,000 gal.; \$ per gal.						
May	2.2795	2.2800	2.1595	2.1889	-1.331	103,515
June	2.2474	2.2622	2.1326	2.1587	-1.342	73,123
Gasoline-NY RBOB (NYM) -42,000 gal.; \$ per gal.						
May	2.3025	2.3025	2.1397	2.1643	-1.676	126,223
June	2.2800	2.2800	2.1323	2.1566	-1.586	92,199
Natural Gas (NYM) -10,000 MMBtu.; \$ per MMBtu.						
May	4.011	4.203	3.968	4.138	.083	280,665
June	4.150	4.325	4.108	4.257	.067	111,237
July	4.369	4.516	4.322	4.452	.054	125,984
Sept	4.376	4.521	4.348	4.461	.041	125,604
Oct	4.422	4.565	4.395	4.506	.042	137,975
Jan'26	5.366	5.501	5.345	5.443	.031	132,873

Agriculture Futures						
	Contract			Open	High	Low
	Open	High	Low	Settle	Chg	Open interest
Corn (CBT) -5,000 bu.; cents per bu.						
May	450.00	462.50	447.50	457.50	-.25	601,505
July	460.00	469.50	455.25	465.50	-.25	569,169
Oats (CBT) -5,000 bu.; cents per bu.						
May	360.50	362.00	349.75	352.00	-14.00	1,836
July	356.00	363.00	350.00	356.50	-6.50	842
Soybeans (CBT) -5,000 bu.; cents per bu.						
May	1011.00	1020.25	1005.25	1011.50	-18.00	331,666
July	1027.75	1035.25	1020.50	1026.25	-18.75	246,849
Soybean Meal (CBT) -100 tons; \$ per ton.						
May	287.30	291.40	▼ 283.50	288.00	.80	227,702
July	294.50	298.60	▼ 291.60	295.40	.80	179,736
Soybean Oil (CBT) -60,000 lbs.; cents per lb.						
May	47.25	48.04	46.16	47.06	-1.44	200,541
July	47.85	48.53	46.71	47.58	-1.38	171,473
Rough Rice (CBT) -2,000 cwt.; \$ per cwt.						
May	13.20	13.25	13.00	13.08	-.15	10,732

Cash Prices | wsj.com/market-data/commodities

Thursday, April 3, 2025

These prices reflect buying and selling of a variety of actual or "physical" commodities in the marketplace—separate from the futures price on an exchange, which reflects what the commodity might be worth in future months.

Thursday		Thursday		Thursday	
Energy		Copper/Comex spot		Wheat, No. 2 soft red, St. Louis-u	
Coal, C, Aplc, 12500Btu, 12502-r, w	78.000	Iron Ore, 62% Fe CFR China-s	*103.9	Wheat - Hard - KC (USDA) \$ per bu-u	n.a.
Coal, Pwdr, RvRsn, 88000Btu, 0.8502-r, w	14.200	Steel, HRC USA, FOB Midwest Mill-s	*940.0	Wheat, No. 1 soft white, Portld, OR-u	6.2000
Metals		Battery/EV metals		Food	
Gold, per troy oz		BMI Lithium Carbonate, EXW China, ~99.5%-v, w	10250	Beef, carcass equiv, index	
Engelhard industrial	3085.00	BMI Lithium Hydroxide, EXW China, ~56.5%-v, w	9900	choice 1-3,600-900 lbs.-u	323.26
Handy & Harman base	3118.10	BMI Cobalt sulphate, EXW China, >20.5%-v, w	6593	select 1-3,600-900 lbs.-u	304.41
LBMA & Harman fabricated	3461.09	BMI Nickel Sulphate, EXW China, ~22%-v, k	3809	Broilers, National comp wtd. avg.-u, w	1.3481
LBMA Gold Price AM	*3127.05	BMI Flake Graphite, FOB China, 100 Mesh, 94-95%-v, m	435	Butter, AA Chicago-d	2.3300
LBMA Gold Price PM	*3119.75	Fibers and Textiles		Cheddar cheese, bbl, Chicago-d	166.00
Kruggenrand, wholesale-e	3249.08	Burlap, 10-oz, 40-inch NY yd-n, w	0.8750	Cheddar cheese, blk, Chicago-d	163.00
Maple Leaf-e	3326.81	Cotton, 11/16 std lw-mdMphs-u	0.6222	Milk, Nonfat dry, Chicago lb-d	116.75
American Eagle-e	4011.14	Cotlook 'A' Index-t	*80.10	Coffee, Brazilian, Comp-y	3.8538
Austria crown-e	3050.61	Grains and Feeds		Coffee, Colombian, NY-y	3.9920
Austria phil-e	3264.63	Bran, wheat middlings, KC-u, w	88	Eggs, large white, Chicago-u, w	3.7450
Silver, troy oz.		Meat-bonemeal, 50% pro Mnpls-u, w	275	Flour, hard winter KC-p	15.80
Engelhard industrial	32,300.00	Oats, No. 2 milling, Mnpls-u	4,070.00	Hams, 17-20 lbs, Mid-US fob-u	0.95
Handy & Harman base	31,945.00	Rice, Long Grain Milled, No. 2 AR-u, w	34.88	Hogs, Iowa-So. Minnesota-u	86.41
Handy & Harman fabricated	39,931.00	Sorghum, (Milo) No.2 Gulf-u	n.a.	Pork bellies, 12-14 lb Mid-US-u	1.6189
LBMA spot price	*626.1800	Soybean Meal, Cent IL rail, ton48%-u, w	298.50	Pork loins, 13-19 lb Mid-US-u	0.9699
(U.S. \$ equivalent)	*33.8700	Soybeans, No.1 yllw, lb-bp, u	9.9100	Steers, Tex.-Okla. Choice-u	210.00
Coins, wholesale \$1,000 face-a	24157	Wheat, Spring14%-pro Mnpls-u	7.6125	Steers, feeder, Okla. City-u, w	352.00
Other metals		Fats and Oils		Fats and Oils	
LBMA Platinum Price PM	*980.0	Degummed corn oil, crude wtd. avg.-u, w	n.a.	Grease, choice white, Chicago-h	0.4800
LBMA Palladium Price PM	*984.0	Lard, Chicago-u	n.a.	Lard, Chicago-u	0.4800
Platinum, Engelhard industrial	965.0	Soybean oil, crude, Cent IL-u, w	0.4416	Soybean oil, crude, Cent IL-u, w	0.4416
Palladium, Engelhard industrial	957.0	Tallow, bleach, Chicago-u	0.5175	Tallow, bleach, Chicago-u	0.5175
Aluminum, LME, \$ per metric ton	*2480.0	Tallow, edible, Chicago-u	n.a.	Tallow, edible, Chicago-u	n.a.

KEY TO CODES: M=ask; B=bid; BP=country elevator bids to producers; C=corrected; D=CME; E=Manfra, Tordella & Brookes; H=American Commodities Brokerage Co; K=bi-weekly; M=monthly; N=nominal; n.a.=not quoted or not available; P=Sosland Publishing; R=SNI Energy; S=Platts-TSI; T=Cotlook Index; U=USDA; V=Benchmark Mineral Intelligence; W=weekly; Y=International Coffee Organization; Z=not quoted. *Data as of 4/2

Source: Dow Jones Market Data

Exchange-Traded Portfolios | wsj.com/market-data/mutualfunds-etfs

Largest 100 exchange-traded funds. Preliminary close data as of 4:30 p.m. ET					ETF				
Thursday, April 3, 2025					Symbol Price (%) YTD (%)				
ETF	Symbol	Closing Price	Chg (%)	YTD (%)	ETF	Symbol	Closing Price	Chg (%)	YTD (%)
CommSvcsSPDR	XLC	92.53	-4.46	-4.4	ISHNatlMuniBd	MUB	105.80	0.49	-0.7
CnsmrDiscScl	XYL	191.03	-6.04	-14.9	ISHl-SYIGCpBd	IGSB	52.38	0.34	1.3
DimenUSCoreEq2	DFAC	31.55	-5.51	-8.8	ISHl-3YTreeBd	SHY	82.73	0.38	0.9
EnSelSectorSPDR	XLE	86.74	-7.85	-1.3	ISHRussMkt	IWR	81.68	-5.52	-7.6
FinSelSectorSPDR	XLFX	47.69	-4.92	-1.3	ISHRuss1000	IWB	294.93	-4.94	-8.5
HealthCRSelSect	XLV	143.13	-0.81	-4.0	ISHRuss1000Grw	IWS	346.45	-5.56	-13.7
IndSelSectorSPDR	XLI	125.85	-5.41	-4.5	ISHRuss1000Val	IWD	181.40	-4.09	-2.0
InvsNasdl100	QQM	185.63	-5.29	-11.8	ISHS&P2000	IWM	189.65	-6.42	-14.2
InvsQQQ	QQQ	450.66	-5.35	-11.8	ISHS&P500Value	IVE	89.13	-5.49	-12.2
InvsCSP500EW	RSP	166.53	-4.76	-5.0	ISHSelectDiv	DVY	129.05	-4.31	-1.7
ISHBitcoin	IBIT	46.57	-5.75	-12.2	ISH7-10YTreeBd	IEF	96.29	1.03	4.2
ISHBrdUSDHYCpbd	USHY	36.29	-12.22	-1.4	ISHShortTreeBd	SHV	110.12	0.01	0.0
ISHCoreDivGrwth	DGRO	59.70	-3.69	-2.7	ISH20+YTreeBd	TLT	91.85	0.46	5.2
ISHCoreMSCIEAFE	IEFA	74.40	-2.12	5.9	ISHUSTreasuryBd	GOVT	23.12	0.74	0.6
ISHCoreMSCIE	IEMG	53.16	-2.05	1.8	ISH0-3MTTreeBd	SGOV	100.38	0.02	0.1
ISHCoreMSCITotInt	IKUS	68.77	-2.09	4.0	JPMNasEqdPrem	JEPI	49.35	-4.89	-12.5
ISHCoreS&P500	IUV	540.07	-4.78	-8.3	JanusHendersonAAA	JAAA	50.27	-0.51	-0.9
ISHCoreS&P MC	IHW	55.59	-6.73	-10.8	JPMEqPrem	JEPI	55.21	-3.14	-4.0
ISHCoreS&P SPC	IUR	98.90	-7.01	-14.2	JPMUSShlInc	JPSI	50.51	0.12	0.3
ISHCoreS&PTotUS	IIT	117.10	-5.06	-9.0	PacerUSCashCos	COWZ	51.85	-5.56	-8.2
ISHCoreSPUSGrw	IUSG	122.24	-5.66	-12.3	ProSthlPrPQQQ	TQQQ	50.30	-16.07	-36.4
ISHCoreSPUSVal	IUSV	88.77	-4.24	-4.1	SPDRBbg1-3MTB	BIL	91.45	0.01	0.0
ISHCoreTotUSDBd	USDB	46.21	0.41	2.2	SPDRDJIA Tr	DIA	405.22	-3.98	-4.8
ISHCoreUSAggBd	AGG	99.37	0.53	2.5	SPDRGLD Tr	GLD	266.42	-0.60	18.3
ISHEdgeMSCIMinUSA	USMV	92.68	-1.17	4.4	SPDRRPTDevxUS	SPDW	35.83	-2.21	5.0
ISHEdgeMSCIUSAQual	QUAL	164.61	-4.44	-7.6	SPDRS&P500Value	SPYV	49.14	-4.17	-3.9
ISHGoldTr	IAU	58.60	-5.19	14.8	SPDRRHS&P500	SPRG	63.24	-4.74	-8.3
ISHBox50GCPbd	IEFG	108.98	-0.01	1.9	SPDRS&P500Grwth	SPVG	77.19	-5.43	-12.2
ISHMBS	MBS	94.22	0.67	2.8	SPDR S&P500	SPV	536.70	-4.93	-8.4
ISHMSCIEAFE	EFA	80.32	-2.10	6.2	SchwabIntEquity	SCHF	19.48	-2.21	5.3
ISHMSCIEAFEValue	EFV	57.98	-1.85	10.5	SchwabUS BrdMkt	SCHD	26.73	-4.09	-2.2
					SchwabUS Div	SCHD	26.73	-4.09	-2.2
					SchwabUSLC	SCHX	21.21	-4.97	-8.8
					SchwabUSLC Grw	SCHW	24.04	-5.58	-13.3
					SPDR S&PMdCptr	MDO	508.50	-6.67	-10.0
					SPDR S&P Div	SDY	132.56	0.26	0.5
					TechSectorSelect	XLC	195.23	-6.82	-16.6
					VangcS&V	VBR	177.07	-6.67	-10.0
					VangcExtMkt	VIG	163.98	-6.99	-13.3
					VangcDivApp	VIG	167.78	-3.61	-4.4
					VangcFTSEAWKUS	VWU	20.00	-2.00	0.0
					VangcFTSEDevWk	VWA	50.08	-2.09	4.4
					VangcFTSEEm	VEO	44.83	-1.80	1.8
					VangcFTSEEurope	VGE	69.61	-1.43	9.9
					VangcFTSEUS	VGV	355.58	-5.75	-13.3
					VangcHDiv	VYM	111.11	-4.11	-2.2
					VangcInfoTech	VIT	524.50	-7.24	-17.7
					VangcIntComp	VNT	10.00	-2.00	0.0
					VangcIntCompBd	VCTI	89.21	0.34	8.2
					VangcIntermTerm	VGIT	59.81	0.91	3.6
					VangcLnc	VV	247.48	-4.69	-8.8
					VangcMegaGrwth	MKG	295.56	-5.85	-13.3
					VangcMDC	VO	249.18	-4.86	-5.5
					VangcMBS	VMS	46.52	0.69	2.4
					VangcRealEtf	VNO	88.02	-3.41	-1.1
					VangcRealEtfGrwth	VOW	51.07	-5.07	-10.0
					VangcS&P500EFT	VOO	494.16	-4.77	-8.8
					VangcST Bond	VSB	78.44	0.49	0.9
					VangcST CorpBd	VCSH	78.96	0.29	1.1
					VangcShortTerm	VGSH	58.91	0.39	0.9
					VangcSVC	VB	210.85	-6.72	-12.2
					VangcSTXampBnd	VTX	49.08	0.52	-0.4
					VangcS&P500	VFI	164.61	-4.44	-7.6
					VangcTntBnd	VNDX	49.00	0.03	0.3
					VangcTntStk	VXUS	61.19	-2.00	-2.3
					VangcTntStkSkt	VTV	263.96	-5.83	-8.8
					VangcTotlStk	VT	112.40	-3.95	-4.4
					VangcTotlWrldStk	VTV	166.84	-3.72	-1.1

Borrowing Benchmarks | wsj.com/market-data/bonds/benchmarks

Money Rates

April 3, 2025

Key annual interest rates paid to borrow or lend money in U.S. and international markets. Rates below are a guide to general levels but don't always represent actual transactions.

Inflation				
	Feb. index level	Chg From (%) Jan. 25	Feb. 24	
U.S. consumer price index				
All items	319.082	0.44	2.8	
Core	325.252	0.44	3.1	
International rates				
	Latest	Week ago	-52-Week-High	-Low
Prime rates				
U.S.	7.50	7.50	8.50	7.50
Canada	4.95	4.95	7.20	4.95
Japan	1.875	1.875	1.875	1.475
Policy Rates				
Euro zone	2.65	2.65	4.50	2.65
Switzerland	0.75	0.75	2.00	0.75
U.S. government rates				
Discount				
	4.50	4.50	5.50	4.50
Federal funds				
Effective rate	4.3300	4.3300	5.3400	4.3300
High	4.5500	4.5500	5.6500	4.3700
Low	4.3200	4.3200	5.3300	4.3000
Bid	4.3200	4.3200	5.3300	4.3200
Offer	4.3300	4.3300	5.3600	4.3300
Treasury bill auction				
4 weeks	4.240	4.220	5.285	4.215
Other short-term rates				
	Latest	Week ago	-52-Week-high	-low
Call money				
	6.25	6.25	7.25	6.2
Commercial paper (AA financial)				
90 days	4.30	n.a.	5.37	4.2
Secured Overnight Financing Rate				
	4.37	4.35	5.40	4.2
	Latest	Value Traded	-52-Week-High	-Low
DTCC GCF Repo Index				

HEARDONTHESTREET

FINANCIAL ANALYSIS & COMMENTARY

Why Trump’s Tariffs Sank the Dollar

Worries that long-term U.S. growth will fade could matter more for the currency than the mechanical impact of levies

While President Trump has always claimed to want a weaker dollar, the consensus among investors was that his policies would strengthen it. Turns out he was right, but perhaps in the worst way.

On Thursday, stocks tumbled in the U.S., Europe and Asia following Trump’s unveiling of a raft of punishing “Liberation Day” tariffs.

What was more unexpected is that the U.S. dollar tumbled against most major currencies. The WSJ Dollar Index, an indicator based on a basket of currencies, has now lost 5.9% this year and is below where it was on Nov. 5, before its postelection rally.

This is making Wall Street analysts look pretty bad: Most were

5.9%
The WSJ Dollar Index has fallen this much in the year to date to below its Nov. 5 level

It lacks empirical support, though, since higher official foreign purchases tend to coincide with a weaker dollar. Global dollar reserves have flatlined since 2018 as the dollar rose 16%, per International Monetary Fund figures.

A better answer, which is less flattering for Trump, is that faith in the U.S.’s long-term economic potential is fading.

Currency traders can be short-term chasers of bond-yield differentials. Over five-year periods, however, the difference in return on equity between U.S. and European stocks has shown a 70% correlation to dollar-euro moves since 2001.

This suggests a good chunk of dollar strength is due to investments that track relative growth in economic productivity—largely driven by Silicon Valley raking in huge profits and turning the U.S. into a massive exporter of technology goods and, especially, services.

Markets might now be anticipating another structural shift. A rearmament push is fueling hopes of an economic revival in Europe, just as the U.S. growth story becomes tainted by protectionism and Chinese artificial-intelligence challenges.

Of course, China’s rise itself underscores that the textbook case for free trade is flawed, and that the U.S. government should arguably also try to promote key industries.

Offshoring to cut costs has often harmed workers, created fragile supply chains and made firms less eager to innovate. Troubled industrial giants such as chip maker Intel and aerospace giant Boeing can attest to that.

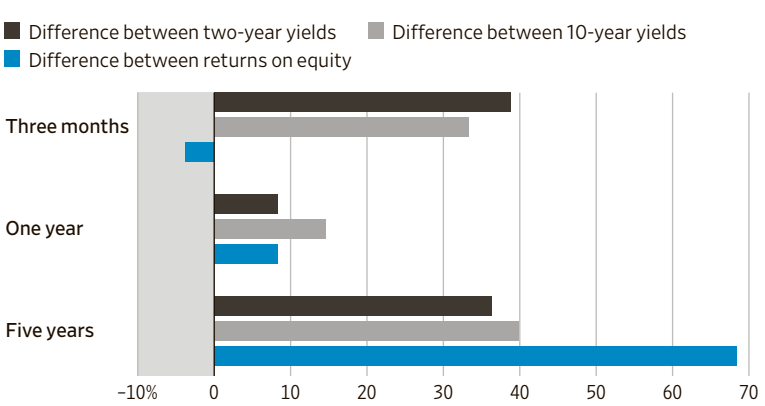
The problem is that Trump’s tariffs have been sudden and erratic. Wednesday’s list of reciprocal tariffs on each trading partner are a case in point, since they aren’t based on any calculation that makes economic sense. Such policies are probably denting corporate investment rather than inducing companies to relocate production through a targeted and phased-in approach. More than Asia’s development miracles, these policies resemble Latin America’s flawed experiments with “import substitution.”

Yes, there could be benefits to

How many euros \$1 buys

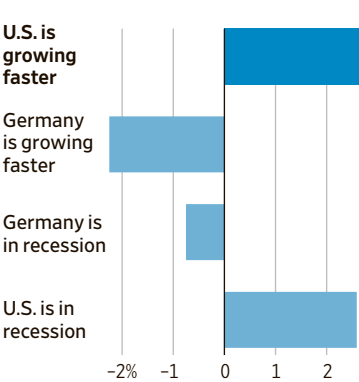


Correlation between the value of the U.S. dollar versus the euro and other factors¹

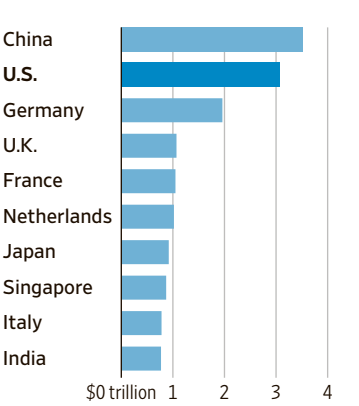


¹Data since 1991. The first two bars exclude recessionary periods. ²Data between 2001 and 2025. Bond yields compare U.S. with Germany. ROE compares U.S. and European stocks. Sources: Tullett Prebon (euros, exchange rate); Federal Reserve (GDP); FactSet (correlation); World Bank (annual exports)

Average one-year change in the U.S. dollar versus the euro or the German mark²



Annual exports of goods and services, 2023³



JUAN IGNACIO RONCORONI/EPH/SHUTTERSTOCK

General Motors and Ford Motor reshoring assembly jobs from Mexico.

But doing the same with all auto parts—including low-value components such as textiles and wiring harnesses—would just make the U.S. car industry very inefficient.

This comes atop likely retaliation

by other countries and the 100% tariffs on Chinese electric vehicles inherited from the Biden era.

U.S. carmakers excel in the truck and SUV segments, where American consumers are particularly discerning. But they struggle to produce cars under \$25,000, even before tariffs. Tesla, too, is a

Most Wall Street analysts had been telling investors, even up until tariffs were announced Wednesday, that protectionist policies would push the dollar up.

luxury brand.

If the U.S. market becomes isolated, foreign firms such as Toyota and Hyundai, which dominate budget models, may innovate less in their U.S. plants than abroad.

This is what happened to Brazil and Argentina, because their attempts to build a homegrown auto industry shielded companies from outside competition between the 1950s and 1980s. And it stands in contrast to how Japan, South Korea and China created world-class automakers by combining protectionism with the discipline of foreign markets.

Focusing too much on trade deficits overlooks the fact that the competitiveness and profitability of American tradable products have played a key role in determining the dollar’s value. Right now, they are coming into question.

—Jon Sindreu

Exempt or Not, the Chip Industry Won’t Escape Levies

It sounded like a welcome reprieve. But Donald Trump’s exemption of semiconductors from his reciprocal tariffs offers little comfort for an industry whose products live inside an ever-expanding set of consumer goods.

It might not even last long. Speaking on Air Force One Thursday Trump said action on chips could be coming soon.

For now at least, the U.S.’s direct chip imports, which totaled around \$82 billion last year, are exempt.

Yet most chip imports are indirect. Chips typically are made overseas, packaged there and inserted into electronics shipped across the globe—including to the U.S., where they will be subject to tariffs as high as 49%.

Even many U.S.-made chips are sent to Taiwan, China or Southeast Asia for final assembly before

being re-exported to end customers.

That indirectness makes sizing up the impact to the semiconductor industry difficult. One thing is for sure: The hit will be substantial.

The U.S. imported some \$521 billion of machinery, \$478 billion of electronics and \$386 billion of vehicles last year, according to a Bernstein Research analysis. Those things tend to contain a lot of chips, and chip sales fall if people respond to higher prices by buying fewer of them. That will eventually translate into lower revenue and growth rates for chip makers, potentially crimping profits and stock-market valuations.

“Overall we don’t see much in the way of positive feelings here for the semi group (or frankly for anything else),” Bernstein analyst Stacy Rasgon said in a note.

No wonder the biggest chip stocks tumbled Thursday; the PHLX Semiconductor Sector index declined nearly 10%. Big chip buyers fell, too: Apple slid 9% and PC manufacturer Dell Technologies plunged 19%.

It is hard to find bright spots. The tariffs give chip makers no additional incentive to grow manufacturing in the U.S. Their products are generally exported into the Asian supply chain anyway before they come back inside tariffed goods.

Companies that already have large U.S. footprints, like Texas Instruments and Analog Devices, don’t get a leg up on foreign competitors because those rivals re-

ceive the semiconductor tariff exemption.

Both of their stocks were down sharply Thursday.

A wave of order cancellations through the supply chain is likely on tap as chip makers and their customers anticipate flagging consumer demand caused by higher prices, Wolfe Research analyst Chris Caso said in a note. This would be similar to what happened during Covid lockdowns in 2020.

Consumer electronics will likely be hit hardest, but the tariffs also will increase the cost of highly demanded artificial-intelligence servers proffered by Nvidia, he said. This likely calls into question se-

It is hard to find bright spots in tariffs’ impact on the chip sector.

cond-quarter earnings guidance across the industry.

“We think there is simply nowhere to hide from these effects,” Caso said. Nvidia was down more than 7.8% Thursday.

Chip companies have yet to issue profit warnings, reflecting the as-yet-uncertain extent of the impact. To damp it, the industry may try to negotiate with the Trump administration to reduce tariffs where they hurt most, or to exempt more electronics and other goods that chips go into.

In a best-case scenario, the Trump administration responds by backing off many of the most-damaging tariffs, making Thursday’s declines a buying opportunity. Given Trump’s penchant for doubling down instead of backing down, the opposite scenario—even more tariffs—seems more likely.

—Asa Fitch

New U.S. Duties Bruise Luxury Brands

Luxury brands were immediate losers from President Trump’s tariff onslaught.

Capri, which owns Michael Kors, slid 24% and Ralph Lauren declined 16%. Both labels have outsourced manufacturing to Asian countries including Vietnam and China, so now face sky-high tariff bills.

Swiss watches and charm bracelets fell, too. Switzerland faces a 31% tariff on exports to the U.S., higher than the 20% rate on European Union goods like French Champagne and Italian handbags.

This hit the shares of Richemont, the maker of Swiss watch brands Vacheron Constantin and

Piaget, as well as Omega’s owner Swatch.

Danish charm-bracelet maker Pandora fell nearly 11%. President Trump imposed a 36% tariff rate on Thailand, where the company does its manufacturing. This is far worse than the 10% levy management was bracing for.

Analysts at UBS think prices of luxury goods will go up 6% on average in the U.S. to offset tariffs. This will be most manageable for ultraexpensive brands like Brunello Cucinelli and Hermès that cater to super-rich customers, but trickier for others.

The wider worry is that a

trade war tips other countries into a slump.

A 54% tariff rate on China—a critical market for luxury brands—could make Chinese consumers hesitant to spend on designer baubles. Together, American and Chinese shoppers drive more than half of global luxury sales.

This explains the sharp drop at Burberry, which was otherwise spared by the U.K.’s relatively lenient 10% tariff rate. That is irrelevant if consumers around the world are in no mood to splash out on \$2,000 trench coats.

—Carol Ryan

‘Liberation Day’ Leaves Apple With Only Tough Choices

Apple’s costs are about to go way up thanks to tariffs. The biggest question facing the world’s most valuable company now is whether to make customers pay for it—or investors.

It is a question with no easy answers—as evidenced by Apple’s share-price wipeout Thursday. At one point the loss was equal to about \$275 billion in market cap. Apple was the worst hit among megacap tech stocks in the tariff-sparked selloff, given that it is the only one in the group that depends on hardware not made in the U.S. for the majority of its revenue.

If Apple doesn’t win any exemptions this time, the company will be faced with the choice of eating the higher costs or passing them along to its customers. Both have risks.

Apple commands some of the highest profit margins among tech hardware makers, giving it more room to absorb higher costs. But those margins are key to the company’s appeal to investors. Raising prices could also prove tougher at a time when customers already aren’t snapping up the latest iPhones.

Tariffs will take a bite out of Apple, one way or another.

—Dan Gallagher



\$25 Million
An oceanfront estate in New Hampshire lists. **M9**

MANSION

\$13 Million
Scarlett Johansson and Colin Jost buy on Park Avenue. **M4**



HOMES | MARKETS | PEOPLE | REDOS | SALES

THE WALL STREET JOURNAL.

Friday, April 4, 2025 | **M1**



Jackson Hole, a 60-mile long valley between the Teton and Gros Ventre mountains, is luring wealthy homebuyers. Downtown Jackson is known for its popular restaurants, shops and bars.

Jackson Hole, Now With Aspen Prices

During Covid, wealthy out-of-state buyers bought homes in the Wyoming enclave, drawn by its wide-open spaces and tax benefits. Now that the pandemic is over, they aren't going anywhere, and home prices keep climbing.

By E.B. SOLOMONT

Growing up, Susan Been traveled every summer by RV from North Carolina to Wyoming's Jackson Hole, a 60-mile long valley between the Teton and Gros Ventre mountains. So in 2020, the Atlanta resident jumped at the chance to buy a newly built, roughly 4,400-square-foot vacation home in downtown Jackson. At the time, homes of that size were trading for around \$4 million, a number that has since jumped to about \$8 million, thanks to a Covid-era price surge that hasn't let up. In fact, about six months after buying it, Been got an offer she couldn't refuse. She sold the house, but immediately regretted it and in 2023 bought a roughly 3,000-square-

Please turn to page M10



A 233-acre ranch in Jackson Hole went into contract within a week of going on the market.

HOMEOWNEROUS | KRIS FRIESWICK

The Megarich and America's Climate Disaster Zones

Wealthy buyers aren't just purchasing property in areas prone to extreme weather—they're also paying record prices to do so



A home in Palm Beach Gardens, Fla., was damaged by a tornado spawned by Hurricane Milton in Oct. 2024. It made landfall as a Cat. 3 storm.



IT IS NO surprise to anyone that the weather is making huge swaths of the U.S. increasingly inhospitable. Even places that were long considered safe zones, such as Vermont, which saw catastrophic flooding from Hurricane Beryl in 2024, are seeing more frequent and more ferocious natural disasters such as fires, floods, hurricanes, heat waves, droughts and landslides. Homeowners in these areas are wrestling with what to do; stay and learn to live with this Sword of Damocles and its commensurate inconveniences, damage and skyrocketing home-insurance costs; or move somewhere that doesn't threaten destruction on

Please turn to page M6



William Lauder is in contract to sell a double waterfront lot for around \$200 million. If it closes near that price, it will set a Palm Beach record.

PRIVATE PROPERTIES

Developer to Buy The Malibu Home Abandoned by Kanye



Less than a week after going on the market, the Malibu, Calif., bunker abandoned by Kanye West is in contract for more than \$30 million.

The buyer is an investor group led by Andrew Mazzella, a Montana-based luxury-home developer. Mazzella said he plans to finish restoring the Tadao Ando-designed home to its original condition, then put it back on the market for \$55 to \$65 million.

The seller is Belwood Investments, a crowdfunding company owned by Steven “Bo” Belmont. Belwood paid \$21 million last year for the hulking concrete property, which had been gutted and then abandoned by West. Belmont, who put the beachfront house on the market for \$39 million, said

the contract price is between \$30 million and \$34 million. He declined to give the exact price, but said it would represent a roughly 20% return for his investors in five months. Mazzella confirmed the range provided by Belmont.

**IN CONTRACT
MORE THAN
\$30
MILLION**
4,000 sq. ft.,
4 bedrooms

Mazzella, who grew up in Alaska, is a 38-year-old former commercial fisherman turned developer. For years he has wanted to get his foot in the door in the Los Angeles spec home market, he said.

“California and L.A., spe-

cifically Malibu, is the highest level there is and I’ve always wanted to get to the highest level,” Mazzella said. “This is me kicking down the door.” He is raising money from third-party investors to fund the purchase, he said, and hopes buying the Ando property will announce his presence in the L.A. market “with a bang.”

The roughly 4,000-square-foot, four-bedroom house was designed by Ando, an in-vogue Japanese architect, more than a decade ago for financier Richard Sachs. West, who now goes by Ye, paid \$57.3 million for the home in 2021, then gutted it. He listed the property in 2023 amid a public firestorm over his erratic behavior and antisemitic comments.

After buying the prop-



erty, Belmont started a roughly \$8.5 million project to restore the house to its original condition. Work started in January, but he hoped to find a buyer before completion.

“The faster I get it off my plate, that’s great,” Belmont said. “If I take it much

further, I’d have to boost up the price considerably.”

A longtime fan of Ando’s work, Mazzella has had his eye on the home for months, he said, and flew into Los Angeles to see it in March.

A luxury car collector with a self-described “big

personality,” Mazzella said he is planning to relocate to Malibu for much of the year to complete the project.

“I might have a few more tattoos than a lot of the people there, but other than that I’ll probably fit in exactly right,” he said.

—Katherine Clarke

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Claire Danes Sells West Village Townhouse

A New York City townhouse has sold for \$9.9 million—just over the asking price of \$9.75 million when it hit the market in August, according to the listing agent.

The actress Claire Danes and her husband, British actor Hugh Dancy, paid \$6.876 million for the West Village home in 2012, property records show. Danes, best known for her role in “Homeland,” has also starred in “Fleishman is in Trouble.” She is working on a new HBO drama, “The Ap-

SOLD
\$9.9 MILLION
3,900 sq. ft.,
4 bedrooms

plebaum Curse” with the creator of the 1990s show “My So-Called Life,” in which she had a breakout role. Dancy is best known for appearing in 2001’s “Black Hawk Down” and the TV series “Hannibal.”

Representatives for Danes and Dancy didn’t respond to requests for comment.

The buyer couldn’t be determined.

Overall, Manhattan’s luxury market has perked up since last year. The number of luxury sales rose 3.7% during the fourth quarter from the same period of the previous year, according to appraisal firm Miller Samuel. Sales of downtown townhouses jumped 13.5% during that period, according to real-estate brokerage Compass.

Tamer Howard of the Corcoran Group represented Danes and Dancy. Colleague Marie-Claire Gladstone represented the buyer.

—E.B. Solomon

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RICH ZIPS | A LOOK AT SOME OF THE MOST EXCLUSIVE ZIP CODES IN THE COUNTRY

Gladwyne, PA 19035

By JESSICA FLINT

Just west of Philadelphia is the Main Line, a roughly 15-mile-long stretch of suburbs where, around the turn of the 20th century, wealthy Philadelphians built estates near the Pennsylvania Railroad as its Main Line rail line expanded outside the city. Today, this region still exudes affluence, as evidenced by Gladwyne, a roughly 5-square-mile community with historic mansions on large acreage. With a median home-listing price of \$3.7 million in February, Gladwyne's 19035 ZIP Code has Pennsylvania's priciest residential real estate as ranked by median listing price, according to Realtor.com. (News Corp, owner of The Wall Street Journal, also operates Realtor.com.) As one of the first Main Line communities outside the city, Gladwyne's desirability is buoyed by its easy access to good schools, other Main Line points of interest, such as shopping, and to trains, including those to New York and Washington, D.C.

NOTABLE STOPS AND SHOPS

Homeroom

Chef Henry Morgan opened this neighborhood cafe in 2022. Its



The interior design is simple, but the food is artfully plated.

\$3.7 MILLION
Median list price
(up 21% year-over-year)

136
Median days on market

\$479
Median price per square foot

12
Active listings (up 50% year-over-year)

Source: Realtor.com (February 2025)



Gladwyne affords large lots and privacy with quick access to Philadelphia.

small boutique, Shoproom, stocks minimalist design objects.

Cleopetras of the Main Line

This all-breed dog grooming salon offers custom shampoo and conditioning baths followed by blow-drying done by hand. Other ser-

vice on offer are nail trimming and ear cleaning. It's a no-crate environment; pets can free roam.

the Union League of Philadelphia, a private club founded in 1862. It now serves as a members-only dining room.

MEMBERSHIP TO HAVE

Gladwyne's Philadelphia Country Club was founded in 1890. It has 27 holes of golf, a pool, racket sports, skeet shooting, bowling and children's programming.



ADVICE FOR THE BUYER

"Gladwyne used to be thought of as old Main Line mansions and estates, and it still is that, but there is more architectural diversity now," says Lisa Yakulis, a real-estate agent with Kurfiss Sotheby's International Realty. New builds over the last 30 to 40 years have

created different ages and styles of homes. Additionally, since the pandemic, the Main Line has seen an influx of out-of-state buyers. "You can get more for your money than you can in the metro areas of cities outside of the state," says Yakulis, who notes that some homeowners commute into New York and D.C.

LISTINGS



\$8.9 million
8 bedrooms, 12 bathrooms
On a 6.81-acre lot, this 16,410-square-foot house was built in 1920. The primary suite has his-and-hers-baths. The grounds include a golf green with three tee boxes. Agent: Robin Gordon, Berkshire Hathaway HomeServices.



\$7.95 million
5 bedrooms, 7 bathrooms
This 15,769-square-foot house was built in 2024. It's on a 1.74-acre lot. The foyer has an interior pool within a two-story atrium. Views are of the Philadelphia Country Club's golf course. Agent: Lavinia Smerconish, Compass.



\$3.495 million
7 bedrooms, 7 bathrooms
Built in 1885, this house is 9,175 square feet on a 1.33-acre lot. Historic craftsmanship is apparent throughout. The living room's original paneling was sourced from an 18th-century German castle. Agent: Lavinia Smerconish, Compass.

CLOCKWISE FROM BOTTOM LEFT: WILL PIGG FOR WSJ (2); HERB ENGELSBERG; CREATIVE OUTFIT; THOMAS DOWNIN; VERONICA GRECH (MAP)

1

HOMES

jupiter island

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PRIVATE PROPERTIES



Scarlett Johansson And Colin Jost Buy On Park Avenue



Celebrity power couple Scarlett Johansson and Colin Jost have purchased a prewar penthouse co-op on Manhattan's Park Avenue for \$13 million, less than half its original asking price, according to people familiar with the deal.

Sellers Craig and Deborah Cogut, shown at right, had owned the unit since 2006, when they bought it for \$13 million, property records show. They first listed the unit for \$27.5 million in 2018. After bouncing on and

SOLD
\$13
MILLION
6,000 sq. ft.,
6 bedrooms

off the market and several price cuts, it was most recently asking \$13 million, according to listings website StreetEasy.

Johansson is perhaps best known as the star of Marvel's "Avengers" franchise, as well as films like "Her" and "Lost in Translation." Jost is a long-running cast member on "Saturday Night Live." The two were married in 2020.

Craig is the chief executive of Pegasus Capital Advisors, a private equity impact-investment firm based in Connecticut. The Coguts



didn't respond to a request for comment.

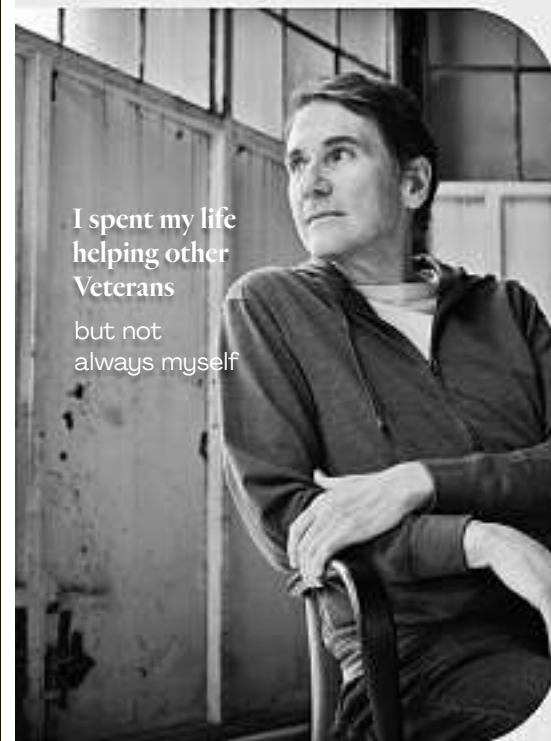
The triplex has five terraces and eight balconies, according to the listing. The living room has a wood-burning fireplace and six sets of french doors opening to Juliet balconies. An oak-paneled library overlooks Midtown and Central Park.

The Rosario Candela-designed building was built in the 1930s. Located in Carnegie Hill, it is about 2.5 miles from the “Saturday Night Live” studio.

The unit is just the latest Park Avenue co-op to sell at a steep discount. Prewar co-ops in Manhattan's prime locations were once the pinnacle of New York luxury. In recent years however, their values have lagged far behind condominiums.

Listing agents Lauren Muss and Sabrina Saltiel of Douglas Elliman declined to comment.

—*Katherine Clarke*



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helping other
Veterans**

but not
always myself

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An aerial photograph of a waterfront community at sunset. In the foreground, a large, modern multi-story building with a glass facade is visible. To its right, a marina is filled with numerous boats and yachts. In the background, a city skyline is visible across the water. The sky is a mix of orange, yellow, and blue, indicating the time is either sunrise or sunset.

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The Equal Housing Opportunity logo, featuring a stylized house icon with an equals sign inside, and the text "EQUAL HOUSING OPPORTUNITY" below it.

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Obtain the Property Report required by Federal Law and read it before signing anything. No Federal or State agency has endorsed or judged the merits of value, if any, of this property. This is not an offer to sell or solicitation to buy real estate in any jurisdiction where prohibited by law. Products and availability are subject to change without notice. Improvements, facilities and programs may be in formative stages and cannot be guaranteed. Artist renderings are for illustrative purposes only and may differ from completed products.

A square QR code located in the bottom right corner of the advertisement.

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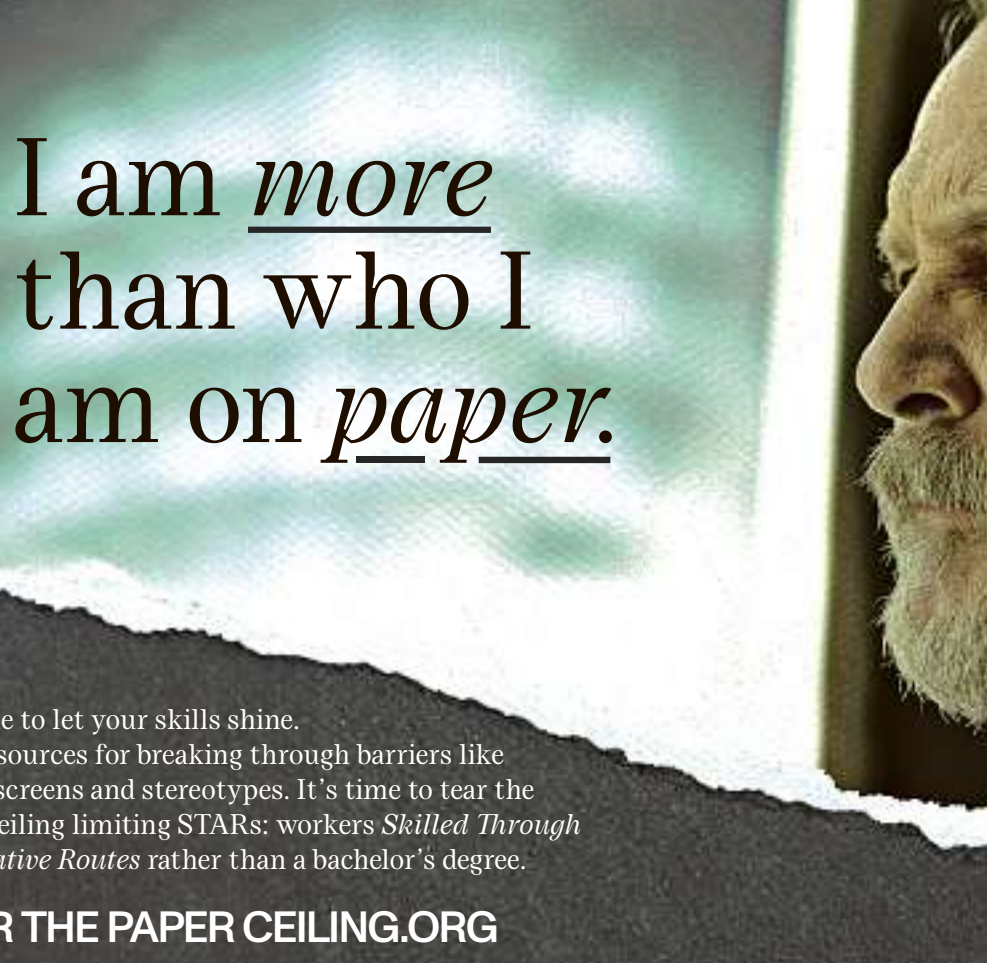
Dive Into A New Dawn
For Oceanfront Living...

The logo for John's Island Real Estate Company, featuring a small green island icon above the text "john's island" and "REAL ESTATE COMPANY" in a smaller font.

The logo for Luxury Real Estate, featuring a stylized "L" and "R" icon above the text "LUXURY" and "REAL ESTATE" in a smaller font.

JohnsIslandRealEstate.com : 772.231.0900 : **BleuHorizonJI.com**

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helping other
Veterans
but not
always myself

As a Veteran, when someone raises their hand for help, you're often one of the first ones to respond. But it's also okay to get help for yourself. Maybe you want or need assistance with employment, stress, finances, mental health or finding the right resources. No matter what it is, you earned it. And there's no better time than right now to ask for it.

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HW/ REALTRENDS VERIFIED

Advertisement

The Full Picture of Real Estate Performance

Each year, **RealTrends Verified** recognizes the top-performing residential real estate brokerages, teams and agents across the country — verifying transaction sides and closed sales volume.

2024 was a year of disruption for the housing market. Inventory remained low — though gradually increased — and persistently high mortgage rates continued to suppress buyer activity. According to **Altos Research**, as of December 16, 2024, there were 682,000 single-family homes on the market across the country, nearly 27% more than the previous year.

Fast forward to today: there are approximately 676,000 unsold single-family homes on the market, reflecting a seasonal decline but still maintaining a 31% increase compared to the same period last year. **HousingWire** projects that inventory will continue to rise in 2025, potentially increasing by 15% and nudging the market toward a healthier balance.

Adding to the complexity, the National Association of Realtors' commission lawsuit settlement reshaped the industry's compensation landscape, prompting brokerages and agents to re-evaluate business models and client engagement strategies in real time.

Amid shifting conditions, the brokers in the **2025 RealTrends Verified Broker Rankings** still found ways to grow — gaining market share, attracting talent, and refining their value propositions to stay competitive. Standouts included **Compass**, **Anywhere Advisors**, **eXp Realty**, and **HomeServices of America**, all leading in sales volume. But one firm surged ahead — **The Real Brokerage**, which grew its volume by \$28 billion, jumping from 10th place in 2024 to 5th place this year. Another notable mention: **LPT Realty**, which moved from No. 28 by transaction sides last year to No. 10 this year, due to its flexible compensation structure.

As brokerages adapt to shifting market dynamics and new MLS policies, RealTrends Verified data highlights the firms gaining market share and attracting top talent.

Coming in June: RealTrends Verified Agent and Team Rankings, with RealTrends Verified City Rankings coming this fall. Stay tuned for a glimpse into the agents and teams powering the housing market forward.



Clayton Collins
Publisher, RealTrends
CEO, HousingWire

1,295 Verified Real Estate Brokerages



RealTrends Verified has been tracking and analyzing performance data for 36 years. Verified firms must have \$350 million in volume or 500 transaction sides in 2024.

\$2.11 trillion in Transaction Volume

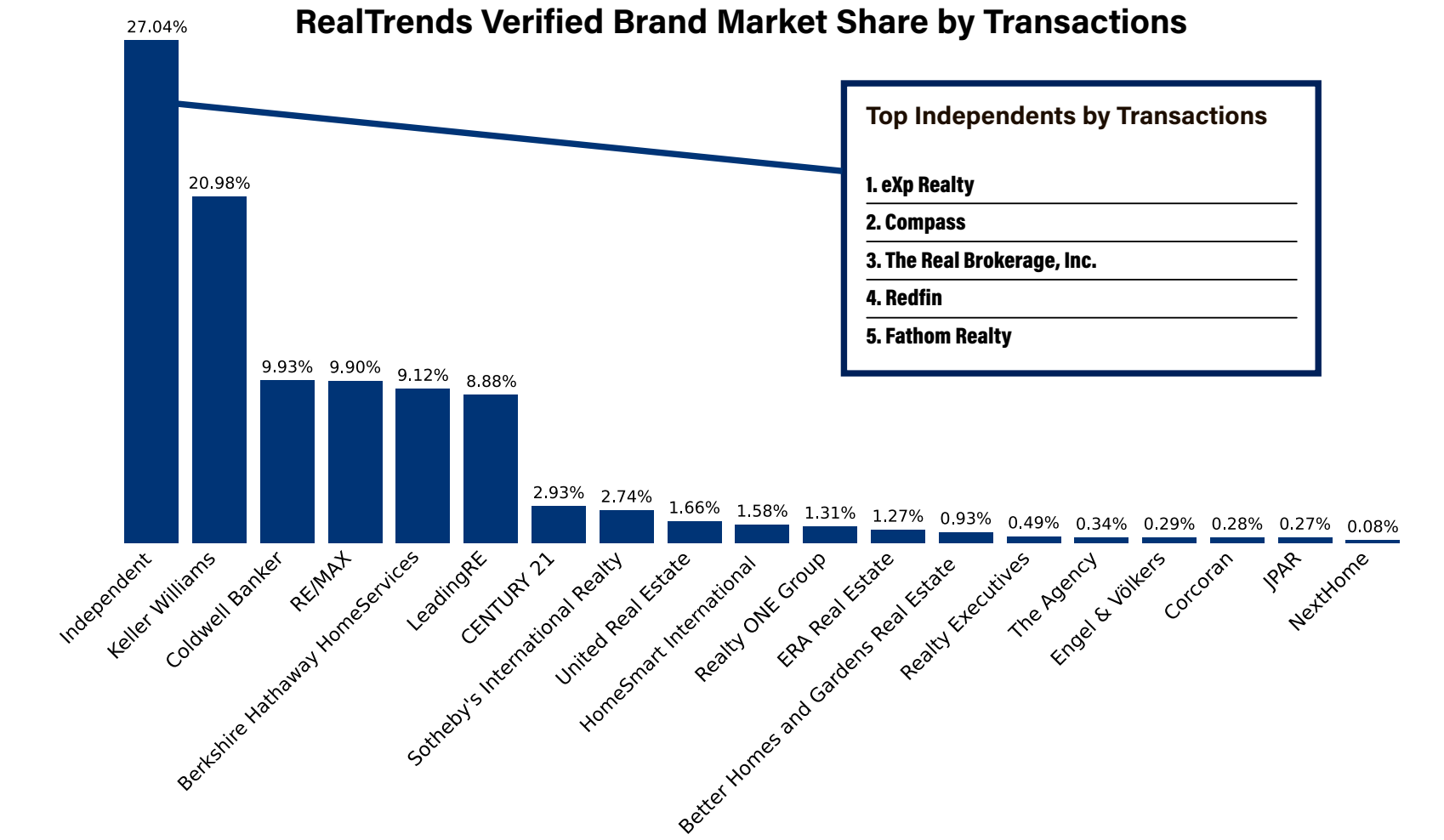


Verified brokerages closed over \$2.11 trillion in volume in 2024 reflecting a 3.8% increase from 2023, attributed to a steady and increased sales price per transaction.

Consolidation is in Play



Verified brokerages closed 3.86 million transactions, a 3.9% decrease in total sides. The total number of qualifying brokerages declined by 6.9%. Consolidation is in play as market share accrues to fewer players.



Top 15 Brokerages by Transactions	
1. eXp Realty	350,119
2. Anywhere Advisors	246,728
3. Compass	228,785
4. HomeServices of America	224,485
5. Hanna Holdings	92,154
6. The Real Brokerage, Inc.	90,298
7. Redfin	46,421
8. United Real Estate	46,025
9. Fathom Realty	36,800
10. LPT Realty	36,369
11. HomeSmart	35,616
12. Keller Williams Realty, GO Network Offices	23,636
13. Side	23,553
14. Douglas Elliman	21,779
15. RE/MAX Gold, representing Gold Nation	21,165

@RealTrendsInc

Top 15 Brokerages by Volume	
1. Compass	\$231,040,313,779
2. Anywhere Advisors	\$183,807,260,000
3. eXp Realty	\$152,664,657,617
4. HomeServices of America	\$136,640,884,770
5. The Real Brokerage, Inc.	\$42,443,273,416
6. Douglas Elliman	\$36,392,103,498
7. Hanna Holdings	\$33,741,323,852
8. Redfin	\$29,482,707,101
9. Side	\$23,866,284,438
10. United Real Estate	\$20,450,671,409
11. HomeSmart	\$18,173,968,748
12. William Raveis	\$16,678,542,792
13. The Agency	\$13,939,162,010
14. LPT Realty	\$13,860,450,386
15. RE/MAX Gold, representing Gold Nation	\$13,184,066,305

Top Brands by Transactions	
1. Keller Williams	810,808
2. Coldwell Banker	383,916
3. RE/MAX	382,576
4. Berkshire Hathaway HomeServices	352,364
5. LeadingRE	250,852

Top Brands by Volume	
1. Keller Williams	\$356,848,450,099
2. Coldwell Banker	\$214,895,284,126
3. Berkshire Hathaway HomeServices	\$192,319,983,749
4. LeadingRE	\$180,514,783,438
5. RE/MAX	\$158,275,132,177



Explore the full report

RealTrends.com

POWERED BY HOUSINGWIRE

MANSION

Extreme Real Estate

Continued from page M1

the regular—an expensive, gut-wrenching option, especially for longtime and multigenerational homeowners and lower- or fixed-income residents.

Then there are the mega-rich, who don't have to wrestle with any of these bad options. Instead, they



This home in Charleston, S.C., just sold for \$18.5 million. It set a record for the city, and is located in one of the most flood-prone neighborhoods in Charleston, the Battery.

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are moving in droves to risky places and setting home-price records when they get there.

In Palm Beach, Fla., William Lauder, chair of the board of directors of the Estée Lauder Companies, went under contract in February to sell a vacant, oceanfront double lot for close to \$200 million. If it closes near that amount, it would set a Palm Beach record. Meanwhile, recently updated FEMA flood maps of Palm Beach County just added thousands of parcels to its high-risk flood zones.

In Miami, sea level is predicted to rise up to 17

inches by 2040 compared with 2000 levels, according to the Southeast Florida Regional Climate Change Compact. In February, a home on the city's Star Island sold for \$120 million, a record for Miami-Dade County.

In Charleston, S.C., an unidentified buyer paid a city record of \$18.25 million for a historic waterfront home on the Battery in February. In Charleston Harbor, there were 52 major flood events recorded between 1922 and 2023; 38 of them have occurred since 2015, according to data compiled by the National Weather



Record heat and record prices are happening in Arizona.

CLOCKWISE FROM TOP LEFT: RICHARD ELLIS/ZUMA PRESS; NICK CANN; JUSTIN SULLIVAN/GETTY IMAGES

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MANSION

Service Weather Forecast Office in Charleston.

Paradise Valley, Ariz., the tony enclave near Phoenix, saw a record-breaking \$33.5 million home sale in January. In 2024, the Phoenix area saw a record-breaking 113 consecutive days over 100 degrees, according to

cords. But why move to a place where your “highest-price-ever-paid” estate could get wiped off the planet by the next big one? Madeline Levine, a psychologist in San Francisco, says that when she asked that question of a fabulously wealthy client of hers, he

The megarich are moving in droves to risky places and setting home-price records when they get there.

data compiled by the NWS Weather Forecast Office in Phoenix.

Why are the megarich streaming into these high climate-risk areas and paying record prices? They want to and they can.

“There are rational reasons why they are moving to those locations,” says Milton Pedraza, CEO of the Luxury Institute, a research and consulting firm in Boca Raton, Fla., and New York City. “The love of the ocean, the love of the people who are there, the restaurants, the culture. Also, where are my people? Where’s my tribe going?”

Oceanfronts, mountainsides, sweeping desert vistas—these areas have long been the locales of choice for the wealthy and they are not going to let climate risk harsh their vibe. Plus, these locations confer status, especially for people who are new to vast wealth, says Clay Cockrell, a licensed clinical social worker who has many wealthy clients. “There is ‘I have always strived for this, I’m going to have it, damn it, whether it floods or not.’”

As the wealthy look to tribe-up, a lack of ultra-high-end inventory means they are also bidding up home values to new re-

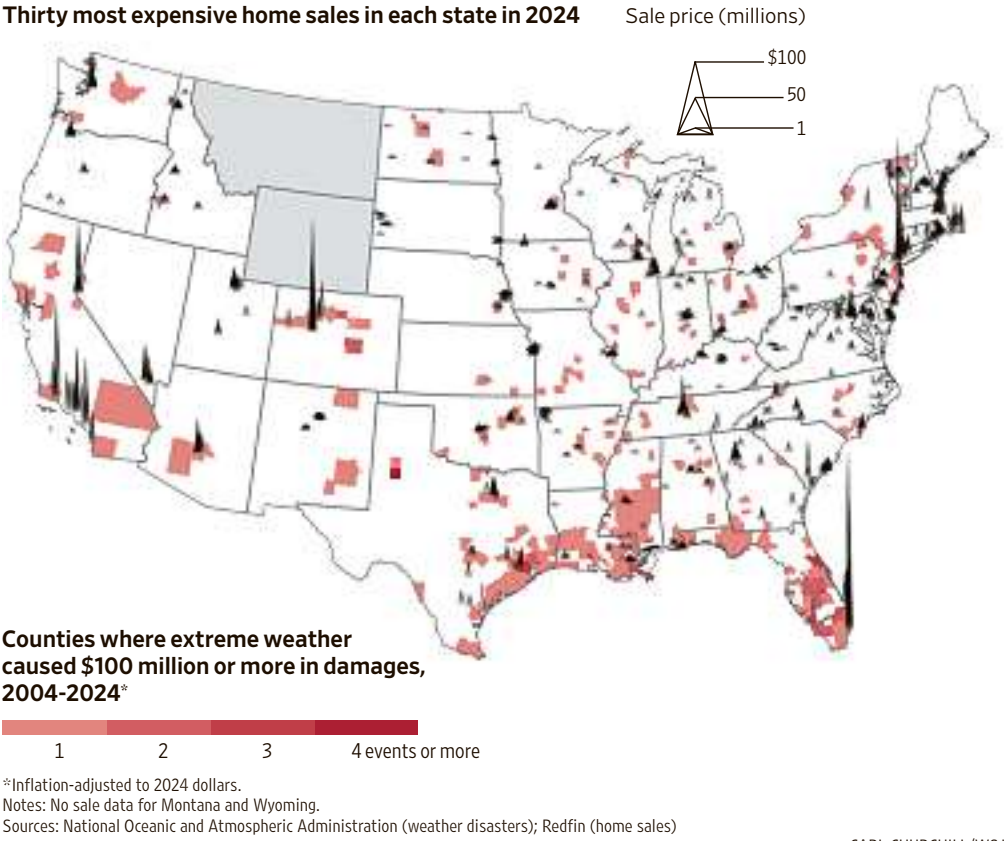
thought the question was hilarious, then he said “Why not? We can take a hit.”

Blame “relative wealth.” One of the Malibu, Calif., homes owned by Larry Ellison, co-founder of Oracle, burned down in the fires in January. Zillow had previously valued it at about \$21.5 million. That is about 0.01% of his net worth of approximately \$216 billion. Ellison didn’t respond to a request for comment.

For the lower-tier wealthy who would lose a much larger percentage of their net worth if their multimillion-dollar home

Where Home Sale Records and Climate Disasters Meet

Some of the priciest real estate sold last year was in areas where extreme weather hit hardest.



think ‘yeah, I guess we’re safe. What are the odds it will happen here?’”

When delusion meets nature’s sledgehammer, the wealthy can afford to build houses that are more likely to survive. Cat-5 rated construction techniques, fireproof materials, private fire-fighting brigades, flood barriers, and homes raised above storm-surge levels are all ways that money buys protection from nature that most normies can’t afford.

In Malibu, however, the recent fires, which devastated not just homes but the infrastructure that makes a place a community, may have marked the beginning of the end of its time as an enclave for the super wealthy. “I think we’re at an inflection point,” says Pedraza. He says that his contacts and clients among the Malibu mon-

eyed are, increasingly, over it, no matter how much money they have. “It is just too fast and too furious.”



Larry Ellison lost a tiny fraction of his net worth when this home (second from left), one of several he owns in Malibu, was destroyed in the January fires. The home was worth an estimated \$21.5 million prior to the fire.

EAGLEVIEW, STUART PALLEY FOR WSJ



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This five-bedroom, 4,360 SF residence features panoramic 360-degree views of Kiawah River’s breathtaking landscape from its second-story cupola tower. Situated in a prime location, the home overlooks the pastoral beauty of neighboring Kiawah River Farm and Farmstead Park.



RECENTLY SOLD

2182 BOATWRIGHT ROAD

This 4,291 SF, four-bedroom home offers refined contemporary living just steps from The Dunlin Hotel, with exclusive access to its luxury dining and full-service spa, as well as scenic walking trails and premier swim and fitness amenities. Expansive windows and second-story decking create seamless indoor-outdoor living.



RECENTLY SOLD

3008 EVENTIDE LANE

The five-bedroom, 4,400 SF 2024 *Southern Living* Idea House is a contemporary farmhouse nestled between two grand live oaks and Abbapoola Creek. Generous windows frame sunrise views over rolling farm pastures, while porches and patios offer a front-row seat to serene countryside sunsets.



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MANSION

IN THE TRENCHES | AMY GAMERMAN

When a Home Comes With Its Very Own Squatter

Q Have you ever encountered a squatter in a multimillion-dollar listing?

ABIGAIL PALANCA
licensed real-estate salesperson
and head of the Abby Palanca
Team at Serhant in Brooklyn, N.Y.

It was a beautiful home, over 4,000 square feet, with a lot of restored details. We listed it at \$4 million. The sellers had moved out, and we staged the home. When it's staged and nobody's living there, everything's in perfect order every time you go back. But we were noticing that every time we went to show it, there was something slightly out of place. Like the pillows on the sofa always had to be adjusted.

Because it wasn't always the same person on our team hosting the open house, it took us a little bit of time to put these clues together. One day, someone said that they had noticed a paw print on one of our show sheets. Someone else said, "Actually, when I went there, the cookie jar was knocked over." We started to pay closer attention.

Then an agent went down to the basement to shut off the lights after a showing. She was wearing white pants, and she noticed stains, like, jumping stains, all over her pants. They were fleas. Two



days later, someone else on the team was down in the basement and felt little bites on her feet—fleas. That's when she noticed that by the dryer, there's a vent cover that's been knocked off. Something had made its way inside, where it was nice and warm. We call an exterminator, who verifies that we have fleas—and we have a raccoon. We held off on

showing the house for two weeks, to make sure that people wouldn't be bringing fleas home. It took a while to catch the raccoon. Let me tell you, this guy was clever. I like to joke that he was such a fan of our staging that he kept coming back—even though there were no real cookies in the cookie jar. We never saw him, but his paw prints were everywhere,

and the paw print was sizable. Our biggest fear was that we were going to walk in one day, and he was going to jump out at us. But we got lucky; he must have left the house sometime before we sealed the vent. The house sold—slightly below asking, but we were very happy. And the sellers were happy they weren't living there.

JESSICA PETERS
broker-associate at Douglas
Elliman Real Estate,
Brooklyn, N.Y.

It was an estate sale in Williamsburg—a house on a big 50-by-100-foot property that had been in one family. The grandmother had died and made the grandkids the executors of the estate. Every developer wanted this piece of land. I represented the buyer, and we were in contract so fast, for \$3.725 million.



That was the easy part. The grandkids' uncle was living in a shed at the back of the property. He had agreed to move out, but he was irritated about how things had transpired. A few days before the close, this guy decided that he was no longer happy with what everybody had agreed to. He wanted more money. The grandkids were like, "No, that's absolutely ludicrous." So everybody lawyered up.

The uncle—let's call

him Squatter—decided he didn't want anybody on the property. He threatened my clients when they went there, like, "If you step onto my property again, I will shoot you." He had a gun. He had a guard dog who lived in the shed with him. We tried to get him evicted, but this was during Covid. I don't think we saw a judge for two years. Then, after we finally got him evicted, he moved into the main house; it wasn't considered the same property as the shed, which is so crazy. His counsel made us aware of that. We had to go back to court for a new eviction order.

We were about to get a court date to see the judge, when my client called me and said, "You're never going to believe this." Squatter had burned down the house. It was an accident. The house was burned so badly that the Fire Department deemed the property uninhabitable. A great stroke of luck, because the Fire Marshall kicked Squatter out. It's a vacant lot now. My clients are building a luxury boutique condo, with parking. I almost want to buy a unit there. —Edited from interviews

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PRIVATE PROPERTIES

Rocker Rod Stewart’s Former Mansion In Los Angeles Sells

A Los Angeles compound that includes the musician Rod Stewart’s former home has sold to two separate buyers for a total of \$86 million.

The sellers are Bradley Bell, executive producer and head writer of the long-running daytime soap opera “The Bold and the Beautiful,” and his wife, former U.S. Am-

SOLD
\$86
MILLION

6 acres, 17,000-sq.-ft. main house, cabin

bassador to Hungary Colleen Bell. They bought the house from Stewart for \$6.25 million in 1992.

The roughly 6-acre compound is being divided into two sections and sold separately. The bigger of the two parcels—a roughly 4-acre lot that includes the main house—was sold to producer David Zander for about \$57 million.

The remaining parcel, with a



From left: The Bells, Rod Stewart, and Gregory and Veronique Peck

circa-1911 cabin on it, has been sold to Nick Kaiser, co-founder of the private-equity firm Marlin Equity Partners for about \$29 million.

Zander previously bought, renovated and sold Lasata, the circa-1917 Hamptons estate where Jacqueline Kennedy Onassis spent childhood summers.

Neither Zander or Kaiser responded to a request for comment.

Designed in 1925 by Montecito architect George Washington Smith, one of the masters of the Spanish Colonial Revival style in Southern California, the property’s main Spanish Colonial-style home has six bedrooms.

The Bells spent two years renovating and restoring the house.

Stewart, who bought the house in the 1970s, had added Art Nouveau-style features, including a disco room. The Bells removed those elements and restored as many original details as possible.

In 2004, the Bells bought the longtime home of the actor Gregory Peck for \$19.5 million, razing the Peck home and merging the properties into one roughly 6-acre compound.

The Bells weren’t planning to sell, but were approached several times by Zander’s agent, Ben Bacal of Revel Real Estate.

Bacal represented the Bells and Kaiser. Drew Fenton of Carolwood Estates represented Zander.

—Katherine Clarke

Coastal New Hampshire Home Could Tie State Record

The first time Michael Kane and Jamee Field Kane laid eyes on their 1930s home in coastal New Hampshire, they fell for its historic charm and ocean views. But behind the stately brick facade, the mansion was little more than a shell.

A prior owner had gutted the Colonial Revival-style house, ripping off the back wall. “They essentially stripped the house. The only thing that they didn’t pull out was the main staircase,” said Michael, who grew up in New Hampshire and is CEO of the Portsmouth-based real-estate development and investment firm The Kane Company.

Seeing the property’s potential, the Kanes paid \$3 million for the

FOR SALE
\$25
MILLION

8,900 square feet, 5 bedrooms, ocean views, wine cellar, gym

property in 2010 and embarked on a multiyear, multimillion-dollar renovation inspired by the original architecture. Now planning to move to Florida, they are listing



the house, historically known as Balmoral, for \$25 million. If it sells for that much, it would tie a state record set in 2022 by a home in nearby Rye.

Perched above a rocky beach, Balmoral sits on roughly 3 acres in the small town of North Hampton.

In renovating the house, the Kanes used old photos of Balmoral’s interior to help guide their design, including custom moldings made to match the originals. The Kanes are selling because they are building a home in Jupiter Island, Fla., and plan to move there, though Michael will keep his business in New Hampshire.

—E.B. Solomon



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MANSION

Jackson
Prices Climb

Continued from page M1
foot home down the street built by the same developer.
“Do I think Jackson Hole is a great investment? Absolutely. But I didn’t think about it like that,” said Been, who is in her 50s. She was more focused on being able to walk from her house to her favorite downtown shops, restaurants and bars. She declined to say how much she paid for her homes, and Wyoming is a nondisclosure state where sales prices aren’t publicly recorded.

For years, Jackson Hole’s natural beauty, bustling downtown and laid-back lifestyle have attracted the likes of Harrison Ford and Sandra Bullock. During Covid, well-heeled buyers arrived in droves, drawn by the wide-open spaces and Wyoming’s lack of state income tax, corporate income tax or estate tax. The deluge of buyers quickly absorbed available properties, driving up home values. It also attracted developers eager to build and sell more homes at higher prices.

While the pace of sales has since tapered off, prices remain as high as they have ever been, particularly at the top of the market. Last year, the median home sale price in Jackson Hole was \$3.4 million, doubling from \$1.7 million in 2019, according to the Jackson Hole Report. In 2024, there were 31 homes listed for \$10 million or more, roughly double the amount listed prepandemic.

Generally speaking, homes that sold for \$8 million to \$10 million before Covid are now fetching \$15 million, said



outside downtown Jackson, where they built a family vacation home.
The Wadlows paid \$1 million for 3.5 acres in the Owl Creek subdivision and spent the next three years building a roughly 6,000-square-foot house with four bedrooms and views of the Teton. “We got in right before it got nuts,” said Jessica, a consultant. They have been told that their house could now fetch up to \$12 million. “We could flip it and make money, but that wasn’t really our purpose,” she said. “It’s a family house.”

Adding to the inventory crunch, wealthy purchasers have continued snatching up properties, even as higher interest rates slowed other market segments. “I’ve got a Rolodex of buyers that I haven’t been able to find product for,” Evans said.

Several spec builders have rushed to fill the void. Jackson Home Co., an offshoot of New York’s Brooklyn Home Co., has built 20 homes in downtown Jackson since 2019, said co-founder Bill Caleo. The company started buying property in Jackson around 2017 after noticing older homes downtown being snapped up and renovated. The company is currently working on a roughly 10,200-square-foot house in the Bar BC Ranch subdivision priced at \$50 million.

Some brokers said Jackson’s recent price appreciation reminds them of Aspen, Colo., another mountain enclave where luxury values skyrocketed over the past few years. But Jackson lacks the flashiness and celebrity culture of Aspen. Wyoming’s status as a



Source: Prugh real estate

CAMILLE BRESSANGE/WSJ

of people would be surprised to learn what \$10 million doesn’t get you in Jackson compared to before Covid.”

Settled by homesteaders in the 1800s, Jackson Hole became a summer destination for wealthy East Coast residents arriving by train around the early 1900s. Many of the area’s most majestic properties were developed in the middle of the 20th century. “We are now starting to see these turn over,” real-estate agent Latham Jenkins of Live Water Properties said. “They can command just astounding prices.”

Camp Teton, a 55-acre Jackson Hole estate, sold in 2021 after being listed for \$65 million. The 127-acre Bugling Elk estate,

listed for \$55 million, sold in 2022. The 5,000-acre Diamond G Ranch—about 82 miles east of Jackson Hole near the town of Dubois—traded after being listed for \$71 million.

Scarcity is a key price driver, according to Devon Viehman, a real-estate agent and member of the Jackson Town Council. Some 97% of land in Teton County is held in conservation, leaving limited space for development. Meanwhile, buyers who relocated to Jackson during Covid are hanging on to the properties they bought. “We all thought as brokers, well as soon as the pandemic is over they’ll list and sell,” said Tom Evans of Sotheby’s International Realty. “Well, that hasn’t been the case. It’s not this mass exodus like it was this mass purchase.”

Oncologist Dr. Raymond Wadlow, who lives in Virginia with his wife, Jessica Wadlow, has vacationed in Jackson Hole for years. So in 2020, the couple and Raymond’s brother seized the opportunity to buy a vacant lot just

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MANSION



nondisclosure state is also a draw for wealthy residents who prefer anonymity. “You don’t know who you’re sitting next to at the bar, and we like that,” said Jackson Hole real-estate agent Jill Sassi of Sotheby’s International Realty, who helped the Wadlows buy their lot.

The market’s lack of transparency does make it difficult to ascertain Jackson Hole sale prices, however. Sassi said she generally estimates that a home’s sale price is roughly 3% to 5% below the asking price.

Locals say the fabric of the community is changing as original homesteads change hands. Slade Ross, the 52-year-old owner of a carwash and oil-change business in Jackson, is selling a portion of the Jackson Hole land his great-great-grandparents homesteaded more than a century ago. Locals like him are feeling squeezed by rising property taxes, he said, adding: “It’s going to force us out at some point.”

The influx of wealth has created tension between the haves and have-nots in town, said Viehman. “You have people that have lived here forever” in small, older houses, she said. “Then one of these large homes goes up and all of a sudden, a mountain view they used to love, they don’t have anymore.”

To better understand Jackson Hole’s skyrocketing prices, The Wall Street Journal took a close

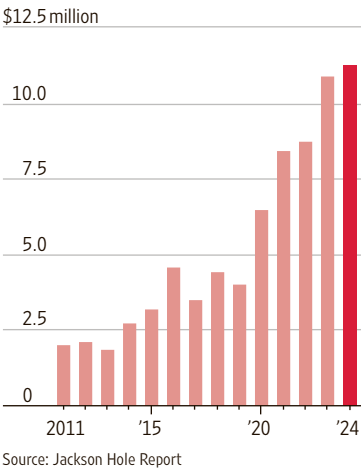


look at five recent listings and sales.

- 1. Jackson Hole Ranch**
Sold in 2022
Asking price: \$35 million
Acres: 233
Buyer: Unknown
Seller: The Givens family
The specs: Five-bedroom main house, guesthouse, ¾-mile stretch of Snake River
What it says about the market: The Givenses bought the first roughly 3 acres for about \$172,000 in 1986. When they put the ranch on the market in 2022, it went into contract within a week, said Jenkins, who had the listing.
- 2. Red Hills Ranch**
Listed in August 2024
Asking price: \$65 million
Acres: 190
Seller: Estate of Sen. Herb Kohl of

Raising the Bar in Jackson Hole

The entry price for the area’s luxury market has jumped significantly in recent years, and saw its biggest increase during the pandemic.



Wisconsin, an heir to the Kohl’s department-store chain, who died in 2023. He bought the land in the 1970s.

The specs: Main house, guest cabins, a lodge, bunkhouse, tack barn
What it says about the market: Properties like Red Hills Ranch command very high prices because they rarely become available. “The reality is, to find another property like that, within striking distance of Jackson, you don’t have another one,” said Matt MacMillan of Live Water Properties, who is not involved with the listing.

- 3. Ross Plateau**
Listed in January 2023
Asking price: \$25.5 million
Acres: 159
Seller: Ross family
The specs: Undeveloped land surrounded by the Bridger-Teton Na-

▲ Squeezed by property taxes, Slade Ross’s family is selling a 159-acre tract of land that his great-great-grandparents homesteaded.

tional Forest; four developable parcels.
What it says about the market: Ross’s great-great grandfather was a cattle rancher and the family still uses it as a hay field. But the family has stopped ranching, said Ross, who lives on another family-owned property nearby, where his parents and siblings all have family homes. “It’s too expensive for a rancher to live here,” he said. “We’re not a rich family.” While it has been “heart wrenching” to think about selling, “we feel like we’re at a point where we have to.” While the family believes the property could accommodate 27 homes, “our hope is that one single person buys it to keep it intact,” Ross said. They have gotten several offers, but “haven’t found the right fit yet,” said MacMillan, the listing agent.

- 4. Riva Ridge compound**
Listed in July 2024
Asking price: \$40 million
Acres: 41
Seller: John and Susan Campbell
The specs: Main house, detached primary suite and three guesthouses; structures are named Wynken, Blynken and Nod in a nod to the lullaby.
What it says about the market: The \$40 million pricetag is “new territory” for the Jackson market, said Rebekkah Kelley of Budge Kelley Realty Group.

- 5. Mirror Pond**
Listed in March 2025
Asking price: \$31.75 million
Acres: 2.43
Seller: Fernando Guerrero and Jill Jachera
The specs: 7,000-square-foot house with five bedrooms
What it says about the market: Located in the private golf community 3 Creek Ranch, Mirror Pond is one of several newly built homes in the area asking more than \$20 million.

CLOCKWISE FROM TOP LEFT: LATHAM JENKINS/LIVE WATER JACKSON HOLE; TAYLOR GLENN FOR WSJ; TYCEN BIRCH (2)

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MANSION



Benjamin King, left, and Alan King didn't want to live in a gallery-like white box.

BALANCE SHEET

A Penthouse Fit for Their Art Collection

A \$620,000 renovation gave these Raleigh, N.C., homeowners space for their paintings, pottery and textiles—without feeling like a museum

a 61-year-old retired flower-shop owner.

One of the home's most striking features is the roughly \$30,000 electric fireplace in the double-height great room. The bottom portion of the custom, floor-to-ceiling fireplace is made of black Venetian plaster with walnut accents. The upper portion is white slatted wood with recessed areas, a textured design that adds visual interest without relying on color. Williams said the neutral palette allows attention to remain on the portrait hanging on the fireplace, a roughly 5-by-6-foot black-and-white photograph of geometric patterns projected on a man's profile by New York-based artist Sarp Kerem Yavuz.

A roughly \$30,000 oak accent wall unites the dining room and loft areas of the open-plan great room. Its fan pattern created visual interest but wasn't too busy to serve as a place to hang three more pieces of art, she said.

They also added warmth to the condo with wood details on handrails and drawers, displayed pottery on vertical walnut live-edge shelving, and commissioned

By SARAH PAYNTER

Curating a 120-piece art collection was easy. Displaying it at home? That was the hard part.

Color and architectural ornamentation in a home can compete with paintings, photographs, sculptures, textiles and pottery. But Alan King and his husband, Benjamin King, said they didn't want to live in a sterile, gallery-like white box.

"This is our home. We've never wanted to live in a museum," said Alan, 65, chief executive of Workplace Options, a provider of employee well-being perks.

So in 2023, when they

bought a \$1.4 million penthouse in downtown Raleigh, N.C., they opted for textured decor in neutral colors that wouldn't compete with their contemporary art collection, said their interior designer, Sally Williams of Colorful Concepts Interior Design in Raleigh. The renovation for the three-bedroom, roughly 2,500-square-foot condo cost double what they expected, about \$620,000, and took nine months, said Alan.

"If art is the focal point, it's really easy with design to have things compete so that each piece doesn't get a chance to speak for itself. It just sort of gets jumbled up together," said Benjamin,



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A photograph by artist Sarp Kerem Yavuz hangs over the roughly \$30,000 electric fireplace.

FROM TOP: BRYANT TYSON/BRYANT DEVON, ABIGAIL JACKSON, © SARP KEREM YAVUZ, "HUSBAN" 2016

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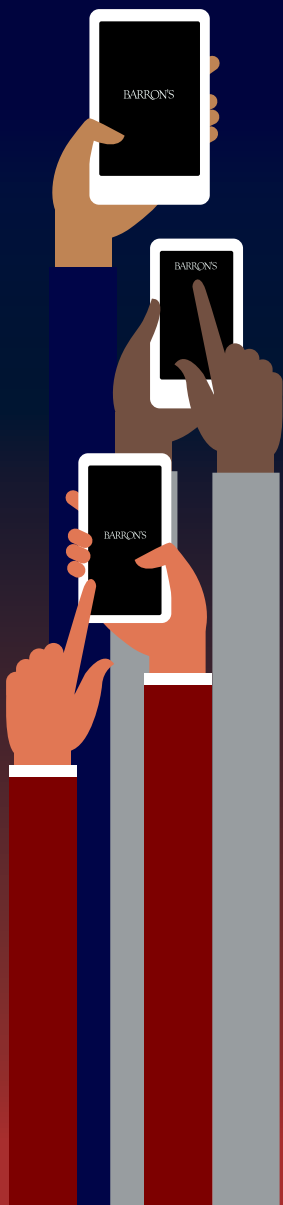
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MANSION



custom walnut and oak furnishings. In the foyer, a recently purchased oil painting of a woman in black by Washington, D.C., artist J. Rodney Dennis hangs over a custom-made \$11,000 walnut foyer credenza, and in the loft, they hung a textile piece over a roughly \$13,000 custom walnut television cabinet. The third bedroom functions as an office and has a \$40,000 walnut Murphy bed for visits from their adult children, said Alan. The primary bedroom has a \$30,000 oak headboard with

marble and brass details. “It’s probably the most expensive Murphy bed that has ever been created, but you walk into that space and you see a beautiful office. There’s no way you look at it and assume that this is actually a fully functioning bedroom with a queen-size bed,” said Alan. They spent about \$250,000 on furnishings. They picked out three neutral and light-blue Tibetan-style rugs made in Nepal, about \$21,000 total, for the living room, dining room

An oak accent wall, above, and headboard of oak, marble and brass, below, add warmth without competing with the art. Marble-like wallpaper highlights a Clarence Heyward painting, at right. The home has a loft, at left.



and hallway. The living room’s white, woven sofas cost about \$18,000 total, and the loft has a \$13,000 chenille sectional, said Alan. “The space was very white and very blank. We needed things that would

give it some warmth and give it some gravitas but not challenge the art,” said Alan. “It was an exercise in really learning how the design complements the art and vice versa.” The stairway to the loft

became a gallery-like space for six paintings and a \$4,000 glass chandelier. They were nervous about so many paintings in the stairway, but Williams used wallpaper with a taupe and cream marble-like pattern, about \$1,000 including installation, to break up the walls. “It was important that it not just feel like a blur of color and images in that small area,” said Williams, adding that the wallpaper helps draw attention to the prize painting by North Carolina-based artist Clarence Heyward.

The condo is designed to spotlight 60 of their 120 pieces, said Alan, and the rest are displayed at their mountain house in the town of Beech Mountain, about 200 miles west. Even before the work was complete, they had to re-engineer the design to feature 10 new pieces purchased during last year’s renovation, and the Kings have since added four large pieces purchased at the Art Basel art show in Miami Beach, Fla. The Kings are storing several paintings in the guest room until they can bring them to the mountain house. As their mountain house fills up, they’ll distribute art to their children and stash pieces in storage units. “We are adding to our collection more rapidly than we had envisioned,” said Alan.

ABIGAIL JACKSON (4) © CLARENCE HEYWARD, “PORTRAIT OF WILLIAM PAUL THOMAS” 2020 (STAIRWAY PAINTING)

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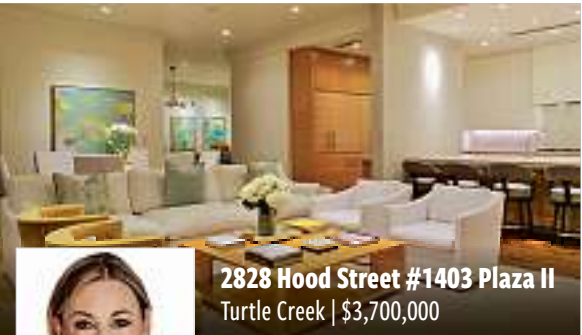
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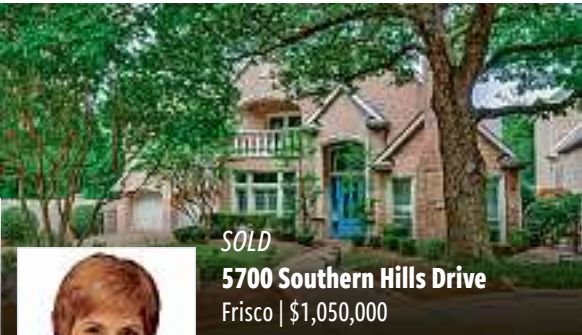
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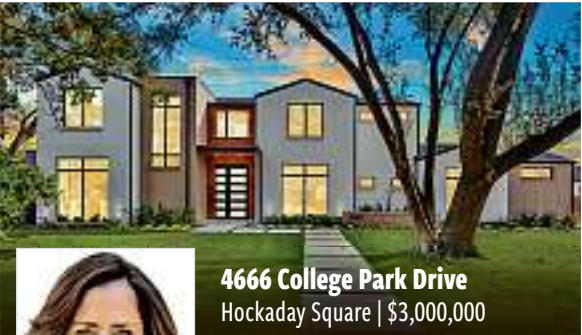
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HOUSE CALL | DEBRA MESSING

She Felt Antisemitism From a Young Age

The ‘Alto Knights’ co-star on her early TV escape, taking acting to the next level on ‘Will & Grace’ and starring alongside two Robert De Niros

I was fearful as a child. My parents grew up in Brooklyn, N.Y., surrounded by a large Jewish family and friends. When I was 3, in 1971, my father got a job in Rhode Island and we moved to East Greenwich, where there were very few Jews.

Everyone in elementary school knew I was a Jew, since I took off from school on Jewish holidays. My only memory of second grade was getting ready for gym class when a little boy said, “Get to the back of the line, kike.” A swastika was painted on my grandfather’s car on Halloween, and our driveway’s globe lights were smashed routinely with bats. Next came our mailbox and garbage cans.

In East Greenwich, my parents had bought 3½ acres on a dirt road and built a split-level, brown-shingle house with three little steps from one story to the next.

We lived next to a horse farm, where I’d hang out and watch horses being born. “Charlotte’s Web” was my favorite book. Wilbur, the pig, was an outsider. I could relate.

School was stressful, socially, so I liked being home. TV was an escape, and I was glued to “I Love Lucy.”

Broadway soundtracks played constantly. I danced and sang to them from age 3. When I was 7, my parents took me to see “Annie” on Broadway. During the show, I jumped up, turned to my mom and said, “I want to do that. Can I? I want to be up there.”

“Up there” began in summer camp, when I was 8. I played a blind girl and took the role so seriously that I closed my eyes in rehearsal, to feel what it was like. I walked off the stage into the orchestra but wasn’t hurt.

After that performance, I was in every play, from junior high until I graduated high school. Theater was



Above, Debra Messing, around age 9, with her brother, Brett. At right, Messing pictured in March.

my safe space. I could be anybody, say anything and not be judged.

My mother, Sandra, met my father, Brian, when she was 16 and he was 17. After they married, she worked as a secretary and helped put him through Brooklyn College. He started as a stock boy at JC-Penney and soon worked in costume jewelry.

After being promoted to sales, he and my mom had to choose—Rhode Island or Long Island. Because of financial constraints, they chose East Greenwich.

My dad never missed a day of work. His work ethic was inspiring, and he expected the same of my older brother, Brett, and me. My mother urged me to pursue what made me happy.

She said, “You do something until it doesn’t make you happy anymore. Then you move on and trust that something else will come along that will.” She is the reason I’m an actor today.

I was lucky in high school. I wound up in a gaggle of popular girls who were cheerleaders. But I still felt on the outside looking in.

My drama teacher, Jim Metcalfe, changed my life. One day he said, “You’re going to be an actress.” He helped me prep for my audition for Brandeis University’s theater pro-



gram, and I was accepted. At Brandeis, the college’s robust Jewish community was a revelation. For the first time I felt safe. At NYU Tisch School of the Arts’ graduate program, old acting habits were ripped away along with my preconceptions, and I was rebuilt and pushed. I loved it.

A guest-starring role on TV’s “NYPD Blue” in 1994 was my first major break, but “Will & Grace” took me to a different level.

Today, I live in Manhattan. I moved back to New York about 14 years ago with my son, when I was cast in TV’s “Smash.” I love that we’re near Central Park and I can see trees every day.

My mother passed away in 2014. She was very proud of me. When I finally earned enough as an actress that I had to pay taxes, my relieved parents threw a party.

—As told to Marc Myers

Debra Messing, 56, is known for her roles in TV’s “Will & Grace” and “The Starter Wife.” She executive produced the new documentary “October 8” and co-stars in the new crime-drama film “The Alto Knights.”

DEBRA’S FLEXIBILITY

“The Alto Knights”? I play Bobbie Costello, wife of mob boss Frank Costello. The film is about the rivalry between bosses Frank Costello and Vito Genovese. Amazingly, Robert De Niro plays both roles.

De Niro lesson? Do less than you think you need to so there’s room for flexibility. He learned his lines and improvised around them.

Favorite home spot? My TV room and library. It has a fluffy couch, my books, and blankets strewn all around.

Learning lines? TV and movie scripts I read over and over.

For the stage? I read the entire script into an app called Line-Learner that actress Helen Hunt told me about. Then I listen to the play in its entirety on headphones, in a taxi or in bed.

FROM LEFT: MESSING FAMILY; GITA BASS

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I saw *lots* of dropped jaws. I have just come from the pre-view party for one of the most spectacular residences in Dallas. It floats 26 stories above the Arts District downtown. It is also one of the most relaxing yet inspiring spaces in which you could live.

I don't say that lightly. Part of the magic of the Gallery Penthouse at HALL Arts Residences is its mix of intimate and grand spaces. That awareness isn't just created by walls or no walls: Even the ceilings come into play, hovering lower in some spaces, such as the dining room, and set higher in others, such as the living room. It's like moving about in a three-dimensional composition arranged by

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